Globalization Backlash and Order Contestation: An Issue-based Theory of Conditional Resilience

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Abstract

When do aggrieved states seek change within an international order, and when do they instead contest it deeply, such as by backing a challenger? I argue that the answer depends on the character of the issue in dispute and the credibility of the outside option. When disengagement from a densely institutionalized order is costly, it takes more than ordinary grievances; it requires a breakdown of leaders' loyalty to the order. Discontent therefore tends to escalate only through what I term *helpless* issues: those that are severe, persistent, attributable to the order, and resistant to reform from within. Even then, support for a challenger is dampened when the challenger is itself implicated in the underlying issue. Through a mixed-methods approach, I test the issue-based theory in the case of the Liberal International Order (LIO) and U.S.–China competition, focusing on global imbalances, a highly contested but understudied issue. I show that support for Chinese leadership remains flat until grievances cross a sharp threshold and concentrates among helpless issues. Moreover, persistent current-account imbalances increase support, while China's implication, proxied by bilateral trade imbalances, dampens the effect. Cross-domain analyses, alongside leaders' rhetoric and qualitative cases, provide consistent evidence. Together, the findings suggest *conditional resilience* of an order and show how issues—the source of contestation—shape globalization backlash, order durability, and renewed great-power politics.

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1 Introduction

International orders depend on the continued support of the states they bind, yet dissatisfied members can withhold it in two very different ways. They may contest an order from within (e.g., criticizing its rules, bargaining over its terms, pressing for reform), or they may turn against the order itself, lending their support to a rival that would remake it. Following a growing literature on order contestation (e.g., Börzel and Zürn 2021; Lake and Wiener 2024; Lake et al. 2021), the first is *normal* contestation, which presumes the order's authority, and the second is *deep* contestation, which challenges that authority. When deep contestation spreads, the old rules of commerce, security, and norms, as well as order leadership, are all called into question, bearing on the influence, legitimacy, and viability of the order that has organized world politics since 1945 (Gray 2018; Ikenberry 2011; Keohane 1984).

This paper develops a theory of when grievance escalates into deep contestation, such as backing a challenger or disengagement, and why it seems rare. The theory takes issues—problems arising within an international order, such as financial instability, economic inequality, or global governance deficits—as its unit of analysis. Issues generate grievances—the political and economic costs that an issue imposes on states and leaders (Broz et al. 2020; Lake et al. 2021). I argue that when disengagement from a densely institutionalized order is costly, escalation takes more than ordinary grievances; it requires grievance deep enough to break down loyalty to the order, because leaders' decisions are shaped by *both* external incentives and internal loyalty (Hirschman 1970; Poulsen 2020; Wintrobe 1990). This breakdown tends to happen only over a narrow class of what I term *helpless* issues: those that are severe, persistent, attributable to the order, and resistant to remedies from within. Only an issue of this kind erodes a member's loyalty far enough that disengagement becomes worthwhile, for loyalty rests on two beliefs: that the order still delivers benefits and that issues can be reformed from within. Most issues, however severe, hardly do.

The second half of the theory concerns the outside option. Even a helpless issue need not translate into disengagement from the order. When the challenger is implicated in the contested issue, its credibility weakens. Leaders, for example, are unlikely to turn to the USSR over nuclear proliferation or to China over import competition concerns. Escalation thus proceeds in two steps: a gate that only helpless issues open, and, beyond it, the challenger's credibility, which can hold support back even once the gate is open. The relationship between grievance and disengagement is therefore nonlinear: support for a rival stays flat across most of the range of grievance and rises sharply only once grievance crosses a high threshold.

The argument, as implied, rests on a key scope condition. Highly institutionalized orders make disengagement costly for the average member through accumulated benefits, network effects, and selective engagement, especially in the absence of a fully competitive outside option. Where supporting a challenger promises net material gains, leaders disengage more readily. In contrast, when disengagement costs exceed its benefits, rational disengagement occurs only when loyalty has eroded far enough to offset costs—this is what makes deep contestation rare.

I test the theory on the Liberal International Order (LIO), the Western-led global system of open markets and multilateral institutions built after the Second World War (Ikenberry 2011; Lake et al. 2021). The LIO is in crisis, not simply due to a power shift, but rooted in the structural issues of the very globalization it has shaped, which carry distributional consequences (Broz et al. 2020; Rodrik 2019; Lake et al. 2021). Leaders who once accepted LIO rules in the 1980s and 1990s (Quinn and Toyoda 2007) are actively contesting the order (Chatham House 2025), while China, the major challenger, courts support through vehicles such as the Belt and Road Initiative (BRI). Yet, despite complaints within the existing order, states willing to support Chinese leadership remain relatively few.

The focal issue I examine is global imbalances: the persistent gaps in states' trade and current-account positions (Figure 1). It is a highly contested matter that "dominates economic policy debate" yet remains understudied in political science (Chinn and Ito 2022). Despite their complicated economic effects, large and sustained deficits incite sharp *political* tensions and are beyond a state's capacity to resolve. Pakistan, for example, laments imbalances as "haunting our economy for long, but unfortunately, no solution."[1] Large deficits have pushed the United States toward institutional disengagement, while China, whose trade

[1] Pakistan and Gulf Economist (2022), the leading Pakistani business magazine.

surpluses exceed $1 trillion, defends the free-trade regime.[2] Moreover, it permits a within-issue test of the second mechanism because China is asymmetrically implicated across its two dimensions: viewed negatively on trade, but more positively on finance. To measure aggregate grievances within globalization, I identify LIO's ten major issues, classify them based on helplessness' four conditions, and construct a country-year dataset, the Globalization Grievance score.

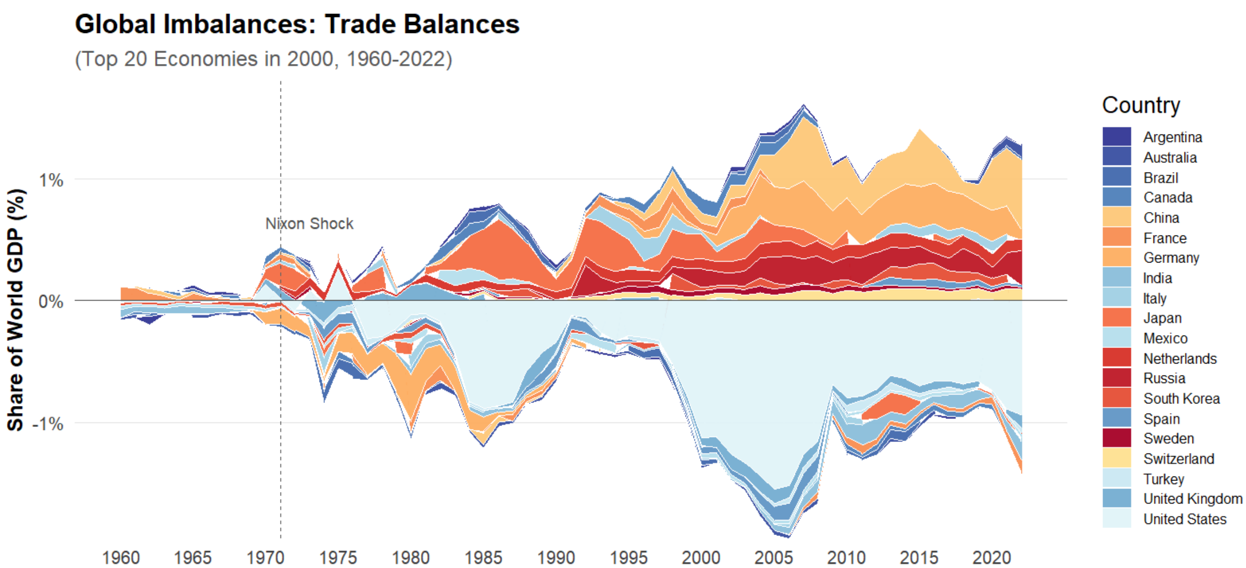


Figure 1: Global Imbalances (Trade Balance). *Note*: Data from the World Bank. See similar patterns for current-account balances in Figure A.1.

Consistent with the loyalty-collapse mechanism, I find convergent evidence at two levels. At the grievance level, support for Chinese leadership stays flat across most of the range of grievance and rises sharply only once a state's accumulated grievance crosses a high threshold. Across issues, the support concentrates, as predicted, among the two helpless issues (global imbalances and recurrent financial crises), while others leave it unmoved. Consistent with the implicated outside-option mechanism, the two faces of the imbalance move support in opposite directions. A persistent current-account deficit, which leaders interpret as a financial problem and for which China—a source of loans and investment—is not to blame, raises support for China; however, a bilateral trade deficit with China, which marks the

[2] Yet, in the 1980s, China cut back on scarce investments when "economic czar" Chen Yun abhorred ballooning imbalances (Zweig 2002).

latter's implication in a country's troubles, dampens it. Both patterns hold across a range of identification strategies, controlling for other possible channels such as economic benefits and ideological appeal.

Two further bodies of evidence support the mechanisms. A rhetorical analysis of more than 6,000 one-nation-per-year speeches from the United Nations General Debate corpus (UNGDC) suggests that, as helpless issues intensify, leaders increasingly trace their grievances to the order and lose confidence that it can reform, the two beliefs whose collapse the loyalty mechanism turns on. Two cases then add within-country processes over time: Italy's long-lasting grievances eroded its loyalty far enough to support the BRI, and China's deepening bilateral trade surpluses then turned support back down, prompting its exit. Canada probes a harder case showing that the same loyalty erosion reaches even a core U.S. ally.

Thus, the findings suggest a form of *conditional resilience*: an order like the LIO may persist not because grievances are unreal, but because most issues cannot erode loyalty sufficiently to overcome disengagement costs. Moreover, the very economic strength that makes China a credible challenger, its vast surpluses, is also what implicates it. However, that resilience is conditional: deep contestation grows more likely as helpless issues accumulate, as a challenger sheds its implication, and as the alternative order becomes more competitive, especially amid the hegemon's retreat (e.g., Trump 2.0.)

The paper makes three main contributions. First, it advances the study of globalization backlash beyond domestic politics (Autor et al. 2020; Chilton et al. 2017; Walter 2021) to the systemic question scholars increasingly press (Frieden and Lake 2026): how particular issues motivate states to contest the globalized system. Second, it specifies an issue-level condition that power-transition, order-contestation, and regime-complexity scholarship alike leave open (Lake and Wiener 2024; Morse and Keohane 2014; Organski and Kugler 1980): how the character of the issue and the challenger's own implication jointly govern when a rising power wins support. Third, it contributes to the growing literature on economic interdependence (Farrell and Newman 2019; Flores-Macías and Kreps 2013; Kastner 2016) by showing that interdependence simultaneously undermines and sustains an order: it can empower rising powers and weaken hegemonic authority, while binding states' order-specific interests.

2 Globalization Issues and Order Contestation

Almost every international order faces contestation from its own members. The contestation takes two forms: following Börzel and Zürn (2021) and Lake and Wiener (2024), members may engage in normal contestation—criticism, bargaining, and reform demands—or in deep contestation, which challenges its authority and principles. Many grievances remain routine; some turn deep. What determines which of the order's issues carry members from one to the other is the question of this paper.

Several decades after World War II, the LIO—credited with advancing peace, prosperity, and liberty—confronts challenging issues (Ikenberry 2011; Lake et al. 2021; Rodrik 2019). *International Organization*'s 75th-anniversary special issue on LIO contestation identifies issues including economic inequality, financial instability, governance deficit, territorial disputes, and ideological conflict (see Appendix C.2). Many issues stem from the rules and institutional design of the order (Blyth 2002; Helleiner 1994; Slobodian 2018).

A rich literature documents how LIO-shaped globalization creates domestic grievances, fueling populism, protectionism, polarization, or social mobilization (Autor et al. 2020; Colantone and Stanig 2018; Walter 2021). Literature tying exposure to support for rival leadership (e.g., Broz et al. 2020) or institutional exit (Gray 2018; Borzyskowski and Vabulas 2025) remains unclear about which issues drive support to different levels. A related literature holds that states may leave depending on how attractive the alternatives are (Cooley and Nexon 2020; Lipscy 2015), an insight that needs to be sharpened in this context.

Concerns over order durability have renewed scholarly attention to order contestation (Lake and Wiener 2024; Lake et al. 2021), distinguishing between normal policy contestation and deep, often costly contestation. This literature, too, falls short of specifying how particular issues shape the differentiated escalation patterns.

Existing explanations for order competition, meanwhile, emphasize power shifts and the dissatisfaction of rising powers, such as regarding "status" (Gilpin 1981; Organski and Kugler 1980; Ward 2017), while contemporary order competition hinges less on war and more on interstate alignment shaped by coercion, inducements, network instruments, and identity (Carnegie and Clark 2023; Davis 2023; Farrell and Newman 2019; Kastner 2016). Work on regime complexity examines how dissatisfied states challenge, bypass, or build around existing institutions (Alter 2022; Morse and Keohane 2014). Both focus on the rival supply while being under-specified about the demand—what turns members toward a rival.

To summarize, while prior work offers valuable insights, we lack a refined theory explaining how globalization issues shape whether states remain routine or turn deep, and how a challenger's character alters its appeal. These limitations are particularly salient for U.S.-China competition. Unlike Germany or the Soviet Union historically, China rose through deep integration into the LIO, which often binds it to the very issues being contested, complicating contestation and revealing a significant research gap.

3 An Issue-based Theory of Order Contestation

I develop an issue-based theory of deep contestation, centered on the grievance channel. The claim is general, though I develop it in the context of the LIO and a rising China-led competitor. A leader responds to grievances through voice—criticism and demands for reform—or through disengagement, a costly shift of support toward an alternative authority and the form of deep contestation I explain. Which response a leader chooses depends on the external utility and the internal loyalty that keeps a member in. I argue that a narrow class of issues tends to carry a leader from voice to disengagement; and even then, only when the alternative is credible.

Scope Condition: costly disengagement. Disengagement is easier when costs are low. However, for *average* leaders, disengagement from the LIO remains structurally costly.[3] First, beyond sunk costs from years of compliance, highly networked LIO institutions selectively favor states with closer Western ties (Carnegie and Clark 2023; Lipscy and Lee 2019). Second,

[3]I expect that leaders' perceptions follow a bell-shaped distribution and satisfy the assumptions on average.

the LIO faces less competitive outside options: an emerging China-led order lacks comparable institutions, transparent rules, and material rewards such as consumption and capital markets and security assistance. Besides potential retaliation, supporting an autocracy entails high reputational costs. Lastly, institutionalized constraints, domestic constituencies, and the LIO as a social environment reinforce institutional stickiness (Hirschman 1970; Johnston 2001; Pierson 2000), with democratic leaders particularly attached.

In sum, net disengagement costs under uncompetitive outside options define the scope condition. For example, although welcoming Chinese investment, leaders harbor concerns and remain cautious about endorsing authoritarian leadership.[4] Most leaders did not attend the first BRI summit despite invitations (Broz et al. 2020). In the case study below, populist Italian leaders, despite long-standing grievances, cautiously embraced the BRI and framed it as non-committal within existing EU-China frameworks (Atkins et al. 2023).[5]

Therefore, disengagement is not a leader's default response to grievances. To explain when disengagement happens, I develop a framework that combines rational-choice and sociological institutionalist insights around two core determinants of leaders' decisions: (1) the *externally* imposed costs and benefits of disengagement (Keohane 1984; Koremenos et al. 2001), and (2) leaders' *internalized* loyalty to the LIO. They interact as competing forces: while material utility may favor disengagement, loyalty generates intrinsic utility from staying (Hirschman 1970; Poulsen 2020).

Disengagement benefits (B) include prospective gains, issue relief, or increased bargaining leverage within the LIO (Lipscy 2015). *Disengagement costs* (C) include risks of losing LIO's favor, diplomatic retaliation, and reputational costs of backing an autocracy (Carnegie and Clark 2023; Lipscy and Lee 2019). *Loyalty* (L), as a stock construct, reflects the perceived value of continued benefits, reform-through-voice hope, or ideological and social affinity (Ikenberry 2011; Johnston 2001; Keohane 1984; Poulsen 2020). Disengagement becomes

[4]For example, Sri Lanka worried about the 99-year Hambantota Port lease.

[5]This suggests that the structural scope condition likely holds even when grievances are severe.

likely when disengagement utility exceeds loyalty value (i.e., $B - C > L$).[6]

The Loyalty-collapse Mechanism

Under the scope condition, an average *rational* leader would not disengage unless grievances become sufficiently intense to collapse loyalty,[7] that is, loyalty falls below a critical threshold.[8]

Grievances erode loyalty through two main channels. First, rising grievances reduce leaders' perception that the order still delivers benefits. Second, rising grievances undermine leaders' confidence that voice can yield meaningful reform. As long as leaders retain either belief, the order remains worth preserving. However, when grievances become sufficiently durable and intense, leaders can hold neither view, and loyalty can collapse precipitously, particularly when populists challenge the incumbents or when viable outside options emerge. By then, the disutility of continued attachment can outweigh disengagement costs, rendering uncompetitive outside options attractive.[9]

The relationship between grievance and disengagement is therefore nonlinear (Figure 2), which is supported by prior theories arguing that unbearable pain can rapidly deconstruct loyalty (Kuran 1991; Scarry 1985): Wintrobe (1990) models loyalty as a bending curve, while Hirschman (1970) assumes stable loyalty at least until a "breaking point." Recent politics have likewise witnessed the abrupt disloyalty of populist governments that heavily criticized the LIO (Chatham House 2025). This contrasts sharply with the 1980s/90s, when leaders embraced LIO-guided liberalization (Quinn and Toyoda 2007).

[6] In the classical Hirschman's model, exit is possible if exit utility $\mathbb{E}[exit]$ exceeds stay utility $\mathbb{E}[stay]$—that is, $B - C > p * B_{reform} + L$. My model collapses expected reform value into loyalty as part of the total value of staying.

[7] Note that support shifts do not eliminate grievances. For real exit which may mitigate grievances, my theory holds as long as net disengagement costs remain positive.

[8] I target average leaders: states with low disengagement costs or loyalty (e.g., autocratic, peripheral, or with existing China ties) may disengage more easily—the baseline propensity I will control for.

[9] Negative loyalty reflects that following LIO rules becomes actively harmful—it is theoretically required, but not empirically. For example, at low loyalty, disengagement may happen due to risk-seeking (Kahneman and Tversky 1979) or bounded rationality.

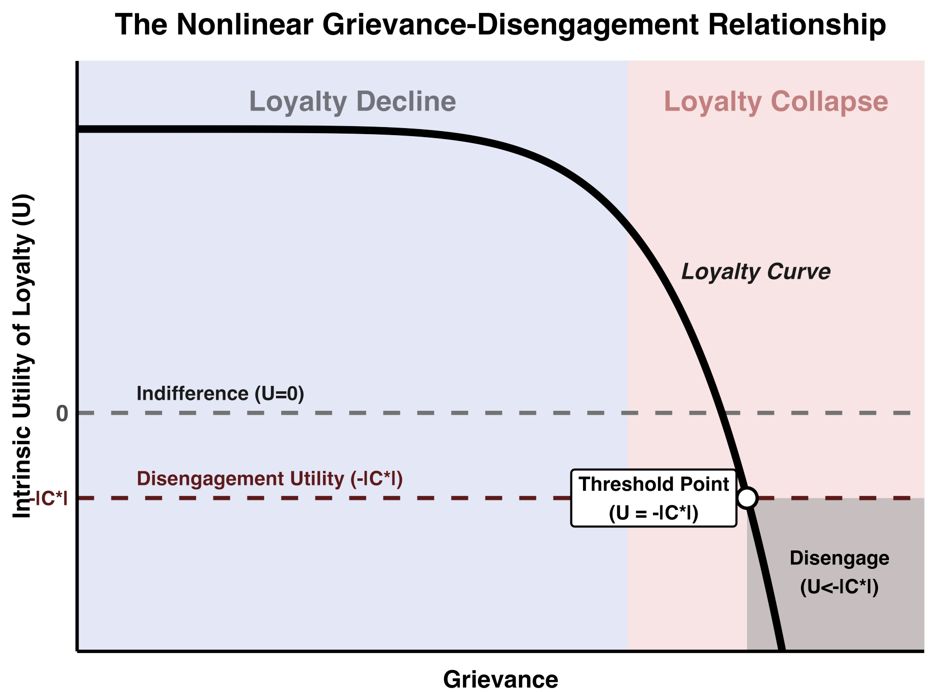


Figure 2: The Nonlinear Grievance-Disengagement Relationship. *Note*: The curve represents the nonlinear decay of intrinsic utility of loyalty (U). For average leaders, rational disengagement occurs where U falls below net negative disengagement utility $-|C^*|$.

This mechanism implies that support for a rival stays flat across most of the range of grievance and rises sharply only past a high threshold and over issues capable of disproportionately collapsing loyalty.

Helpless Issues: a typology. I accordingly introduce a typology of issues based on their capacity to erode loyalty. I theorize that, because loyalty collapse requires leaders to lose confidence in LIO's continued benefits and credibility for reform, loyalty-collapsing issues must satisfy four conditions. First, *persistence*: issues should endure long enough (for example, recurring over two decades) so that the problem cannot be dismissed as transient. Second, *severity*: at least at high magnitudes, issues should inflict pain substantial enough to outweigh the perceived order benefits. Third, *attributability*: LIO rules must either primarily cause the issue or be seen as responsible for it. Lastly, *unaddressability*: resistance to LIO-compatible domestic policy remedies or credible systemic reform through voice. Issues that are mitigable should not collapse loyalty, even if severe.

Together, when all four conditions hold, leaders are more likely to experience loyalty collapse because the order is hardly viewed as still beneficial or reformable. I conceptualize these issues as "*helpless*." By contrast, when any condition is low—severity or attributability—leaders' loyalty should not collapse and they are more likely to pursue voice.

The Implicated Outside-option Mechanism

Loyalty collapse opens the way to disengagement but does not compel it, for the leader must weigh outside options. When an order competitor as an outside option is implicated in the issue, common under globalized interdependence, its credibility falls, impeding disengagement.[10]

Implicated outside-options reflect the diversion of attribution and operate through several channels. First, a leader wins little practical relief by turning to an alternative that helps produce the grievance. Second, backing an implicated alternative entails reputational and audience costs (Chaudoin 2014; Fearon 1994), because leaders must justify status quo changes to elites, voters, or international allies (Atkins et al. 2023). Finally, turning to a less credible alternative provides scant bargaining leverage *vis-à-vis* the LIO on the contested issue (Lipscy 2015). Combined, the same interdependence that empowers a rising power can entangle it in the issue it can otherwise exploit.

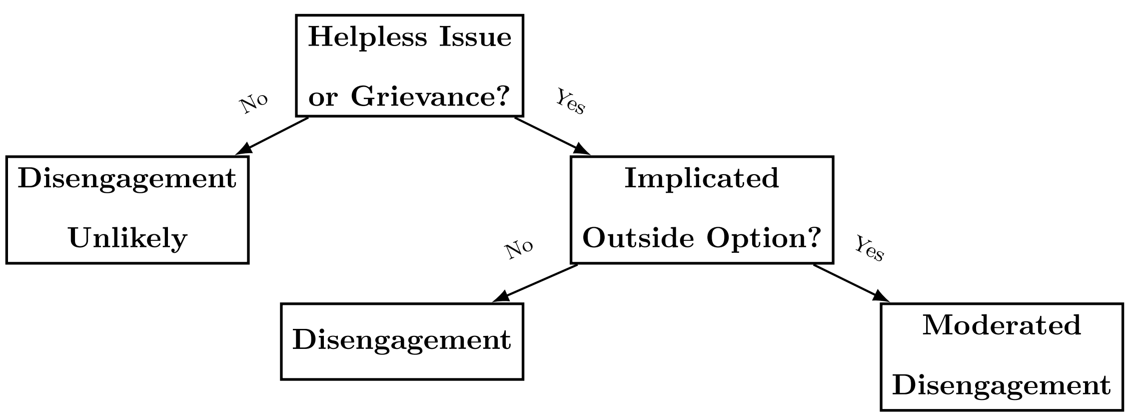


Figure 3: Outline of the Two Mechanisms. *Note*: When outside options are uncompetitive (e.g., the LIO-China case), disengagement takes more than grievances. Grievance must first collapse loyalty, a gate most issues hardly pass. Only beyond it does the alternative's credibility come into play, where an implicated challenger holds support back.

[10]Note that if disengagement is triggered by issue B (being contested) tangent to A, outside options endogenous to A may not matter.

Figure 3 outlines how two mechanisms jointly determine when states disengage. I formalize the theory in a decision-theoretic model (Appendix B.1), showing how state leaders trade off disengagement utility against loyalty value. The theory yields three distinct hypotheses:

H1.1 (grievance-level nonlinearity): Support for an order competitor remains inert until issue-induced grievances exceed a critical threshold.

H1.2 (issue-level nonlinearity): Helpless issues disproportionately trigger support for an order competitor, whereas non-helpless issues rarely do.

H2 (implicated outside-option): Support for an order competitor is dampened when the competitor is implicated in the contested issue.

4 Research Design

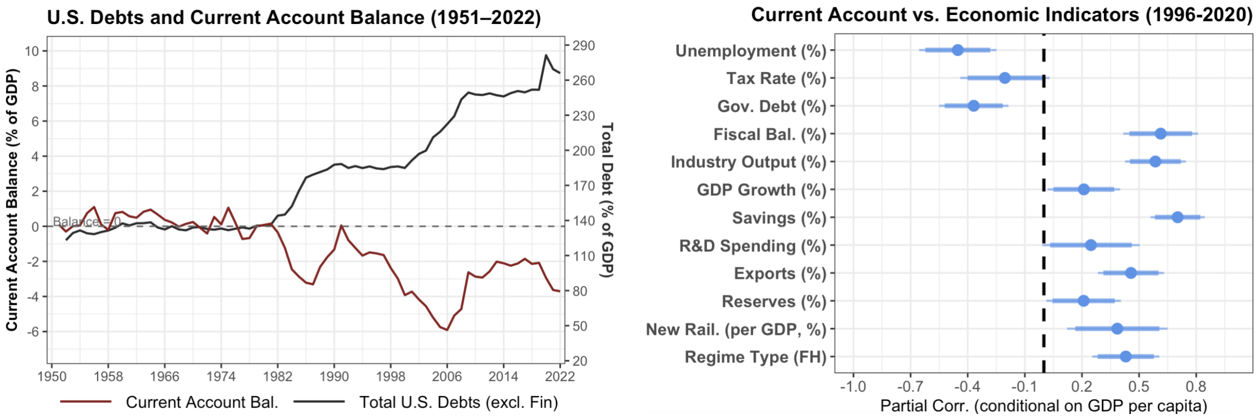
I test the theory in the context of global imbalances and support for Chinese leadership, designing the analysis around the three hypotheses in turn. To assess the loyalty-collapse mechanism I ask whether support for a rival is nonlinear in grievance—flat until a threshold, then rising (H1.1)—and whether it concentrates among helpless issues (H1.2). To assess the implicated outside-option mechanism I exploit variation within a single issue, asking whether the dimension in which the challenger is implicated moves support in the opposite direction from the dimension in which it is not (H2).

4.1 Substantive Context: Global Imbalances

I now motivate my focus on global imbalances. Dated to the early 1970s, global imbalances are widely contested, regarded as "probably the most complex macroeconomic issue" (Blanchard and Milesi-Ferretti 2009) that "dominates policy debate" (Chinn and Ito 2022).[11] Its causes span *both* finance and trade (Barattieri 2014): over-consumption (Obstfeld and Rogoff 2009),

[11] The term typically refers to persistent cross-national differences in current-account imbalance, with trade imbalance usually being its largest component (Barattieri 2014; Blanchard and Milesi-Ferretti 2009; Chinn and Ito 2022). Current account includes trade balance, net foreign income, and net transfer payments.

distributional conflicts (Klein and Pettis 2020), or the "saving glut" (Caballero et al. 2008), as well as weakened industries, trade barriers (Cuñat and Zymek 2022), or mercantilism (Dooley et al. 2003).



(a) vs. U.S. Total Debts (b) Correlations with Major Economic Indicators

Figure 4: Current-account Balance and Major Economic Indicators. *Note*: Panel (a) depicts the temporal relationship between U.S. total debts and current-account balance, matching that the U.S. deficit is more of a saving drought than an investment boom (Chinn and Ito 2022). Panel (b) depicts correlations between current-account balances and major economic indicators, conditional on GDP per capita.

Persistent imbalances carry consequences ranging from economic vulnerability (Obstfeld and Rogoff 2009) to debt crises (Frieden and Walter (2017); see also Figure 4(a)).[12] Many debt-replete nations run deficits (e.g., as much as 20% of GDP), while surplus countries become creditors. Imbalances reflect global demand redistribution (Chinn and Ito 2022): as shown in Figure 4(b), surplus countries correlate with better performance (see also Epifani and Gancia (2017)).[13] As Paul Krugman (2019) writes:

> *"The public tends to see trade surpluses or deficits as determining winners and losers; the general equilibrium trade models ... gave no role to trade imbalances at all. ... [which] cause serious problems ..."*

I focus on leaders' *political* perceptions of imbalances.[14] Despite the view that deficits

[12] Debt increases even when temporary deficits reflect economic booms; Global imbalances significantly contributed to the 2008 Financial Crisis (Obstfeld and Rogoff 2009).

[13] Three surplus areas—Core Europe, East Asia, and the Gulf region—often exhibit enviable performance.

[14] I also treat persistent and large deficits rather than surpluses as more troubling.

may benefit consumers, national leaders contest them for several reasons.[15] First, persistent deficits are politically troubling in themselves because they are often interpreted through a household-budget lens (Barnes and Hicks 2022), especially by conservatives. Second, the co-occurrence of long-run deficits with enduring troubles (Figure 4(b)) makes it easier for leaders to frame them as national harms. Historically, mercantilists (Irwin 1998), Keynes (Crowther 1948), and Friedman (Friedman and Friedman 1980) all raised caution, while similar concerns remain today among media, governments, and international institutions.[16]

Third, because global imbalances are distributive, policymakers often politicize the zero-sum nature and blame surplus states.[17] Table 1 shows such examples (including 1980s' China). Lastly, since leaders viewed maintaining external balances as a precondition for continued liberalization (Broz et al. 2016), the expectation mismatch enhances grievances.

[15]For example, U.S. Treasury Secretary Scott Bessent stated in May 2025, "...large and persistent imbalances are not sustainable for the United States, and ultimately, ... for other economies."

[16]The OECD and IMF have long viewed deficits as macroeconomic threats (Delpeuch et al. 2021).

[17]Trump and supporters characterize deficits with China as rendering America the "biggest loser."

1988, **nepal**, china agrees to correct trade imbalance
1996, china, **philippine** leaders to discuss trade imbalance
1997, **polish** president wants to redress trade imbalance with china
1998, **turkey_** deputy premier urges correction of trade imbalance with china
1998, **canadian** minister hopes for fall in trade deficit with china
1999, **fiji** calls for efforts to counteract trade imbalance with china
2001, **czech** deficit in trade with china excessive
2003, **u.s.** blaming china for trade imbalance
2005, **spain's** prime minister says lowering trade deficit with china is a top priority
2006, **thailand** suffers trade deficit with china nine months after the fta
2006, **romania** might balance trade deficit with china by widening exports range
2006, **lithuania** president to discuss in china bilateral trade imbalance
2006, **egypt** seeks lower tariffs, technology to cut china trade imbalance
2007, china promises to reduce trade imbalance with **africa**
2007, **peru**: with new china trade deficit numbers, brown says now not time for peru
2008, **brazil** voices concern about trade deficit with china - estado
2009, **morocco** seeks to plug trade deficit with china
2009, **croatia** seeks to reduce trade imbalance with china - president
2009, **nigeria** governor wants trade imbalance with china addressed
2009, **zimbabwe**; massive trade deficits with china
2009, **vietnam**_china_ measures to reduce trade deficit with china
2010, **south african** president zuma in china to narrow trade deficit
2011, **india** seeks to narrow trade deficit with china
2011, **kenya**;nation seeks more investors from china to bridge trade imbalance
2012, **france** lambasts wto over eurozone trade deficit with china
2013, **malaysia** seeks to address china trade imbalance
2013, **ukraine** wants to reduce deficit of foreign trade with china - azarov
2014, china, **tanzania** should address trade imbalance
2014, **costa rica**'s sol_s to address trade imbalance with china at celac meeting
2015, **bangladesh**, action plan on cards to reduce trade deficit with china
2015, growing china demand helps soften **new zealand** trade deficit
2016, **indonesia** seeking to reduce deficit in trade with china
2016, **uganda**: retrenchment will balance our trade deficit with china
2017, **belarus** lukashenko concerned over belarus-china trade imbalance
2017, **pakistan**, china fta talks begin; trade imbalance in focus
2017, **nigeria** can do a lot to address trade imbalance with china
2018, **mexico** amlo will seek to reduce trade deficit with china
2019, china, **rwanda** jointly bridging the trade imbalance
2019, laadhari calls for countering trade volume imbalance between **tunisia** and china

*1980, china-japan relations;li qiang calls for correction of trade imbalance.
*1985, trade imbalance must be rectified, says china
*1988, china looks to cutting trade deficit with australia
*1993, imbalance worries china as taiwan trade soars

Table 1: Examples of Headlines on Concerns over Bilateral Trade Imbalances (with China). *Note*: source: LexisNexis.

Furthermore, domestic elites, publics, and firms can interpret imbalances as evidence of unfair exchange, deindustrialization, external dependence, and the state's inability to manage economic liberalization. Leaders under pressure can thereby increase receptivity to alternative order leadership.[18] Indeed, deficit-concerned leaders have resorted to militarized

[18] The macroeconomic model in Appendix C.1 illustrates that persistent deficits can generate nationwide dissatisfaction through public-expenditure and wage channels.

conflicts such as the War of Jenkins' Ear (Young and Levy 2011) and the Britain-China Opium War.[19] More recently, deficits have reduced support for economic openness (Simmons 2000; Spater 2024), increased trade restrictions (Broz et al. 2016), and fueled protectionism (Delpeuch et al. 2021).

Global Imbalances as a Helpless Issue

For the loyalty-collapse mechanism to apply, global imbalances, I argue, satisfy the four conditions of a helpless issue for a nontrivial set of states.

Large external deficits are *persistent* for many countries (almost indefinitely). At high magnitudes, they can impose *severe* economic and political costs, as described above. Leaders can attribute it to the order: imbalances emerged under the LIO-shaped liberalization, which narrowed the policy autonomy of states (Stiglitz 2004; Quinn and Toyoda 2007); balance-of-payments problems have repeatedly impeded states' further liberalization (Broz et al. 2016). Finally, it is *resistant* to reform: adjustment requires long-term austerity, protectionism, or painful restructuring, which are politically costly or LIO incompatible; the LIO is realistically incapable of correcting this deep distributive asymmetry even for the most powerful members (e.g., the United States).

States' own words register the resulting sense of helplessness. For example, South Africa's *Business Day* (2016) observes, "*persistent current-account deficit is regarded as one of the country's major vulnerabilities...*" Kenya's *Business Daily* (2013) similarly highlights that "*Kenya's large and persistent current-account deficit... raises major concerns.*" Acutely, Pakistan's leading commercial magazine, *Pakistan and Gulf Economist* (2022), laments that "*persistent current-account deficit and huge trade imbalance... have been haunting our economy for long, but unfortunately, no solution...*"

China's Asymmetric Implication

For the implicated outside-option mechanism to apply, China must be implicated in some dimensions of global imbalance but not in others. Generally speaking, on the financial front, China is an attractive source of loans and investment. On trade, by contrast, China runs

[19] https://www.nationalarchives.gov.uk/education/resources/hong-kong-and-the-opium-wars.

ballooning surpluses with most of its partners (see Figure A.3), including the African governments that increasingly tie their bilateral deficits to "mountains of debt, much owed to Beijing."[20]

Two perceptions. Therefore, leaders' perceptions of China should differ across financial and trade dimensions of imbalances. Even though trade is the largest component of the current account, current-account balances are mostly interpreted through financial lenses because they closely relate to the saving-investment balance, debt accumulation, and external financing (Barattieri 2014; Obstfeld and Rogoff 2009), while trade imbalances primarily capture trade flows. In the cross-national dataset below, the two are not correlated ($p > 0.2$): a country can run trade deficits while maintaining current-account balances, and vice versa.

The analysis overall predicts that persistent current-account deficits, which primarily activate financial grievances, should increase support for Chinese leadership because China is less implicated financially. However, bilateral trade deficits with China should dampen support shifts by revealing China's direct implication in trade. Additionally, persistent trade deficits, a grievance in which China is negatively implicated at large, should not raise support.

4.2 Independent Variable: Grievance

Testing the mechanisms (H1.1 and H1.2) requires identifying LIO (and helpless) issues and measuring the aggregate grievances a state faces. I classify the order's issues by the four theoretical conditions, then aggregate the grievances they generate into a single score.

Identifying Helpless Issues

I identify a bounded universe of LIO issues by drawing on a comprehensive set of all articles from *International Organization*'s 75th special issue on LIO contestation. This anchors the empirical analysis in issue domains already recognized by the literature. I then systematically identify a total of ten issues, excluding issues that are difficult to operationalize, such as ideational conflict or disinformation,[21] and issues that are little attributable to the LIO

[20] "Insight: Africa's dream of feeding China hits hard reality," Reuters, June-28, 2022.

[21] I nonetheless control for multiple ideational variables in the empirics.

rules, such as climate change or territorial disputes (see Appendix C.2 for details). Listed in Table 2, the resulting issue set spans trade, finance, development, governance, and domestic society, arguably capturing the major salient issues frequently debated.

I then apply the four conditions derived from the loyalty mechanism uniformly across ten issues, employing three complementary approaches. First, I qualitatively assess each issue based on four helpless conditions, each of which is rated as high or not-high, relying on statistical facts and literature (see Appendix C.3 for assessment details). The judgment is, in most cases, simple and straightforward, as the goal is qualitative classification rather than fine-grained measurement.

	Stubbornness	**Severity**	**Attributability**	**Unaddressability**	**Helpless?**
Global Imbalances	**high**	**high**	**high**	**high**	**yes**
Financial Crises	**high**	**high**	**high**	**high**	**yes**
Import Competition	not-high	not-high	high	high	no
Low FDI	high	not-high	not-high	not-high	no
Economic Inequality	high	not-high	not-high	not-high	no
Low Economic Growth	not-high (*)	high	not-high	not-high	no
Deindustrialization	high	not-high (*)	not-high (*)	not-high	no
High Debt	high	not-high (*)	not-high	not-high	no
High Unemployment	not-high (*)	not-high (*)	not-high	not-high	no
Global Governance Deficit	high	not-high	high	high	no

Table 2: The Typology of Major LIO Issues. *Note*: See Appendix C.3 for assessment rationale. (*) denotes corner cases.

Of the ten issues, I identify two, global imbalances and financial crises, that consistently rate high on all dimensions (Table 2). Recurrent financial crises (for some) are excessively grievous, highly order-attributable, and beyond realistic national solutions or order-level reform (Broz et al. 2020). The remaining issues fail on at least one condition: for example, import competition is often connected to LIO's trade rules, but it is mostly neither sufficiently persistent nor nationally severe on its own. Low FDI, high debt, deindustrialization, or inequality may each generate genuine grievances, but they are either weakly attributable to the LIO or plausibly addressable through domestic policy.[22]

[22] The classification is also robust to reasonable disagreement: for a small number of borderline cases, such as the severity of high debt, flipping ratings does not alter the overall helpless assessment. In addition, I invite two domain experts in international economics who independently confirm the overall classification, despite several dimensional disagreements (see (*) in Table 2). An LLM-based media-perception assessment of all news articles since 2000 mentioning the ten issues shows that global imbalances and financial crises

Measuring Grievance

To measure the grievance each issue generates, I follow existing approaches (e.g., Broz et al. 2020; Flores-Macías and Kreps 2013; Kastner 2016) that use historical averages to proxy perceptions. For example, for grievances over external imbalances, I assume that larger long-run deficits correspond to deeper grievances. Since leaders may discount more distant events, I add a time-discounted factor G_i in year i over the period $i - n$ to i:

$$G_i = \frac{\sum_{j=i-n}^{i}(1 - d(i-j))Bal_j}{\sum_{j=i-n}^{i}(1 - d(i-j))}$$

where Bal_j denotes the current-account or trade balance in year j, and d is the discount factor that assigns progressively lower weight to older events. For example, if $d = 0.05$, a 20-year-old event may be almost forgotten.[23]

As with global imbalances and financial crises (Broz et al. 2020),[24] when applicable, I use analogous weighted measures:[25] specifically, the change in import share for import competition, the change in manufacturing output for deindustrialization, the weighted average of net FDI inflows (% of GDP) for low FDI levels, and the weighted average growth rate for economic performance. The data are from the World Bank. As inequality typically means wealth concentration among a small group, I calculate the weighted average income share of the top ten percent (World Inequality Database). The debt burden is measured using the weighted average of central government debt rate, and the weighted average unemployment rate is used to proxy labor market troubles (both from the IMF). Lastly, global governance deficit is proxied by the difference between a country's IMF vote share and its global GDP share. Additionally, since leaders may perceive grievances conditional on income levels, I calculate another version of measure—residualized grievance partialling out GDP per capita, and retest all major results (see Appendix D.12).

consistently rank highest across all four conditions. Appendix C.4 provides the full design and human-validation details.

[23] I assess robustness to multiple discount values (from 0 to 0.2 increased by 0.05) showing consistent results.

[24] For financial crises, I combine datasets from Obstfeld and Rogoff (2009) and Laeven and Valencia (2018), including banking, sovereign debt, and currency crises.

[25] I use a two-decade window for helpless issues and one-decade for non-helpless issues, reflecting the former's greater cumulative impact (results are robust to equal one-decade windows).

Theoretically, aggregate grievances accumulate additively across issues. I then aggregate individual issues' grievances into the *Globalization Grievance* (GG) score and build a panel dataset (1996-2022) for testing the threshold-based effect (H1.1).[26] The (rescaled [0-1]) GG score aggregates z-score standardizations of issue k's grievance G_{kit} over the whole period for temporal comparability, weighted by helplessness w_k (e.g., helpless=3–10; non-helpless=1). Mathematically:[27]

$$GG\ Score_{it} = \sum_{k=1}^{n} w_k Z_{kit}, \quad where \quad Z_{kit} = \frac{G_{kit} - \mu_k}{\sigma_k}$$

The aggregation of standardized measures, which capture how unusually severe one's grievances are relative to others, is widely used for composite indices (e.g., World Bank WGI Indicator, KOF Globalization Index).[28]

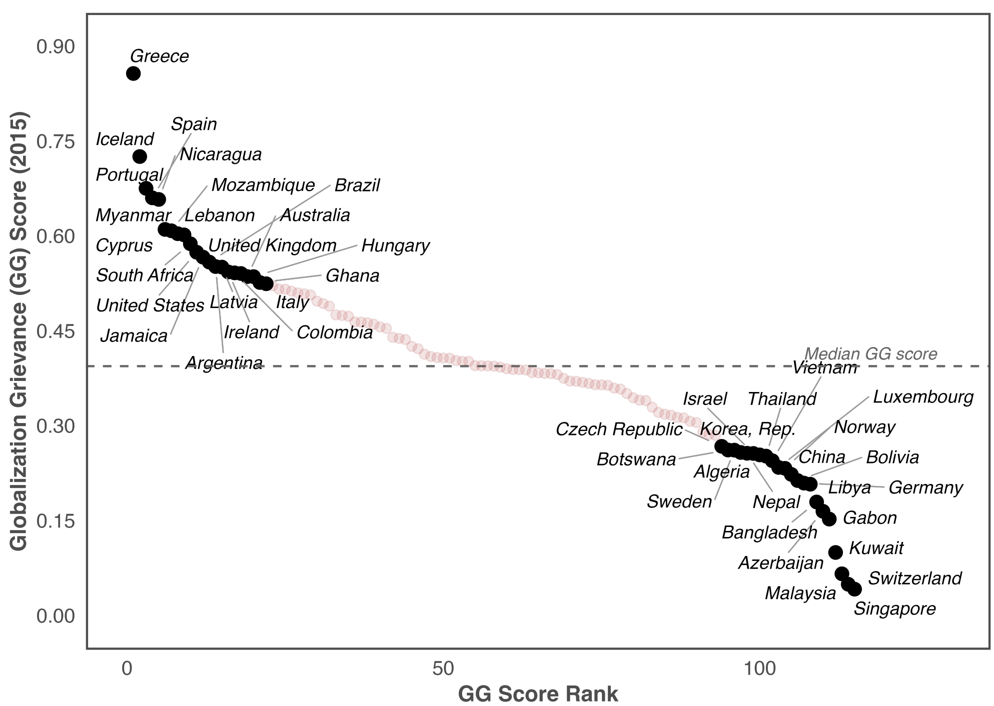


Figure 5: Globalization Grievance (GG) Score Distribution (2016). *Note*: The graph plots country distribution of the GG score and labels top/bottom 20 countries.

[26]This is not circular because the GG score does not encode the theory-predicted threshold information.
[27]I bound 2.5% tails to exclude extreme observations.
[28]For example, the KOF Globalization Index aggregates normalized economic and political variables (Dreher et al. 2008).

The GG score (baseline helpless-weight=5) produces strong face validity.[29] In Figure 5, the 20 most aggrieved countries in 2016 include Greece, Nicaragua, Portugal, Spain, Argentina, South Africa, Myanmar, Brazil, Ireland, Hungary, Colombia, Italy, and even the U.S. and U.K.—many witnessed heightened anti-globalization populism. The least aggrieved countries, by contrast, include Singapore, Switzerland, Kuwait, Malaysia, Azerbaijan, Bangladesh, Germany, Vietnam, Luxembourg, Norway, China, South Korea, Sweden, Israel, and Thailand. A full country list is found in Table D.15. In Figure 6, temporal GG scores for six example countries alongside LLM-assessed grievances provide convergent validity: three BRI-summit-attending EU countries remained substantially high.[30]

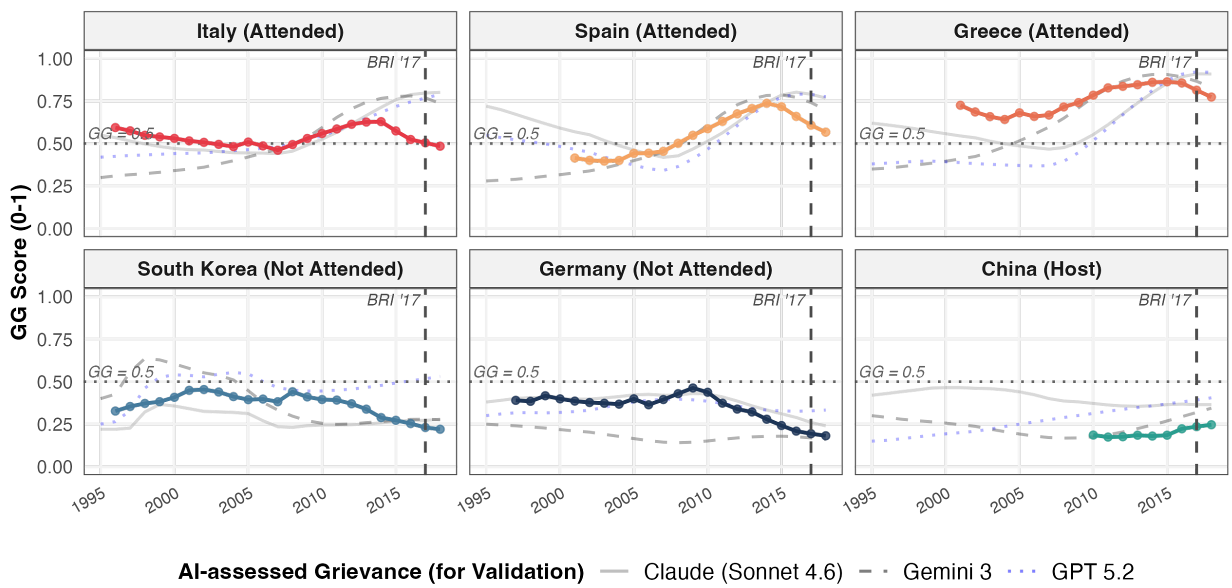


Figure 6: Globalization Grievance (GG) Score Examples. *Note*: The graphs plot GG scores (solid lines) across six countries. Attended: leader attending the 2017 BRI summit.

Two checks guard against the concern that the score's predictive power reflects how issues are labeled or weighted. In Appendix D.10, 1,000 permutation tests that randomly reclassify 0-10 issues as helpless and run the baseline model below yield only 0.8 percent of the coefficients larger than the theory-guided one; varying the helpless-weight from 1 to 10 shows that effects lose significance when $weight < 3$ (giving more influence to non-helpless

[29]Results are similar when varying helpless-weight from 3 to 10.

[30]I asked LLMs to rate, on a 0-1 scale, country X's grievances each year in the globalized economy.

issues).

4.3 Dependent Variable and Covariates

The main dependent variable (support for Chinese leadership of an alternative order) needs to satisfy three criteria: (1) *Interpretability* as an order-targeted disengagement. Measures like human-rights alignment may obscure states' motives. (2) *Grievance-relatedness*: leaders, however aggrieved, are unlikely to respond to unrelated events. (3) *Costliness*: necessary for the scope condition of visible net disengagement costs. Thus, routine engagement—leader visits or speeches, IO voting patterns, or normalized commercial participation in China-led institutions—is not applicable.

Following Broz et al. (2020), I choose head-of-state attendance at the inaugural 2017 BRI Summit (1 if attended, 0 otherwise) as a public, costly leader-level signal of support for Chinese global leadership with order-targeted significance. First, the BRI advances China's alternative leadership after Trump's inward turn and represents a unique vision distinct from the LIO (so that support will not be misinterpreted) (Broz et al. 2020). Second, the summit's communiqué challenges LIO issues, reinforcing the support interpretation as order contestation (ibid). Third, and importantly, the measure satisfies the scope condition: in 2017, the nascent China-led order remained inferior to the LIO. The BRI had drawn warnings about "debt-trap" and China's order-building ambitions.[31] Thus, despite invitations to all Western leaders, few participated (ibid); many anticipated limited benefits but nontrivial costs (Atkins et al. 2023), including supporting authoritarian leadership.

Therefore, this event satisfies the three criteria of supporting alternative authority, in contrast to less politically costly commercialized BRI-related engagement, such as membership and signed projects or memorandums. Appendix D.1 evaluates several alternatives. For example, AIIB founding membership (Qian et al. 2023) primarily reflects commercial motivations, particularly attracting surplus countries. Initial BRICS applications lack interpretive clarity with core members' divergent interests, mostly attracting autocracies—same

[31] "China's Debt-Trap Diplomacy," Project Syndicate, 17-January-2017. "China's new world order," CNN, 14-May-2017.

as "Xinjiang Paper signatories."[32]

Among all states, 29 states sent heads of state, of which 18 ran 20-year average current-account deficits. States support China for various reasons; the empirical strategy isolates the core grievance channel by accounting for baseline support propensity, such as attendance benefits and ideology. The covariates mirror Broz et al. (2020) to establish a comparable and robust benchmark: being on the BRI routes and having free trade or investment agreements with China as prior economic preferences are controlled for. Other covariates include the Ideal Point distance from China, leader's ideology, regime type (Polity V), and the CIRI human rights index (Cingranelli et al. 2014) for political factors, as well as GDP, GDP per capita, and GDP growth rate for economic factors.

5 Empirical Results

I progressively test two core mechanisms. Meanwhile, I complement them with two cross-domain supplementary tests: (1) the 2022 UNES-11/1 resolution on Russia's invasion of Ukraine as costly LIO defiance for Mechanism I, and (2) UN General-Assembly (UNGA) voting patterns for Mechanism II.

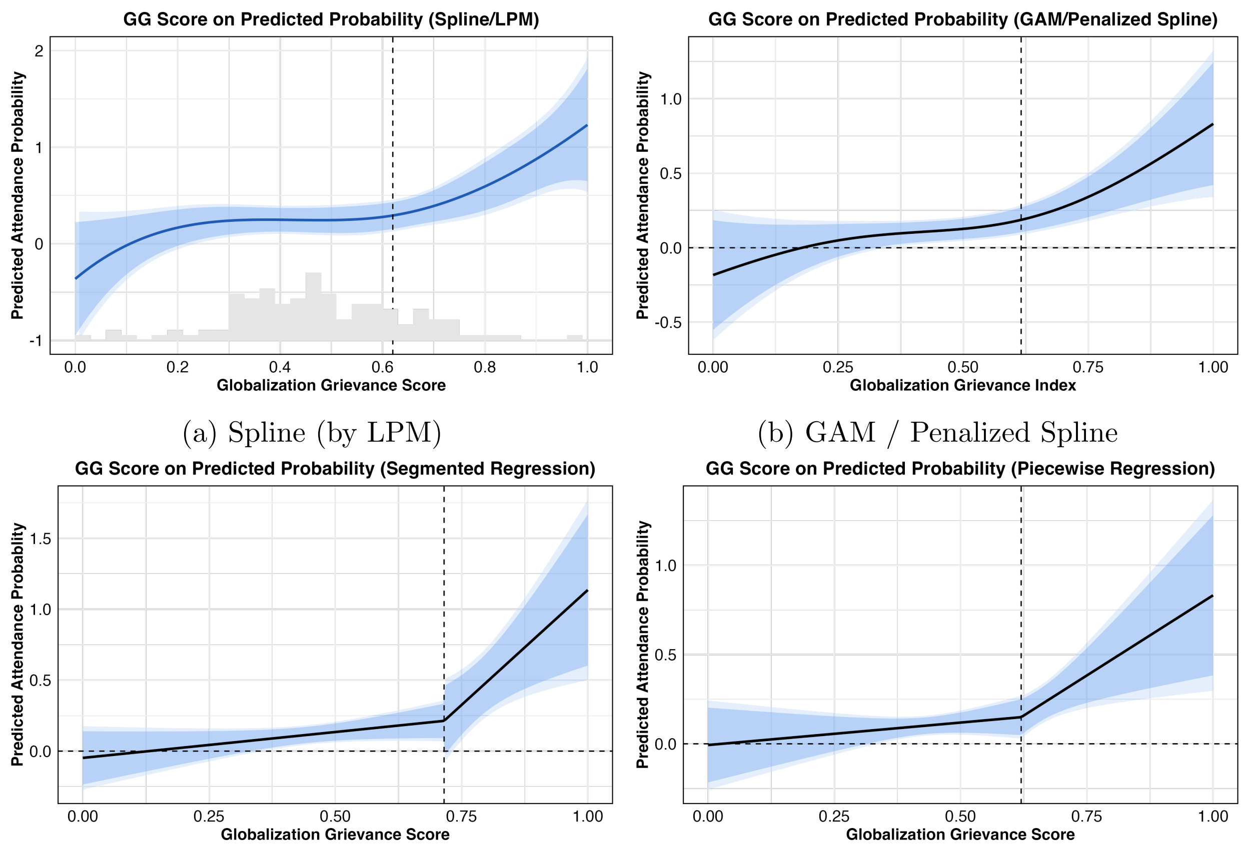
5.1 The Loyalty-collapse Mechanism

I present convergent evidence at both grievance and issue levels. The mechanism predicts that disengagement should rise sharply once grievances cross a threshold and, equivalently, should concentrate among helpless issues.

For the grievance-level nonlinear relationship between grievance and summit attendance (*H1.1*), while the cases (Italy and Canada) and leaders' rhetorical analysis below more clearly illuminate the mechanism, I show robust quantitative evidence. I examine the threshold-based effect across spline, GAM penalized spline, segmented, and piecewise specifications, with the GAM and segmented models allowing data to drive any nonlinearity. I control for the same covariates as above.

[32]Appendix D.6 tests these as placebos.

Figure 7 visualizes a consistent threshold-based effect across four models.[33] Across most of the grievance (GG score) distribution, predicted attendance probability remains flat near zero; it increases sharply only after high levels of grievance (around 0.62 or the 80th percentile in panel (a)/(b)). Piecewise and segmented specifications test two data partitions, with the latter's threshold estimated at 0.71 with a bootstrap confidence interval of 0.57-0.86 (95%, 1,000 draws).[34] A Hansen-type change-point model similarly estimates a significant increase of 0.436 in predicted probability at 0.72 ($p = 0.015$).



(a) Spline (by LPM)

(b) GAM / Penalized Spline

(c) Segmented

(d) Piecewise

Figure 7: Predicted Probability of BRI Summit Attendance. *Note*: Panel (a) plots the predicted probability by GG score with 95% and 90% CIs (knot at 80th percentile; robust results for other knots in Appendix D.11). Panel (b) plots the GAM (penalized spline) model without knots. (c) and (d) plot two threshold regressions, with segmented threshold estimated automatically (see Appendix D.10 for details).

Convergence across all specifications reduces the likelihood of chance. However, because

[33] All model details are in Appendix D.10.

[34] Threshold regressions estimate two hinge terms: $\beta_1 min(X_i, c)$ and $\beta_2(X_i - c)\mathbf{1}(X_i > c)$, with threshold c.

the estimate leans on a sparse upper tail, I probe its stability: with bootstrap resampling of 1,000 draws (for the segmented model), the post-threshold slope remains positive in over ninety-five percent, and a targeted power analysis for the upper tail subsample yields 0.88.[35]

For the parallel issue-level hypothesis (*H1.2*) which predicts that disengagement concentrates among helpless issues, I adopt a two-pronged operationalization strategy. First, I estimate the effects of ten issues on BRI summit attendance, both individually and jointly (pooling all issues in one model). Second, I collapse issues into a dummy variable "helpless," which equals 1 whenever any issue that belongs to helpless issues exceeds a threshold (e.g., 75th percentile). For robustness, I construct placebo helpless dummies for non-helpless issues as if they were helpless, as well as re-estimating all models at the 50th percentile (Table D.14).

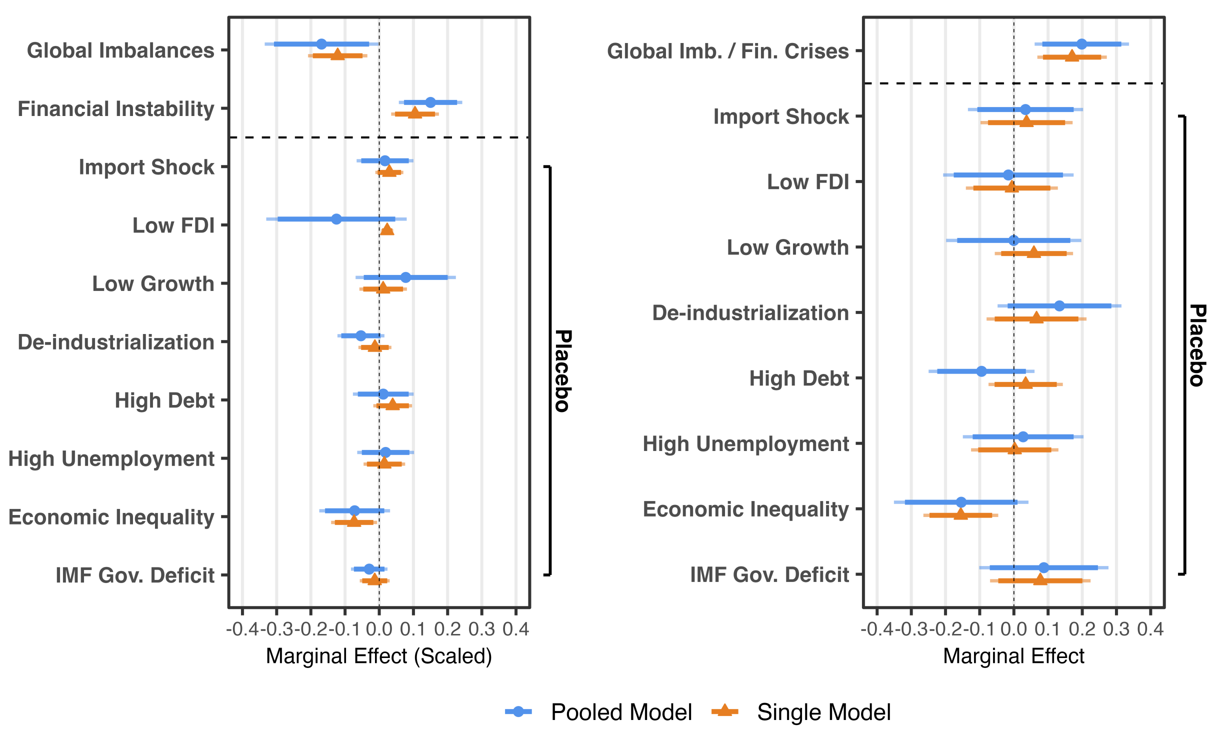


Figure 8: Scaled Marginal Effects of Ten Major LIO Issues. *Note*: The left panel plots scaled marginal effects of ten LIO issues for both single-issue and pooled-issue LPM models, with 90% and 95% CIs. The right panel plots marginal effects of the constructed helpless dummy variables. See Appendix D.7 for full models. Alternatively, probit models report similar results (Table D.12).

[35] Additionally, I show consistent threshold-based results using alternative grievance measures: rank-based (Appendix D.13) and income-residualized GG scores described above (Appendix D.17).

Figure 8 displays results for both operationalizations. The left panel shows scaled marginal effects from linear probability models (LPM), in both single (orange) and pooled (blue) models (see Table D.11 for full models). These effects are interpreted as the change in attendance probability by a one-standard-deviation increase in the issue variable. Only global imbalances (current-account balance) and financial crises exhibit statistically significant effects in both single-issue and pooled models.[36] Notably, the pooled model including all ten issues provides particular robustness, mitigating confounding bias for global imbalances (Table D.11). Standard diagnostics include multicollinearity and statistical power checks.

The right panel for the helpless dummy also yields consistent results (see Appendix D.13 for full models). For both single and pooled models, only dummies constructed from helpless issues exhibit significant effects; in contrast, all placebo dummies constructed from non-helpless issues are insignificant.

Overall, both grievance- and issue-level evidence support the theory, implying that LIO stakeholders should prioritize the structural reform of helpless issues. The theory also helps explain Broz et al. (2020)'s conjecture about why some issues (e.g., WTO complaints) only motivate reform demands, while others (e.g., financial crises) lead to order transition, that is, shallow versus deep contestation.

Cross-domain Corroboration: UNES-11/1. I utilize the UNES-11/1 resolution, which was the first UNGA vote condemning Russia's full-scale invasion. These requests concerned core LIO principles with Western powers backing Ukraine, rendering non-compliance a costly order defiance with few foreseeable benefits. Empirically, I also find that only current-account imbalances and financial crises exhibit significant effects (see Appendix D.11).[37]

5.2 Mechanism II: The Implicated Outside-option

The second mechanism predicts that, within the issue of global imbalances, China's implication in trade should temper the support total current-account imbalance generates; and total

[36] I also confirm a threshold effect for global imbalances only (Figure D.13).

[37] UNES-11/1 also reveals a nonlinear grievance-disengagement relationship (Appendix D.11), albeit weaker than the BRI case.

trade imbalance should not generate the support. I rely on multiple identification strategies (and the Italy case below), beginning with the following LPM model:

$$\mathbb{E}[Attendance_i \mid \mathbf{X}_i] = \beta_0 + \beta_1\, AvgBal_i + \beta_2\, BalChina_i + \beta_3\, AvgBal_i \times BalChina_i + \boldsymbol{\beta_4'}\mathbf{X}_i$$

where ($AvgBal_i$) are the weighted average current-account and trade balances (lagged, both as % of GDP in 2011-2017).[38] Because two balances are *perceived* differently as explained in Section 4 and not correlated ($p > 0.2$) suggesting little multicollinearity, I specify both individual and joint models (i.e., pooling two balances), with covariates matching Mechanism I. Since recurrent financial crises are related to persistent deficits (Obstfeld and Rogoff 2009), I retain the financial-crisis count. Moreover, I test the moderating effect of China's implication in trade by interacting two main balances with bilateral balances with China (1 if negative, averaged over the past five years).

[38]The range 2011-2017 is the most recent decade before the summit and I avoid the aftermath of the 2008/9 Financial Crisis. The range contains more available data (150+ countries vs. 120+ of the 2001-2017 range). Nonetheless, both time ranges are tested (Appendix D.15).

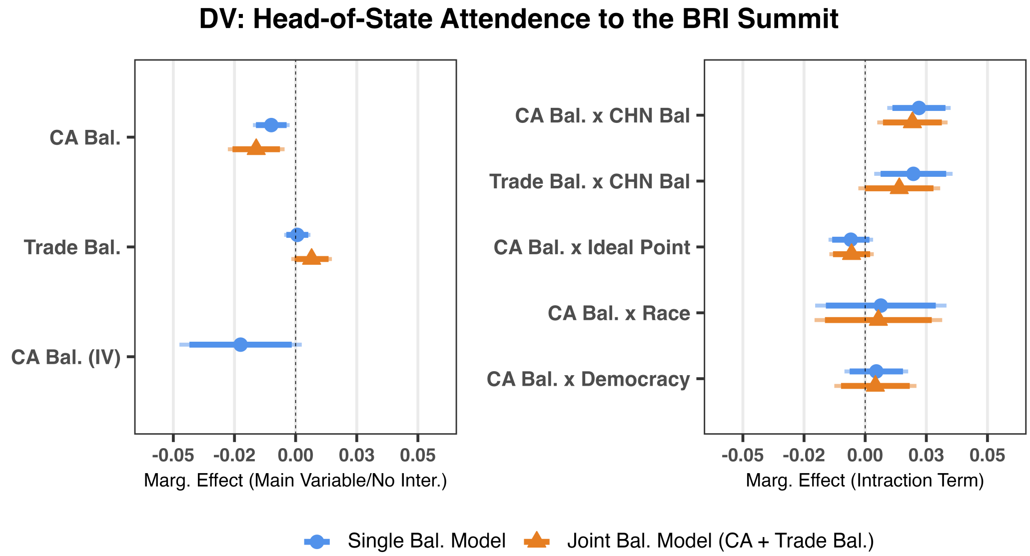


Figure 9: The Effects of External Balances on BRI Summit Attendance. *Note*: The left panel depicts the average marginal effects of external balances across varied models with 90% and 95% CIs. The right panel depicts the interaction effects of external imbalances and moderators. Joint models (orange) put in both current-account and trade balances. See Appendix D.9 for full results.

Figure 9 presents average marginal effects (AME) across specifications, including models containing both balances (orange) and models containing solo balance (blue) (see Appendix D.9 for full models). As expected, current-account balance is negatively correlated with attendance (top blue bar, left panel), consistent with the prediction that persistent current account deficits drive support for Chinese leadership. Trade balance shows non-negative coefficient, consistent with the expectation that countries with trade deficits are unlikely to turn to China given its problematic trade practices. Notably, this distinction mirrors the covariate pattern (BIT is significant while FTA is not). Substantively, moving from a current-account surplus (10%) to a common deficit (-10%) increases the probability of attendance from about 2% to 20% (a tenfold increase), holding covariates at their mean values.

The interaction coefficients in the right panel confirm that bilateral trade deficits with China dampen support shifts, whose effect is almost eliminated (coefficient from -0.029 to -0.006). However, the interactions of current-account balance with Ideal Point distance, major race, and regime type are all insignificant, suggesting that support shifts are more universal across country types. Besides, I find that China's implication in issues tangent to the contested issue does not moderate support (confirming Note 10): interacting financial-crisis count with bilateral imbalances yields an insignificant effect.[39]

To strengthen causality, first, I conduct sensitivity analysis following Cinelli and Hazlett (2020), showing that any omitted confounder needs to be 25, 8, and 5 times as strong as BRI location, Ideal Point distance, and GDP per capita (Appendix D.2). Second, I implement inverse propensity-score weighting (IPW), which achieves covariate balance and reports consistent doubly-robust estimates (Appendix D.3). Third, I adopt the control function method (Two-Stage Residual Inclusion (2SRI) in the dichotomous DV case (Terza et al. 2008)), which utilizes historical industrial intensity (2001-05) as the instrument, rendering an endogenous variable conditionally exogenous (see Appendix D.4).

Cross-domain Corroboration: UNGA Voting. The implicated outside-option mechanism reflecting the attribution logic may manifest in routine diplomacy. Studying alignment in UN General Assembly voting, where bilateral trade is known to shape affinity (Bailey et al. 2017; Flores-Macías and Kreps 2013; Kastner 2016), I find that larger bilateral deficits with China are associated with lower voting affinity, using the panel data since 1992 (see Appendix D.6 for full specifications). Mirroring the BRI case, states are less responsive to bilateral imbalances when total balances remain balanced (Table D.10).

Additional Robustness Checks

The main results are robust to sequentially excluding each country and year, trimming the top and bottom 5% of the balance distribution, multiple imputation for missing data, continent indicators, military alliance and Global South dummies, alternative regime measures, and restricting the sample to LIO beneficiaries (e.g., WTO members).

[39] All models report robust standard errors and check for multicollinearity and statistical power.

6 Mechanism Evidence

The cross-national tests above establish that grievance moves support and that it concentrates among helpless issues. This section turns to two bodies of leader-level evidence: the rhetoric of national leaders and the process traced through two cases, which together show the mechanisms at work.

6.1 Rhetorical Evidence: What Do Leaders Say?

If grievance erodes support by way of loyalty, then leaders should, in their own words, register the beliefs on which loyalty rests. I draw on the United Nations General Debate Corpus (UNGDC), which compiles tens of thousands of near-universal statements delivered by national leaders (one country per year) at the General Assembly. These speeches, although low-cost and not specifically targeting the LIO, capture leaders' perspectives over time on domestic and international affairs of the established world order and are systematically comparable cross-nationally (Jankin et al. 2024; Kentikelenis and Voeten 2021).

Using a large language model on a rubric-based zero-to-five scale of rhetorical intensity, I score each speech along five political-economic dimensions, ranging from no mention (0), through neutral reference, mild endorsement, clear affirmation, and strong conviction, to highly passionate advocacy (5). The five dimensions are: (I) domestic grievances with the globalized system; (II) disappointment with the globalized system; (III) calls for reforming the globalized system; (IV) confidence that reform is feasible; and (V) calls for system replacement outright. Per Hirschman (1970)'s framework, I-III capture voice, while IV and V reflect loyalty strength and loyalty collapse, respectively. See Appendix D.14 for annotation and validation details.[40]

[40] I show similar results across different LLM models and an alternative scale of rhetorical salience (i.e., text coverage). Human-LLM correlation and random-sample inspections confirm LLM validity.

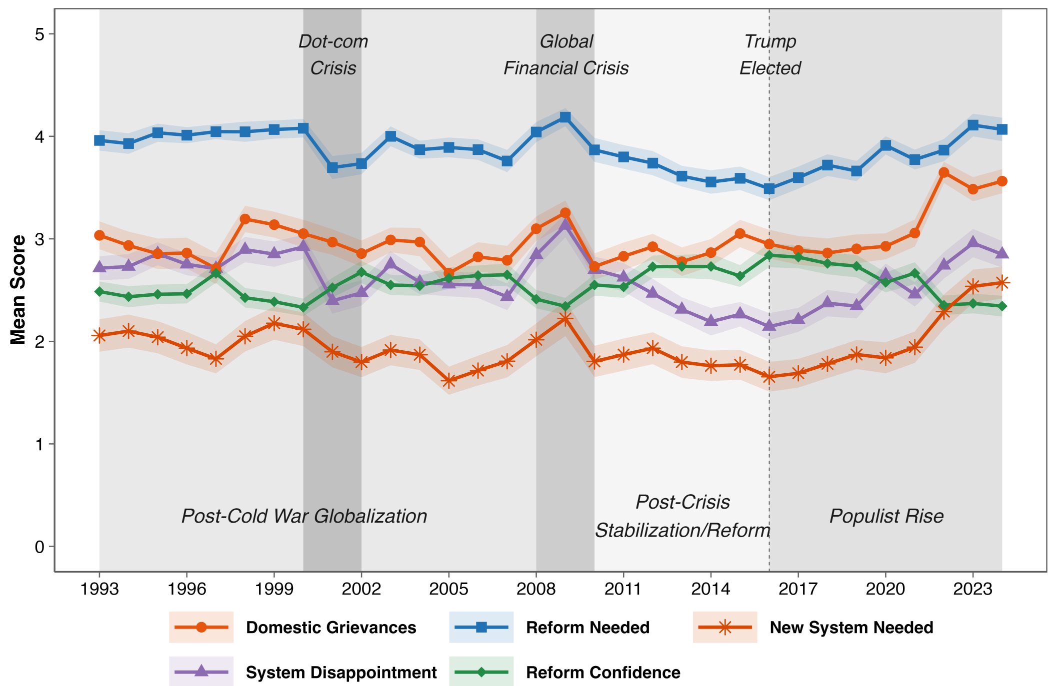


Figure 10: United Nations General Debate Corpus. *Note:* This figure plots annual averages of five LLM-scored speech dimensions (0-5 scale) at 95% CI levels.

Figure 10 reveals that dissatisfaction persists throughout the post-1990 globalization period. However, calls for system replacement (brown line) remain substantially lower than reform-oriented voice (blue line), indicating that loyalty generally remains among countries (especially before 2016). I then estimate the effects of grievances (the GG score) on the five dimensions of leaders' rhetoric with country/year fixed-effects. I control for regime type (V-Dem), leader ideology (Herre 2022), Ideal Point distance, growth rate (%), GDP per capita (log), trade openness (%), Chinn-Ito capital-account openness, WTO membership, and natural resource intensity (%) (see Appendix D.14 for full specifications). Because the GG score is constructed from major performance data, I include limited structural economic and political conditions necessary for mitigating confounding.

Panel A:

	Dependent Variable				
	Domestic Grievances	System Disappointment	Reform Needed	Reform Confidence	New System Needed
	(1)	(2)	(3)	(4)	(5)
GG Score	0.195	0.912***	0.489**	−0.671***	0.278
	(0.295)	(0.310)	(0.221)	(0.231)	(0.353)
Controls	✓	✓	✓	✓	✓
Country FE	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓
Num.Obs.	2236	2236	2236	2236	2236
R2 Adj.	0.212	0.324	0.319	0.207	0.283
R2 Within Adj.	0.053	0.103	0.071	0.047	0.060

Panel B:

	Dependent Variable					
	Reform Confidence					New System Needed
	(6)	(7)	(8)	(9)	(10)	(11)
GG Score	−1.776***	0.335	−0.628***	−1.459***	−0.147	0.765***
	(0.478)	(0.515)	(0.235)	(0.419)	(0.399)	(0.280)
GG Score x Democracy	2.428***					
	(0.828)					
GG Score x Global South		−1.262**				
		(0.563)				
GG Score x Ideal Point			0.657**			
			(0.267)			
GG Score x WTO Member				0.829*		
				(0.451)		
GG Score x Leader Ideo. (left)					−0.837**	
					(0.422)	
GG Score x Leader Ideo. (right)					−0.463	
					(0.380)	
Controls	✓	✓	✓	✓	✓	✓
Country FE	✓	✓	✓	✓	✓	
Year FE	✓	✓	✓	✓	✓	✓
Num.Obs.	2236	2236	2236	2236	2236	2236
R2 Adj.	0.212	0.210	0.210	0.207	0.208	0.119
R2 Within Adj.	0.053	0.050	0.050	0.047	0.048	0.092

* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$

Robust SEs clustered by country.

Table 3: Effects of Grievances on Leaders' Speeches. *Note:* Dependent variables are LLM-scored speech dimensions (0-5) from the UNGDC. Covariates include regime type, leader ideology, ideal point distance, GDP per capita, growth rate, trade openness, capital-account openness, WTO membership, natural resource intensity (Appendix D.14 for full results).

The results provide support for the loyalty-erosion logic. Panel A of Table 3 shows that higher GG scores predict greater *within-country* "system disappointment" and "reform needed" rhetoric, and lower "reform confidence." By contrast, grievances have no effect on "new system needed." They suggest that rising grievances slowly erode loyalty (measured by reform confidence), yet mainly stimulate reform-oriented voice rather than system replacement—consistent with a nonlinear loyalty-eroding pattern. Moreover, the specification with *only* year fixed-effects (Model 11) shows that cross-nationally, more aggrieved leaders indeed advocate system replacement, suggesting that a minority of states has crossed the threshold of loyalty erosion.

Panel B reveals cross-national nuances in loyalty stickiness: Models 6-10 show that grievances more strongly erode loyalty for countries that are less democratic, from the Global South, with greater Ideal Point distance from the U.S., or non-WTO members. Notably, both left- and right-wing governments lose loyalty more readily than pragmatic centrists, suggesting that ideological extremity, rather than left-right direction, amplifies contestation.

6.2 Case Illustration

Italy's Attending, Joining, and Quitting

As a NATO ally and the only G7 state to send its head of state to the 2017 BRI summit, Italy is an analytically hard case: if it can support Chinese leadership due to issue-induced grievances, the mechanism should plausibly hold for more states. Meanwhile, although less loyal, Italian populist elites still satisfy the scope condition: costly disengagement. With the White House labeling the BRI as "debt traps" (Atkins et al. 2023), EU members criticizing the decision, and domestic legislators pushing back on China's human rights practices (Meacci 2021), Italy's government carefully framed its shift within existing EU-China frameworks, emphasizing the non-committal nature (Atkins et al. 2023).

The loyalty-collapse mechanism. The Joint Communiqué of the 2017 BRI summit emphasized "financial crises, unsustainable development, and uneven globalization" (Broz et al. 2020). This echoed Italy's long-standing macroeconomic distress: over a decade of stagnation, recurring recessions, and sovereign debt crises producing one of the highest debt-to-GDP ratios.[41] In fact, its troubles may trace back to the 1970s (high youth unemployment,

[41] "Italy joins China's Belt and Road Initiative," Aljazeera, 23-March-2019.

soaring inflation, and budget deficit of about 10% of GDP). Italy also ran persistent current-account deficits from 1973 through the 2010s (except for the 1990s). This combination of lasting, severe, and systemic grievances made things appear "*helpless*": entrenched problems Italy could not solve unilaterally, whose persistence signaled that global economic authority (Eurozone fiscal rules, ECB austerity constraints, IMF surveillance norms) had ceased to deliver and to be reformable. Italy entered the mid-2010s deeply grieved, facing what The Economist termed "the sick man of Europe."[42]

Crucially, Italy initially tried reforms, suggesting some loyalty stickiness. The Monti technocratic reforms (2011-2013), including pension reforms, spending cuts, and labor-market and regulatory liberalization, were effectively a forced realignment with EU rules. Yet, as troubles persisted despite these efforts, loyalty collapsed rapidly. Domestic politics directly reflected this: anti-establishment parties quickly gained steam in elections. In 2018, the country elected a populist coalition (Five Star Movement-Lega) that was anti-establishment, repeatedly claiming Italy was "in battle with Brussels."[43] Facing EU rejection of its fiscal plan, Deputy Prime Minister Matteo Salvini stated, "Italy no longer wants to be a servant to silly rules."[44] This sequence—reform attempts, continued frustration, loyalty collapse—closely tracks the nonlinearity mechanism.

The implicated outside-option mechanism. Notably, although Italy may not attribute its position change solely to external deficit, it did relate to it. Luigi Di Maio, former Deputy Prime Minister who later signed the BRI, explicitly framed it as a solution to Italy's external imbalance, hoping for "a substantial increase in exports" to improve its current-account position.[45] Thus, severe grievances motivated the receptivity to an alternative leader. Importantly, at that moment, Italy was driven more by financial grievances (e.g., debt, recession, and lack of investments) with relatively fewer concerns over Sino-Italy bilateral imbalances, so China, as an outside option, seemed viable.[46]

Italy's 2023 withdrawal from the BRI powerfully reinforces the "implicated outside-

[42] "The real sick man of Europe," The Economist, 15-Oct-2016.
[43] Al Jazeera, "Italy joins China's Belt and Road Initiative," 23-Mar-2019.
[44] "Salvini says Italy won't change budget." Reuters, 24-Oct-2018.
[45] Ibid.
[46] Ibid

option" mechanism. The reversal was driven by a new realization: Italy's bilateral trade deficit with China doubled between 2019 and 2023. In July 2023, during an interview with the local newspaper Corriere della Sera, Defense Minister Guido Crosetto remarked, "... joining the Silk Road (BRI) was an improvised and wicked act... we exported a load of oranges to China; they tripled exports to Italy in three years..."[47] This reflects Italy's realization that the hope for the BRI to alleviate its imbalances was futile because bilateral trade was indeed a source of trouble. China as an outside option proved less credible precisely because bilateral trade indicated its implication.

Canada's "Historical" Position Shift

This recent case illustrates the explanatory power of the loyalty-erosion mechanism. In January 2026, Canada, a long-standing U.S. ally, made a symbolically significant departure from its special relationship with the United States, though not necessarily from the LIO. Prime Minister Mark Carney traveled to Beijing, speaking of "a new world order" and "strategic partners," seeking independent geopolitical strategies.[48] The shift was costly: Canada remained heavily dependent on the U.S. market, with roughly 75% of exports destined south. Despite China's promises on agricultural imports, Canadian leaders remained cautious, allowing only a 5% capped car-import quota, given a substantial trade deficit with China (consistent with "implicated outside-option"). Domestically, Carney faced criticism for embracing an autocracy.[49]

The loyalty-based framework best explains it: Long-term ally loyalty would have impeded disengagement, and for decades Canada remained loyal and negotiated in good faith despite occasional tensions. However, Trump's repeated challenges to U.S.-Canada trade relations and, crucially, claims over Canadian sovereignty rapidly and significantly eroded both institutional and social benefits rooted in mutual trust and identity. For Canadian leaders, far-right American leadership further damaged the ideology-based loyalty. The grievances (at least

[47] Ibid

[48] "Canada's deal with China signals it is serious about shift from US," BBC, 16-January-2026.

[49] Ibid

contemporarily) appeared severe, potentially persistent, and unresolvable, as Carney claimed, "the old order is not coming back."[50] When loyalty collapses, continued attachment can generate more disutility than potential disengagement costs, especially in the presence of an order competitor.

7 Alternative Explanations

I address a few alternative explanations. First, long-term external imbalances may correlate with other structural problems such as low income or deindustrialization. This concern is mitigated by models pooling all issues (Figure 8). Second, states may simply be pulled in by China through economic (especially financial) benefits. I control for relevant confounders such as BIT, FTA and FDI, and show null effects when using the AIIB as the dependent variable. Historical evidence, theory, and the Italy case all suggest a key role of a push channel rooted in grievances.

Third, the scope condition holds: if a China-led order were instead competitive, issue characteristics should not condition disengagement. The findings show otherwise, and even some authoritarian and BRI-route states (e.g., Saudi Arabia, Vietnam, Singapore) still treat the U.S. as a primary security and economic partner and may view public support shifts as costly. Lastly, the results may partly reflect hedging behavior to balance both sides. However, because the LIO and a potential China-led order embody competing rules and norms (Broz et al. 2020), leaders are less able to publicly support both simultaneously in an increasingly bipolar environment (Ikenberry 2011; Mearsheimer 2001).

Why Now? Lastly, why do we observe states supporting Chinese leadership now, given long-persisting issues? As mentioned, the theory builds on the presence of an order competitor: until the 2010s, there was no obvious one to express support for. Yet, once the change in the political opportunity structure (e.g., outside options) appears, grievances can feel especially intolerable (Tarrow 1998; Tocqueville 1856). Historical examples and two panel analyses (UNGA + UNGDC) indicate that issue concerns existed earlier, but policymakers

[50] "Carney's speech to the World Economic Forum," Global News, 20-January-2026.

may require time to assess their severity and persistence. Lastly, the cumulative pain of grievances grows over time, allowing it to cross a certain threshold to trigger disengagement.

8 Conclusion and Discussion

The paper develops an issue-based theory of the timely topic of order contestation (Lake and Wiener 2024), extending the seminal work of Broz et al. (2020) by specifying the conditions under which deep contestation emerges. First, given net disengagement costs, only a narrow subset of issues erodes loyalty enough to make disengagement rational; most issues, however damaging, fail on this, which explains why globalization generates widespread dissatisfaction without widespread disengagement. Second, a challenger loses credibility when it is implicated in the grievances it might otherwise exploit, which explains why comparable support for China has been hard to win. Together, these suggest a "conditional resilience," and provide an issue-centered account of a process that power-transition theory leaves unspecified(Organski and Kugler 1980) in a highly globalized world.

The loyalty-based mechanism, under-theorized in international politics, extends beyond this case, wherever membership is costly to abandon. Britain's exit from the European Union, like the Canadian case here, reflects loyalty that eroded slowly and then broke once accumulated grievances crossed a threshold; movements for regional secession often display the same long incubation and sudden mobilization.

Although the post-Cold War "golden years" may have ended, studying the LIO remains important, partly because it delivered peace and prosperity, and its absence is full of uncertainty. A reduced Cold-War liberal order existed among Western allies. Examining the order's issues offers a crucial lens for understanding contemporary crises: without these issues and the grievances they generated, populist challenges such as Trump's rise would have been less likely. That lens keeps its value even if the order fractures into competing blocs.

The findings also bear on the political economy of global imbalances, a highly contested but politically understudied issue. Imbalances expose a structural tension in the current global economy that runs beyond domestic backlash: persistent deficits tend to fall on emerging democracies, while the largest surpluses accrue disproportionately to autocracies—a distribution at odds with the order's own purposes. Democracies worried about backsliding, then, have reason to attend to the external conditions that erode their domestic foundations.

The theory suggests that addressing the LIO crisis requires distinguishing between symptoms and structural causes. Populism and protectionism are symptoms, while LIO issues are the causes. The typology of helpless issues is a guide to prioritization—reform of the World Trade Organization among them, since the WTO remains ill-equipped to handle distortions such as mercantilism (Wu 2016), so that the order's economic core can corrode the order itself. Left unaddressed, the backlash is unlikely to heal on its own; it risks echoing the 1930s, when trade, hardened by zero-sum thinking, eventually collapsed.

Finally, the scope condition is not static. As China's dominance of global production and trade deepens and its institutions mature—empowered, ironically, by the very order's settings they would replace—the alternative grows more competitive and states become easier to draw away, a process that U.S. retrenchment only accelerates.

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Appendix

A Descriptive Patterns

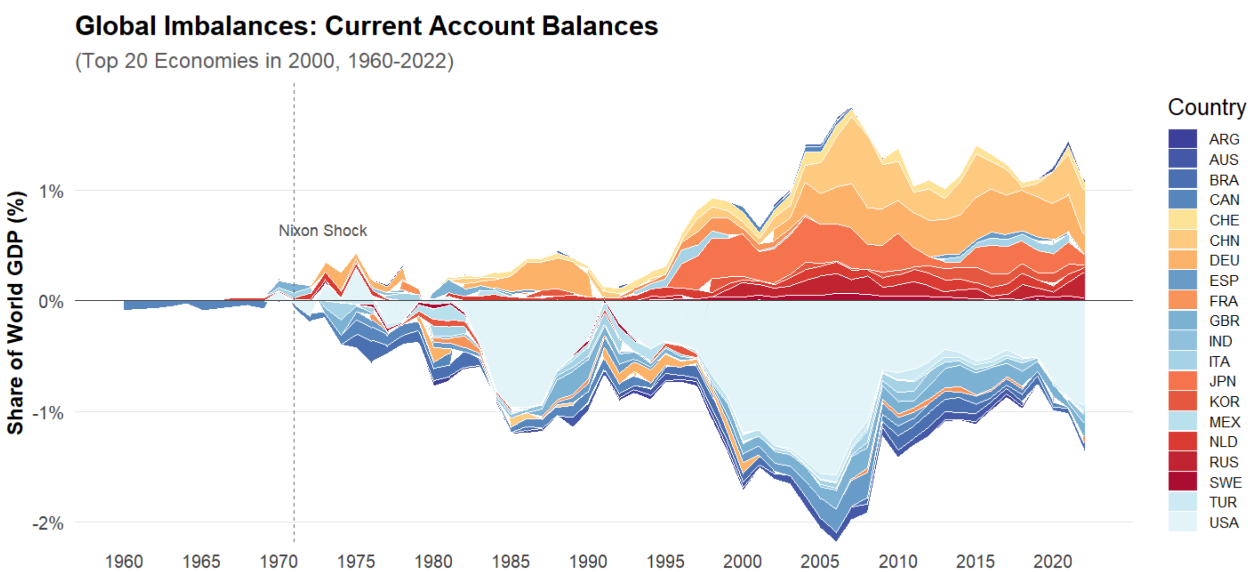


Figure A.1: Global Imbalances (Current Account Balance).

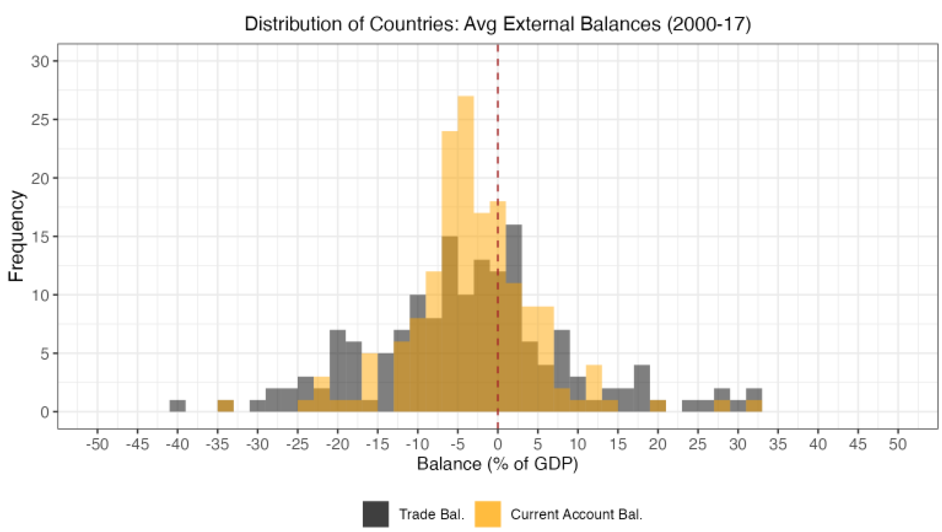


Figure A.2: Distribution of Mean Global Imbalances (2000-17, Data Source: the IMF). *Note:* The brown area is the overlap of both balances.

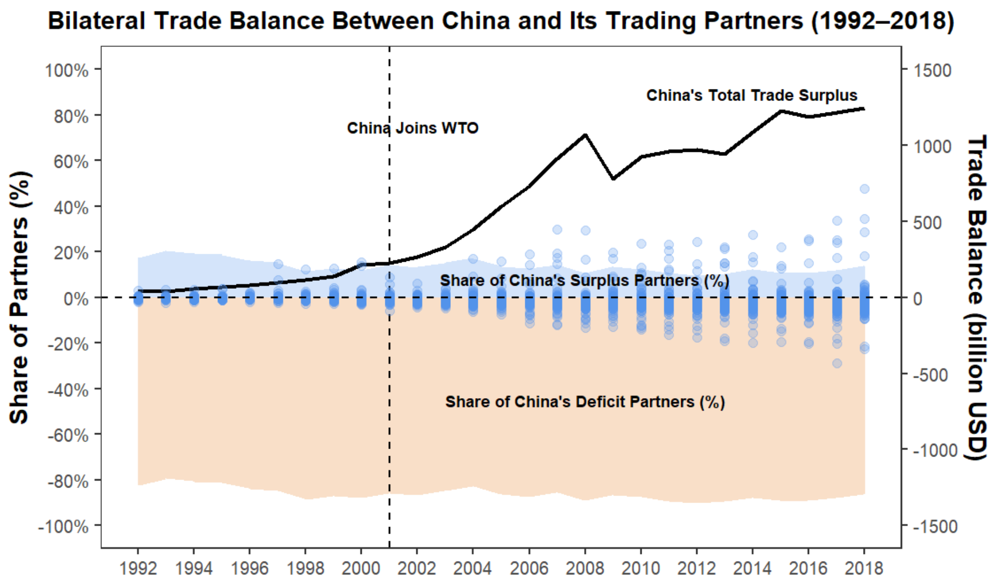
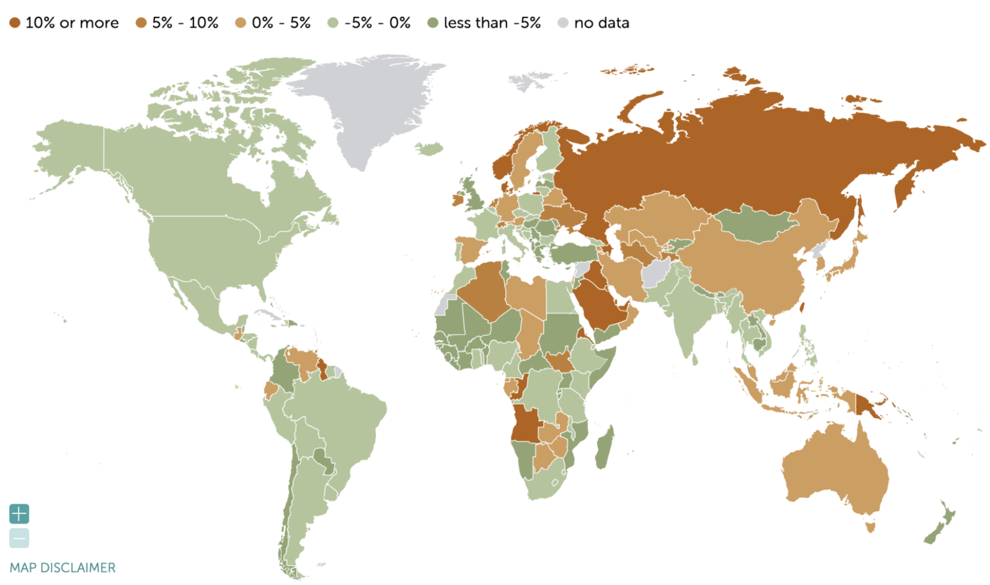


Figure A.3: Bilateral Trade Between Trading Partners and China (source: World Bank). Note: Exports/imports data is reported by trading partners.



Notes: The map clearly shows three groups of surplus countries: core Europe, East Asian industrial countries, and oil producers (source: IMF)

Figure A.4: Global Imbalances (Current Account Balance. Source: Council on Foreign Affairs).

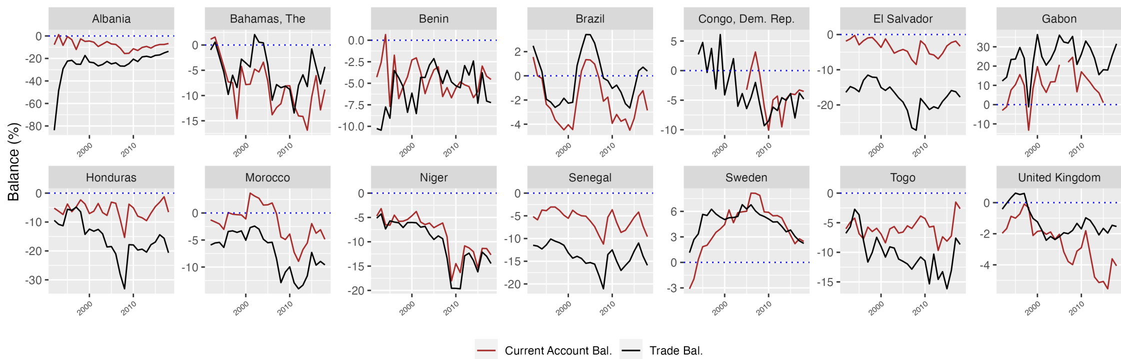


Figure A.5: External Deficits of Countries (Source: World Bank). *Note*: Two balances can diverge, and sometimes have opposite signs.

B Theory Appendix

B.1 The Loyalty-based Decision-theoretic Model

I provide a formal model to clarify the theory logic. The whole logic is that, although uncompetitive outside options deter disengagement, helpless issues generate grievances sufficiently large to collapse loyalty, thereby triggering support shift or disengagement. The key point is that this collapse is not imposed by assuming that raw grievances mechanically reduce loyalty in a sharply nonlinear way. Rather, grievances matter because they alter how leaders perceive the benefits of remaining attached to the LIO and whether they still believe grievances can be addressed through voice. Loyalty erosion is therefore a compound effect of these two channels.

Let $s_i \in [0, 1]$ denote the level of support shift by foreign-policy leaders of a typical state i who maximize utility, with $s_i = 0$ indicating full loyalty to the LIO and $s_i = 1$ indicating full support for the outside option. The expected utility of support shift is

$$U_i(s_i) = \underbrace{s_i \Pi_i}_{\text{partial diseng.}} + \underbrace{(1 - s_i) L_i}_{\text{partial loyalty}}, \tag{1}$$

where Π_i denotes the net expected benefits from support shift and L_i denotes the value of remaining loyal to the LIO. Let

$$\Pi_i = B_i - C_i, \tag{2}$$

where B_i denotes the expected benefits from support shift (e.g., future benefits from the challenger), and C_i captures the cost of such support or disengagement. For a typical state, $\Pi_i > 0$ if the outside option is competitive, though it may remain negative for many states.

Issue grievances and expected issue relief. Let $\sigma_i \geq 0$ denote the level of grievances generated by the LIO's disputed issue(s), as perceived by leaders in state i. These grievances may arise from combinations of political, economic, and social costs. Let $\sigma_i^O \geq 0$ denote the grievances leaders expect would arise under the outside option on those same issue(s). Expected issue relief is

$$\Delta\sigma_i = \sigma_i - \sigma_i^O. \tag{3}$$

If $\Delta\sigma_i > 0$, the challenger is expected to alleviate the issue relative to the LIO; if $\Delta\sigma_i < 0$, it is expected to aggravate it.

Perceived LIO benefits and reform-through-voice hope. I assume that grievances affect loyalty through two perceptual channels.

First, let $p(\sigma_i)$ denote leaders' perceived institutional, ideational, and social benefits of remaining attached to the LIO. I assume

$$p'(\sigma_i) < 0. \tag{4}$$

As grievances rise, leaders perceive the LIO as less beneficial.

Second, let $r(\sigma_i)$ denote leaders' reform-through-voice hope, that is, the extent to which they still believe grievances can be addressed through continued voice rather than disengagement. I assume

$$r'(\sigma_i) < 0. \tag{5}$$

As grievances rise, leaders become less confident that the issue can still be resolved from within the LIO.

Importantly, I do *not* assume here that either $p(\sigma_i)$ or $r(\sigma_i)$ is itself sharply nonlinear. I assume only monotone decline. The sharper collapse of loyalty arises from how these two channels jointly enter the loyalty-erosion function below.

Loyalty. The loyalty of state i to the LIO is given by

$$L_i = L_i^0 - l\big(p(\sigma_i), r(\sigma_i)\big) - f(\Delta\sigma_i) - g(\Pi_i), \tag{6}$$

where L_i^0 is the baseline loyalty value. The term $l\big(p(\sigma_i), r(\sigma_i)\big)$ captures grievance-induced loyalty erosion operating through perceived LIO benefits and reform-through-voice hope. I assume

$$\frac{\partial l}{\partial p} < 0, \qquad \frac{\partial l}{\partial r} < 0. \tag{7}$$

Thus, stronger perceived LIO benefits and stronger reform-through-voice hope both reduce loyalty erosion, whereas declines in either increase it.

To capture the idea that the simultaneous deterioration of perceived benefits and reform hope is more damaging than either channel in isolation, I also assume complementarity:

$$\frac{\partial^2 l}{\partial p\, \partial r} > 0. \tag{8}$$

This means that when both $p(\sigma_i)$ and $r(\sigma_i)$ are low, loyalty erosion rises more than additively. In substantive terms, grievances do not merely make leaders think that the LIO is delivering worse outcomes; they also undermine confidence that those outcomes can still be repaired through voice. When both beliefs deteriorate together, loyalty can collapse.

The term $f(\Delta\sigma_i)$ captures lost loyalty due to issue relief in comparison with the outside option. It is sign-preserving and increasing in $\Delta\sigma_i$, with

$$f(0) = 0, \qquad f'(\Delta\sigma_i) > 0. \tag{9}$$

The term $g(\Pi_i)$ captures lost loyalty due to the competitiveness of the outside option itself, which can alter leaders' expected benefits of remaining loyal; it is also sign-preserving and increasing in Π_i.

A proposition on endogenous loyalty erosion. The next proposition makes explicit that loyalty erosion rises with grievances even though $l(\cdot,\cdot)$ does not take raw grievances as its only argument.

Proposition 1. Suppose $p'(\sigma_i) < 0$, $r'(\sigma_i) < 0$, $\partial l/\partial p < 0$, and $\partial l/\partial r < 0$. Then grievance-induced loyalty erosion,

$$E_i(\sigma_i) \equiv l\big(p(\sigma_i), r(\sigma_i)\big),$$

is increasing in grievances:

$$\frac{dE_i}{d\sigma_i} > 0. \tag{10}$$

Proof. By the chain rule,

$$\frac{dE_i}{d\sigma_i} = \frac{\partial l}{\partial p} p'(\sigma_i) + \frac{\partial l}{\partial r} r'(\sigma_i). \tag{11}$$

Since $\partial l/\partial p < 0$ and $p'(\sigma_i) < 0$, the first term is positive. Since $\partial l/\partial r < 0$ and $r'(\sigma_i) < 0$, the second term is also positive. Therefore,

$$\frac{dE_i}{d\sigma_i} > 0.$$

Hence grievance-induced loyalty erosion rises with grievances. If, in addition, $\partial^2 l/(\partial p\, \partial r) > 0$, then the joint deterioration of $p(\sigma_i)$ and $r(\sigma_i)$ amplifies loyalty erosion relative to either channel alone.

Interpretation. The proposition shows that loyalty erosion need not be imposed as a direct nonlinear function of raw grievances. It is sufficient that grievances reduce perceived LIO benefits and reform-through-voice hope, and that loyalty erosion depends negatively on both. It further clarifies the paper's key mechanism: the erosion of loyalty is steeper when both perceived benefits and reform hope deteriorate together than when only one channel weakens.

Outside-option endogeneity and sign restrictions. I impose the sign of expected issue relief qualitatively using the helpless-issue logic. For non-helpless issues, where grievances remain bearable and reform-through-voice hope persists, leaders are less willing to credit the outside option with issue relief. In that range, $f(\Delta\sigma_i) \leq 0$. For helpless issues, by contrast, grievances are sufficiently severe that leaders may view the outside option as not any worse, and possibly as partially relieving the issue. In that range, $f(\Delta\sigma_i) \geq 0$. Formally,

$$\begin{cases} f(\Delta\sigma_i) \geq 0 & \text{if the issue is helpless,} \\ f(\Delta\sigma_i) \leq 0 & \text{if the issue is non-helpless.} \end{cases} \tag{12}$$

The intuition is that, once grievances become unbearable, leaders are more willing to interpret alternatives positively. When grievances remain limited, leaders are less motivated to imagine alternatives as helpful and may attach additional uncertainty costs to them.

Marginal utility of support shift. Substituting (6) into (1) yields

$$U_i(s_i) = s_i\Pi_i + (1 - s_i)\Big(L_i^0 - l\big(p(\sigma_i), r(\sigma_i)\big) - f(\Delta\sigma_i) - g(\Pi_i)\Big). \tag{13}$$

Differentiating with respect to s_i gives the marginal utility of support shift:

$$\frac{\partial U_i}{\partial s_i} = \underbrace{\Pi_i + g(\Pi_i)}_{\text{re/ OO competitiveness } (d_i)} + \underbrace{l\big(p(\sigma_i), r(\sigma_i)\big) + f(\Delta\sigma_i) - L_i^0}_{\text{re/ issue-altered loyalty } (m_i)}. \tag{14}$$

Support for the challenger increases when (14) is positive. Because $U_i(s_i)$ is linear in s_i, leaders choose maximal support shift ($s_i = 1$) when $\partial U_i/\partial s_i > 0$, minimal support shift ($s_i = 0$) when $\partial U_i/\partial s_i < 0$, and are indifferent when the derivative equals zero.

Threshold condition and helpless issues. Support shift becomes attractive when

$$l\big(p(\sigma_i), r(\sigma_i)\big) > L_i^0 - \Pi_i - g(\Pi_i) - f(\Delta\sigma_i). \tag{15}$$

Equation (15) defines the threshold condition. The left-hand side is grievance-induced loyalty erosion through the joint deterioration of perceived LIO benefits and reform-through-voice hope. The right-hand side is the amount of loyalty erosion required to offset baseline loyalty, adjusted by outside-option competitiveness and expected issue relief.

Because $\Delta\sigma_i = \sigma_i - \sigma_i^O$, the location of the grievance threshold is generally determined implicitly rather than by a simple closed-form constant. Let $\bar{\sigma}_i$ denote the grievance level satisfying

$$l\big(p(\bar{\sigma}_i), r(\bar{\sigma}_i)\big) = L_i^0 - \Pi_i - g(\Pi_i) - f(\bar{\sigma}_i - \sigma_i^O). \tag{16}$$

Then $\bar{\sigma}_i$ is the grievance threshold at which state i becomes indifferent between continued loyalty and support shift. When $\sigma_i > \bar{\sigma}_i$, support shift becomes attractive.

An issue is therefore *helpless* when grievances are sufficiently large to push the state across this threshold. In substantive terms, helpless issues are those for which leaders come to believe both that the LIO is delivering much worse outcomes and that voice is unlikely to repair those outcomes. By contrast, for non-helpless issues of lower grievance levels, leaders may still perceive the LIO as broadly beneficial and may still believe that reform from within remains viable, so loyalty erosion remains limited.

Interpretation. The model therefore generates the following comparative statics. First, from (14), outside-option endogeneity decreases $\Delta\sigma_i$ (and therefore $f(\Delta\sigma_i)$) when the outside option is itself implicated in the issue, reducing expected issue relief and lowering support likelihood. Second, an increase in issue grievances σ_i raises the incentive to shift support indirectly by lowering both $p(\sigma_i)$ and $r(\sigma_i)$. By Proposition 1, this increases grievance-induced loyalty erosion. The joint deterioration of perceived LIO benefits and reform-through-voice hope amplifies that erosion, increasing the likelihood of disengagement. Third, as uncompetitive outside options imply that net disengagement utility remains negative below a threshold, non-helpless issues are hard to trigger disengagement, whereas helpless issues may do so if they sufficiently collapse loyalty.[51] These joint effects produce the cases summarized in Table B.1.

ID	Issue Type	Outside Option	Prediction
1	**Helpless** ($m_i \gtrsim 0$)	**Competitive** ($d_i > 0$)	$\frac{\partial U_i}{\partial s_i} > 0 \Rightarrow$ **support**.
2	**Helpless** ($m_i \gtrsim 0$)	**Uncompetitive** ($d_i < 0$)	$\text{sign}\left(\frac{\partial U_i}{\partial s_i}\right)$ uncertain $\Rightarrow$ **support possible**, if issue-induced loyalty erosion is sufficiently large.
3	**Non-Helpless** ($m_i < 0$)	**Competitive** ($d_i > 0$)	$\text{sign}\left(\frac{\partial U_i}{\partial s_i}\right)$ uncertain $\Rightarrow$ **support possible**, if the outside option is sufficiently competitive.
4	**Non-Helpless** ($m_i < 0$)	**Uncompetitive** ($d_i < 0$)	$\frac{\partial U_i}{\partial s_i} < 0 \Rightarrow$ **no support**.
5	**Outside-Option Endogeneity**	positively or negatively implicated ($\Delta\sigma_i \uparrow$ or $\downarrow$)	$f(\Delta\sigma_i) \uparrow$ or $\downarrow$; support likelihood increases or decreases when support exists.

Table B.1: Predictions Derived from the Formal Model

C Empirical Setup

C.1 Economic Model

Apart from cognitive and emotional channels, the following models illustrate how persistent external deficits may economically lead to nationwide dissatisfaction. Although persistent external deficits generate socioeconomic impacts in various ways, here I only illustrate two channels: 1) increased national debt, and 2) shifting labors from industries to services sectors as deficits usually occur in manufacturing sectors for many.

[51]For the real exit case, grievances may be eliminated by exit. Thus, the conclusion still holds as long as the total disengagement costs remain positive.

Suppose nationwide satisfaction (utility) is determined by private consumption C, public services provision G, and national debt level D:

$$S_t = U(C_t, G_t, D_t)$$

For example, the functional form could be $S_t = ln(C_t) + \phi ln(G_t) - \delta D_t$ to be monotonically increasing. From the expenditure approach, Gross National Income (GNP) Y is decomposed of expenditure ratios in Y: private consumption c, public service provisions g, investment i and external balance n, plus interest payments for national debt D_{t-1}. There are two periods t and t-1, and the GNP growth rate is d. The absolute amount of external balance is $|n|Y$, which amounts to national debt D. In year t-1, expenditure equals income:

$$Y_{t-1}(c + g + i + n) + rD_{t-1} = Y_{t-1} \tag{17}$$

Keeping expenditure ratios the same as year t-1, the following constraint needs to be met in year t:

$$Y_t(c + g + i + n) + rD_t \leq Y_t \tag{18}$$

Replace Y_t with $Y_{t-1}(1+d)$, and assume states borrow to finance external deficit (so that debt increases by $|n|Y_{t-1}$), we get:

$$Y_{t-1}(1 + d)(c + g + i + n) + r(D_{t-1} + |n|Y_{t-1}) \leq Y_{t-1}(1 + d) \tag{19}$$

Subtracting (1) from (3) and rearrange, we get:

$$|n| \leq \frac{d}{r} \underbrace{(1 - (c + g + i + n))}_{\text{debt service share of GDP}} \tag{20}$$

(4) implies that given same debt-service burdens (i.e., $1 - (c + g + i + n)$) so that the same levels of other spending are kept over time, $|n|$ need be below a threshold determined by growth d and interest rate r. For countries like the U.S., a worsening external deficit (e.g.,

since the 1980s), slower growth, or a rising interest rate can reduce other expenditure levels, lowering national satisfaction S_t. Likewise, many countries with persistent external deficit rates as high as 5-30% (see Figure 3) may significantly impact national satisfaction.

Another impact channel works through employment. Assume two sectors of manufacturing and services. The services sector usually employs the largest number of workers nationwide and follows a Cobb-Douglas function. Persistent external deficits implies manufacturing factors such as labor shifting to service sectors (Kehoe et al. 2018). Applying first-order condition gets marginal product of labor, a.k.a. equilibrium wage. As labor moves to service sectors, the wages in the services sector will be depressed. As manufacturing industries shrink, manufacturing wages may also decrease.

$$Y_{st} = A_{st} K_{st}^{b} L_{st}^{1-b}, \qquad w_{st}^{*} = (1-b) A_{st} \left(\frac{K_{st}^{*}}{L_{st}^{*}}\right)^{b}$$

Economic models illustrate that persistent external deficits can lead to lower public good provisions, lower consumption, and higher tax. The consequential dissatisfaction (often disproportionately concentrated), if held long enough, can sustain grievances, fuel populism, and affect the survival of incumbents, which, combined with the aforementioned attitudes towards deficits, may particularly concern political leaders.

C.2 Issue Selection

To ensure that my conceptualization of "issues of the liberal international order" is grounded in existing scholarship rather than ad hoc researcher judgment, I draw directly on the full set of sixteen essays that constitute International Organization's 75th-Anniversary collection. These articles collectively represent the discipline's most authoritative assessment of the sources of strain, contestation, and transformation within the postwar order. They identify a broad but coherent set of challenges – ranging from economic dislocation and rising inequality to sovereignty conflicts, epistemic instability, status politics, and the implications of China's rise – each of which has been theorized as a domain in which states experience pressure to recalibrate their commitment to the LIO. I use these sixteen papers as the canonical source for enumerating and classifying issue areas: first extracting the problems each article highlights, then synthesizing these into a structured set of issue domains that capture the spectrum of contestation observed by leading scholars (Table C.2).

Specifically, I choose issue topics that may cause contestation among states, can be attributed to the LIO, and can be measured, while ignoring those that simply put pressure on the LIO itself (e.g., institution subversion), are difficult to measure (e.g., disinformation, politicization, racism), or hard to be attributed to the LIO rules rather than norms (e.g., migration crisis, climate). This approach provides a theoretically anchored and transparent foundation for my issue typology, avoids the risk of selective or researcher-driven coding, and aligns my empirical classification with the field's consensus on what constitutes a meaningful challenge to the liberal order.

Paper	LIO Issues / Problems / Challenges Identified
Lake, Martin & Risse – Challenges to the Liberal Order	Declining legitimacy; inequality; politicization of cooperation; weakened US leadership; fragmentation.
Tourinho – The Co-Constitution of Order	Fragile shared norms; contestation over rule interpretation; exclusion/inclusion of rising powers.
Börzel & Zürn – Contestations of the Liberal International Order	Increasing contestation of multilateral rules; politicization of IO authority; perceived democratic deficits.
de Vries, Hobolt & Walter – Politicizing International Cooperation	public backlash against trade, migration, and integration; voter skepticism toward multilateral institutions.
Farrell & Newman – The Janus Face of the Liberal International Information Order	Self-undermining effects of digital interdependence; disinformation; coercive exploitation of global data flows.
Adler & Drieschova – The Epistemological Challenge of Truth Subversion	Disinformation and truth subversion.
Simmons & Goemans – Built on Borders: Tensions with the Institution Liberalism Thought It Left Behind	Tensions between territorial sovereignty and liberal openness; intensifying immigration politics.
Goodman & Pepinsky – The Exclusionary Foundations of Embedded Liberalism	Exclusion of noncitizens from welfare protections; distributional injustice.
Búzás – Racism and Antiracism in the Liberal International Order	Racial hierarchies; discriminatory racial exclusion; hypocrisy between liberal norms and practice.
Broz, Frieden & Weymouth – Populism in Place: The Economic Geography of the Globalization Backlash	Regional inequality; manufacturing decline; import competition; geographically concentrated economic dislocation; financial crisis.
Flaherty & Rogowski – Rising Inequality as a Threat to the Liberal International Order	Domestic income inequality; redistribution conflict.
Goldstein & Gulotty – America and the Trade Regime: What Went Wrong?	Failures in US trade institutional design; distributive tensions.
Mansfield & Rudra – Embedded Liberalism in the Digital Era	Labor market disruption from digitalization; inadequacy of existing welfare protections; distributional strain from technological change.
Colgan, Green & Hale – Asset Revaluation and the Existential Politics of Climate Change	Failure of climate governance; massive distributional conflict from climate risk.
Weiss & Wallace – Domestic Politics, China's Rise, and the Future of the LIO	China's alternative institutional model; geopolitical rivalry.
Adler-Nissen & Zarakol – Struggles for Recognition: The LIO and the Merger of Its Discontents	Status competition and recognition struggles; resentment of Western dominance; symbolic and identity-based contestation.

Table C.2: Issues and Challenges to the Liberal International Order Identified by All 16 Articles in International Organization Vol. 75 Special Issue on the LIO (2021)

C.3 Qualitative Assessment of Issues: Rationale

I rate issues from not-high to high across four defining dimensions (stubbornness, severity, attributability to the LIO, unaddressibility) based on theoretical literature, empirical facts and common knowledge. For stubbornness, I evaluate the issue based on issue nature and whether some states experience the issue persistently. As any issue at low magnitude cannot be said as severe, I examine the relatively high magnitude (and persistence) to evaluate severity, as well as unaddressibility. Below, I describe the rationale of rating matching Table 2. (*) denotes uncertainty. Four simple, predefined questions are: Does the issue persist (e.g., over two decades) for a non-trivial share of nations (e.g., over 10% of countries)? Does it generate severe objective or subjective political/socioeconomic impacts when at persistently high magnitudes (e.g., 80th percentile cross-nationally)? Is it largely attributable to LIO rules? Can it be largely addressed through LIO-compliant domestic policies or realistic LIO reform through voice?

Global Imbalances (stubbornness - high / severity - high / attributability - high / unaddressibility - high). Global imbalances exhibit high stubbornness as empirically shown, because they stem from structural features of economies – such as demographic savings patterns, exchange-rate regimes, export-led industrial policy, and reserve accumulation – that persist across decades (Chinn and Ito 2022; Obstfeld and Rogoff 2009). Their severity is high because prolonged high levels of current-account deficits correlate with financial fragility, high debt, asset-price distortions, and vulnerability to sudden-stop crises, as demonstrated in both the 2008 financial crisis (Obstfeld and Rogoff 2009). Attributability is high because persistent deficits result from international economic structure (e.g., relative exchange rate, others' trade/industry policy, free trade regime, capital flow rules) that are regulated by the LIO. Unaddressability is high because even determined domestic reforms – fiscal adjustment, industrial policies – rarely shift global savings-investment dynamics in the short run, and cooperative remedies via the IMF have historically failed due to collective-action problems and conflicting national preferences. A single country has almost no solutions for this global phenomenon.

Financial Crises (high / high / high / high). For some countries like Argentina, financial instability is highly stubborn because liberalized capital accounts, low capital controls, and maturity mismatches generate recurring boom-bust cycles that some states have been unable to prevent over decades (Reinhart and Rogoff 2009). Severity is high given the catastrophic economic and political consequences of recurring banking crises, currency crashes, or credit collapses, including inflation, unemployment, and sovereign defaults (Broz et al. 2020). It can literally stops the stable functioning of the national economy. Attributability is high because this is closely connected to international financial environments rather than domestic policy. Unaddressability is high because comprehensive and regular capital controls are costly and almost unrealistic under the LIO if already liberalized and global capital mobility constrains effective unilateral policy regulation. International institutions like the IMF can only mitigate crises at best ex post; globally coordinated macro-prudential regulation remains politically and technically difficult.

Import Competition (not-high / not-high / high / high). Import competition exhibits moderate stubbornness because underlying comparative advantage and global supply chains change slowly, although equilibrium is usually realistic to achieve at some point. When opening to trade liberalization, import shocks appear but quickly reach equilibrium, and hardly does a country experience them for decades. Severity is moderate: import surges can cause substantial regional job and income losses but typically affect specific sectors rather than the entire national economy (e.g., China shock). Attributability is high because import shocks are highly related to trade liberalization stipulated by the LIO. Meanwhile, "foreign competition" provides a clear and politically salient target. In contrast, regional trade integration is usually milder and gradual. Unaddressability is high: trade shocks persist unless governments impose long-term, high tariffs which are not normatively allowed and technically feasible under the LIO, unless one chooses to be economically isolated. Even when governments impose tariffs, affected industries rarely recover, and protectionism often comes at the cost of advantage sectors and others' retaliation.

Low Foreign Direct Investment (high / not-high / not-high / not-high). For some countries, low FDI shows high stubbornness because investment location decisions depend on long-run fundamentals such as market size, rule of law, and production networks, which do not shift frequently. Severity is low to moderate: while persistently low FDI contributes to growth and technology transfer problems, its low level is less politically destabilizing than others such as high unemployment, financial crises, or trade shocks. Attributability is moderate because governments may be blamed for regulatory uncertainty or political risks but external factors – such as LIO's favor based on geopolitical relations with Western powers – also play a role. Unaddressability is moderate: governments can resort to domestic policies to improve investment climates although they cannot force multinational firms to invest.

Economic Inequality (high / not-high / not-high / not-high). For many countries, economic inequality is highly stubborn due to structural drivers such as skill-biased technological change, long-standing tax regimes, and trade liberalization (Acemoglu 2002). Severity is moderate as high and persistent inequality erodes social cohesion and can fuel populism, but does not usually produce severe macroeconomic pain for leaders. Attributability is moderate because inequality is often blamed partly on globalization, but also on deeper domestic structural and technological forces. Unaddressability is moderate: governments can redistribute through taxes and transfers, although political polarization and resistance from interest groups limit effective intervention.

Low Economic Growth (not-high (*) / high / not-high / not-high). For some countries, low growth can demonstrate moderate to high stubbornness, especially in the Global South and advanced economies experiencing secular stagnation, aging demographics, or productivity slowdowns. Severity is high because prolonged growth stagnation undermines fiscal capacity, employment, and political support for governments. Attributability is low, since growth depends heavily on domestic business cycles, demographic transitions, and domestic developmental policies, although it can be affected by the global economy. Unaddressability is moderate: governments can pursue stimulus and domestic pro-growth reforms, although structural reforms and policies face long lags and uncertain payoffs.

Deindustrialization (high / not-high / not-high / not-high). For many countries, deindustrialization is highly stubborn because it results from long-term shifts in global production networks, automation, and the transition toward services – trends observed across OECD countries regardless of trade policy. Severity is moderate: although manufacturing losses damage specific regions and working-class groups, macroeconomic performance often remains stable and other sectors can make up for the loss. Many governments do not treat losing manufacturing as something urgent. Attributability is moderate because governments can be blamed for trade management or weak industrial policy, although automation and global value chains play a large structural role. Unaddressability is moderate: proactive industrial strategies can help mitigate the issue and many mercantilist countries have done this for long.

High Government Debt (high / not-high (*) / not-high / not-high). For some countries, high public debt exhibits high stubbornness because debt accumulation reflects demographic aging, entitlement obligations, and structural budget deficits that are slow to unwind. Severity is moderate to high: high and persistent debt can constrain fiscal space and raise borrowing costs but does not immediately destabilize economies absent a sovereign default especially in a low interest environment. Attributability is moderate because governments are blamed for deficit spending, although debt surges also stem from exogenous shocks (crises, pandemics). Unaddressability is moderate: reducing debt requires politically costly fiscal consolidation and growth-based adjustments.

High Unemployment (not-high / not-high (*) / not-high / not-high). Unemployment has moderate stubbornness because labor markets do adjust, but structural unemployment driven by technological change or skills mismatch can persist. Severity is moderate to high: persistently high unemployment is socially and politically painful but may be less catastrophic than financial crises or economic collapse. Attributability is moderate because governments are criticized for weak labor policies, yet global conditions, business cycles, and sectoral shocks often drive job losses. Unaddressability is moderate: active labor programs, fiscal stimulus, or retraining can help, but they have long implementation lags and mixed effectiveness.

IMF Governance Deficit (high / not-high / high / high). The IMF's governance deficit is highly stubborn because voting shares, leadership selection, and institutional design reflect entrenched postwar power distributions; proposed reforms to enhance representation for emerging economies are slow (Carnegie and Clark 2023). Severity is low: governance deficits undermine legitimacy but rarely generate immediate economic crises. Attributability is high because dissatisfaction is directed squarely at the U.S.-European dominance within

Bretton Woods institutions, making causal responsibility clear. Unaddressability is high since meaningful reform requires consent from the very states benefiting from the status quo – especially the U.S. – creating near-insurmountable collective-action and bargaining barriers, even if gradual, piecemeal reforms are ongoing.

C.4 LLM Ratings for Media Coverage of Issues

I substantiate the issue-identification result with media analysis of ten issues to provide directional validation. Media-based perceptions reflect how issues are professionally covered, publicly perceived, and shaping elite and mass views (Mutz and Soss 1997; Wlezien and Soroka 2023). I conduct a media analysis of all ten LIO issues using articles retrieved from LexisNexis. LexisNexis provides global coverage of major national and local news outlets; I exclude articles from the United States and China to avoid overrepresentation of the two largest powers. For each issue, I define a set of issue-specific keyword phrases designed to capture persistent or severe manifestations of the issue rather than fleeting mentions. For example, "persistent current-account deficit," "persistent economic inequality," "deindustrialization," "persistent high unemployment," "persistent low growth"), and their spelling variants. After removing duplicates, the final corpus consists of over 3,000 articles across ten issues, with each issue represented by 15-40 countries and no country exceeding 25% for any issue. Table C.3 reports the full list of search terms by issue.

Issue	Search Terms
Global Imbalances	"persistent current account deficit"; "persistent current account deficits"
Financial Instability	"persistent financial crisis"; "persistent financial crises"; "recurrent financial crises"
Low FDI	"low FDI"; "low foreign investment"; "low foreign direct investment"; "low foreign direct investments" (note: adding "persistent" results in zero article)
High Debt	"persistent high debt"
Economic Inequality	"persistent economic inequality"
Deindustrialization	"deindustrialization" (note: adding "persistent" results in zero article)
High Unemployment	"persistent high unemployment"
Global Gov. Deficit	"weak global governance"; "poor global governance"; "global governance failure"; "global governance in crisis"; "global governance issue"; "global governance problem" (note: adding "persistent" results in zero article)
Import Competition	"import competition"; "import shock"; "import shocks"
Low Growth	"persistent low economic growth"; "persistent slow economic growth"; "persistent economic stagnation"

Table C.3: LexisNexis Search Terms by Issue. *Note*: All searches cover articles published since 2000 (for each issue, all or most relevant 2,000 articles sorted by LexisNexis as the most topic-focused ones). United States and China are excluded from the corpus.

For some issues (e.g., import competition, deindustrialization), adding "persistent" results in zero article. This is tolerable since it: (1) shows that the media may not emphasize these issues as persistent, and (2) they are arguably less severe than "persistent financial crises" which is my focus to compare against "persistent current account deficit." These documents may not all specifically discuss covered issues, but they help capture conveyed meanings whenever issues are mentioned, which is suitable for my case.

LLMs trained by super large corpora can replicate human-coded framing judgments with high semantic reliability (Asirvatham et al. 2026; Bail 2024), especially compared to word-based topic or sentiment analysis. For each article,[52] I prompt LLM (GPT-4.1-mini) to rate on the intensity scale 1-5 for each helpless dimension d (stubbornness, severity, attributibility, and unaddressibility) using standard zero-shot, zero-temperature settings. For example, for severity, I ask "if the issue is extremely damaging to the domestic economy?" Furthermore, I ask LLM to rate the overall "helplessness" by combining four dimensions in one question.

[52] I extract and keep only 100-word windows around each keyword to focus on local framing.

The exact prompt structure is described in Table C.4. The LLM ratings represent what score LLM can rate for an issue based on the information of the provided text.

Dimension	Prompt Question
Persistence	"If the issue is persistent or lasts long?"
Severity	"If the issue is extremely damaging to domestic economy?"
Attributability	"If the issue is mostly attributable to global economy not itself?"
Unaddressability	"If the issue is almost impossible to solve by its own country?"
Overall Helplessness	"For a country, if the issue is persistent, is mostly attributable to global economy not itself, makes the country struggle, and almost impossible to resolve by the country itself or through system reform?"

Prompt template: "You are a political economist that helps classify the text. This is snippet text from news coverage. I want to classify it as follows: when the text mentions the issue {issue} (not other issues), do you think it tells: [five dimensions listed above]. The text is: {text}. I want you to rate 1–5, with 1 meaning strongly no, 5 meaning strongly yes, for these five dimensions. The return format is: 'persistence: 1; severity: 2; attributibility: 3; addressibility: 4; overall: 5.' Please follow exact format including symbols such as ':' and ';' and capital cases."

Table C.4: LLM Coding Dimensions and Prompt Structure. *Note*: GPT-4.1-mini is used with zero-shot, zero-temperature settings. Each snippet is a 100-word window centered on the keyword match within the article.

For each dimension of each issue, I calculate average scores $\bar{X}^{(d)}$ (formally expressed below) weighted by the inverse of country i's article count c_i to suppress overrepresented countries, and then their differences from the baseline "current-account deficit."[53]

$$\bar{X}^{(d)} = \frac{\sum_{i=1}^{n} \left(\frac{1}{c_i} \sum_{j=1}^{c_i} x_{ij}^{(d)} \right) \frac{1}{c_i}}{\sum_{i=1}^{n} \frac{1}{c_i}}$$

Figure C.6 plots the LLM-rated score differences relative to current-account deficits. The results align with expectations: persistent current-account deficits and financial crises receive the highest scores across all dimensions, while other issues score substantially lower on one or more dimensions. The overall "helplessness" score likewise places global imbalances and financial crises at the top. Substantively, for example, "weak global governance" and "import competition" appropriately score high in attributability but moderate in severity, whereas

[53] Using differences can mitigate model-specific scoring biases toward certain directions.

"high debt" and "low growth" show the opposite pattern. Although not fully matched, many of LLM's ratings are directionally consistent with expert assessments in Table 2.[54]

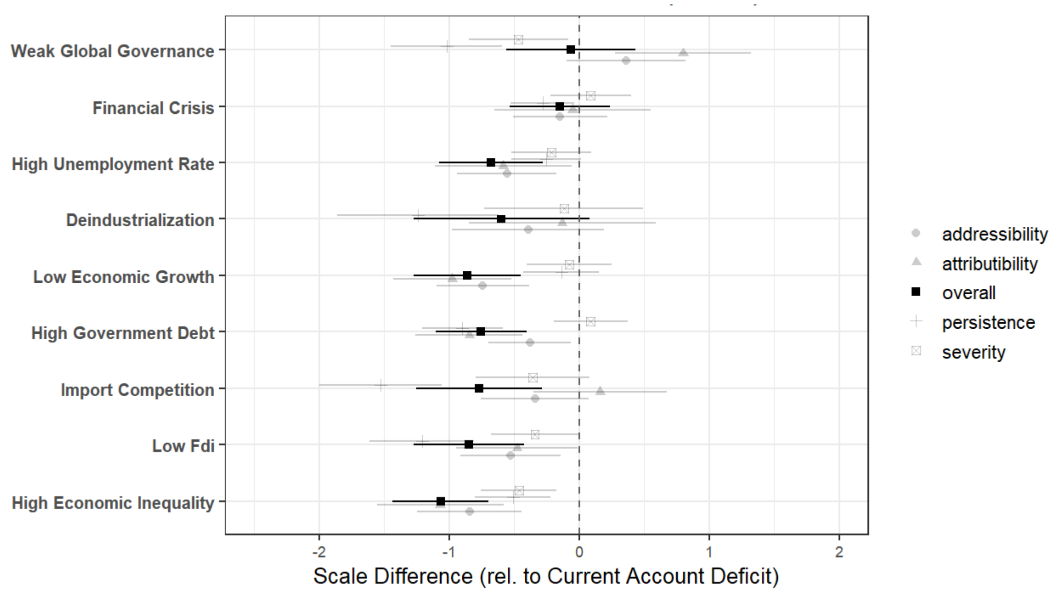


Figure C.6: LLM-rated Results across Issues. *Note:* Each bar plots the average LLM-rated score of one issue on one condition relative to the baseline "current-account deficit."

To assess the validity of LLM-based ratings, I randomly draw 50 text snippets from the corpus, and manually check LLM-assigned scores with the raw texts. Table C.5 presents a representative sample of snippets alongside their LLM scores. Comparing manual and LLM ratings, I find broad consistency: the two sets of ratings agree within one point on the 1-5 scale for the large majority of cases, and directional agreement (whether a dimension scores above or below the midpoint of 3) holds in most instances. For example, in text 2, it talks about worldwide crisis from current account deficit, and all scores are 4/5. In text 5, it only mentions financial crisis as a reference, so LLM gives mostly 1's. In text 6, it talks about financial crisis in a municipality, so it only gives 1 to LIO attributability. Similarly, in text 10, LLM cannot tell that economic inequality in South Africa is due to the LIO based on the text. These results suggest that LLM ratings capture the substantive content of media framing with reasonable fidelity, supporting their use as a scalable substitute for manual

[54] I also tried simple mean, multiple runs of multiple GPT models, and different word-windows, yielding consistent results.

coding across the full corpus of over 3,000 articles.

Table C.5: Example LLM Ratings for Text Snippets.

Text Snippet	Per.	Sev.	Attr.	Unad.	Over.
1. "... Even if we continue to suffer from **persistent current account deficits**, attracting large amounts of FDIs will not only remove the image of the peso as the Äúweak man of Asia.Äù It will also significantly increase the ratio of Gross Capital Formation to GDP to levels above 30%, which is what most of our East Asian neighbors have been enjoying literally for decades. ..."	4	3	2	3	3
2. "... What is worse is that the recession is not showing any sign of abatement even in 2014. The crisis essentially originated from the US imbalances was exported to the rest of the world, over the last couple of decades or so, in the form of **persistent current account deficits**. The position of US dollar as the dominant global reserve currency enables US to pursue lax macroeconomic policies indefinitely, with its deficits financed externally by economies having surpluses. Not since the beating down of US inflation in the 1980s by US Fed under Paul Volcker at substantial pain of a domestic recession has the US opted again for domestic adjustments to correct imbalances; nor unlike the EU, has the US committed itself unequivocally to pursuing balanced policies (fiscal accounts were in balance in the Clinton era but private sector deficit unrestrained, and in the subsequent Bush era deficits of both public and private sectors ran amok)..."	5	4	5	4	5
3. "...This smart factory should be a rarity in Hong Kong, not only because the city has just gone through one of the world's fastest **deindustrialization** drives, but also for its owner - an old-line food manufacturer, rather than a high-tech firm as many may expect. The story of Luen Tai Hong goes back to 1957 when the company was founded. After decades of development, it has become a key local supplier of fresh liquid egg..."	4	2	2	2	2
4. "...Shunning coordinated regional development in the US has contributed to cutthroat competition. The net effect has been the "race to the bottom" excessive **deindustrialization** and blind offshoring, which have hollowed out US industries, unleashing a host of employment, social and environmental challenges. Related political challenges include protectionism, populism and "America First" xenophobia. ..."	4	4	5	4	5
5. "...However, improving the performance of private capital markets in emerging economies reduces the likelihood of **recurrent financial crises**, and should be an important complement to a better international financial system. Further points about dollarization that Panama's experience clarifies Capital mobility by individuals and firms is necessary but not sufficient for smooth adjustment of interest rates and flows of funds...."	1	1	2	1	1
6. "...THE council of the troubled Mangaung Metropolitan Municipality could be dissolved as it battles widespread fraud and corruption that has led to a **persistent financial crisis** and the collapse of service delivery. Finance Minister Enoch Godongwana has approved a financial recovery plan for the Free State and also revealed some of the interventions national government is considering implementing. ..."	5	4	1	4	4

Continued on next page

(continued)

Text Snippet	Per.	Sev.	Attr.	Unad.	Over.
7. "...The top 10 likelihood risks perceived by the 800 multi-stakeholders are extreme weather, climate action failure, natural disaster, biodiversity loss, human-made environmental disasters, data fraud or theft, cyberattacks, water crises, **global governance failure** and asset bubbles. ..."	1	1	1	1	1
8. "...The need for economic transformation has been driven by **persistent economic stagnation** and an escalating cost-of-living crisis. Going forward, the NESG believes there must be concerted efforts by the government to address these issues for Nigeria to get off the hook. ..."	5	4	2	3	4
9. "...Then, in early 2009, the Zimbabwean currency was demonetised, which destroyed most of the residual working capital of the businesses. Concurrently, many of the enterprises were confronted with a massive escalation in unjust **import competition**, with Zimbabwe being flooded with vast quantities of textiles, clothing, footwear and other products produced in countries which subsidise their exports at levels far beyond those permitted by the General Agreement on Tariffs and Trade. ..."	4	5	5	4	5
10. "...South Africa's May 2024 elections were historic; the ANC garnered only 40% of the vote, its lowest since 1994, amid rising discontent over **persistent economic inequality** and service delivery failures. This shift in political dynamics brought opposition parties into prominence, such as the Democratic Alliance (DA) and Economic Freedom Fighters (EFF)..."	4	3	1	2	3

Note: Ratings on 1–5 scale (1 = strongly no, 5 = strongly yes). GPT-4.1-mini, zero-shot, zero-temperature.

D Empirical Design and Results

D.1 Non-applicable DV Explanations

2019 2nd BRI Summit – The 2019 2nd BRI summit was held on April 27 in China. As discussed in the paper, the main reason why applying for the BRICS in 2022/3 is not an appropriate measure is due to the deteriorated image of core members, thus raising skepticism on whether it's an economic solution provider or geopolitical instrument. However, since 2017, the image of China and the BRI significantly worsened, after the reports such as Xinjiang re-education camps, Constitution amendment and debt traps. The BRI is getting notorious. Thus, the 2019 BRI summit should not be a measure either. By examining the change of state head attendance between the 2017 and 2019 summits, evidence emerges. 36 States sent state heads in 2019. States which attended the 2017 summit but not in 2019 were: Argentina, Fiji, Indonesia, Poland, Spain, Sri Lanka and Turkey. They were mostly economic solution seekers. States which didn't attend the 2017 summit but attended the

2019 one were: Austria, Azerbaijan, Brunei, Cyprus, Djibouti, Egypt, Mozambique, Nepal, Papua New Guinea, Portugal, Singapore, Tajikistan, Thailand, and UAE. The majority was China's geopolitical neighbors or autocracies. Egypt's president gained power through a coup and just amended the Constitution in April 2019. Austria's far-right populist PM Sebastian Kurz was facing strong opposition domestically, before being ousted by a non-confidence vote the next month. I test the 2019 attendance using Broz's framework and none of the "push factors" are significant.

Becoming the AIIB Founding Members – Becoming an AIIB founding member can be interpreted as endorsing China's rising status (Qian et al. 2023). However, the AIIB modeled after the World Bank obscures the support for a unilateral Chinese leadership (Broz et al. 2020). Moreover, founding membership better captures commercial motivations than leadership alignment, as evidenced by substantial subscription costs especially for deficit countries,[55] and the disproportionately high participation of European surplus economies (such as Germany, Switzerland, and Scandinavian countries).

Applying for initial (pre-2022) BRICS Membership – Initial applications to BRICS is a plausible but weak measure. The BRICS lacked coherence, with members expressing divergent interests.[56] China sought to use BRICS to counter the G7, whereas South Africa rejected an anti-West framing.[57] India, maintaining large deficits with China, was close to Russia, while Brazil's government emphasized de-dollarization. Regional powers such as Indonesia and Argentina declined membership citing lack of unity.[58] The 2022 Ukraine war further complicated application motivations. As of September 2023, 12 of the 19 recent BRICS applicants are autocracies (Polity < 0), compared to only 7 of 29 BRI-summit attendees.[59]

Below, in Table D.6, I show that all alternative DVs show insignificant results, reinforcing the theoretical falsifiability that DVs that do not satisfy scope conditions should not generate effects.

[55] Article 5, Articles of Agreement of the AIIB.

[56] BRICS is doubling its membership," Atlantic Council, 24 August 2023.

[57] China urges Brics to become geopolitical rival to G7," Financial Times, 20 August 2023.

[58] "Analysis: Indonesia joining BRICS," The Jakarta Post, 4 September 2023.

[59] See https://en.wikipedia.org/wiki/BRICS, accessed in September 2023.

	(1) AIIB Founding Member	(2) Initial BRICS Application	(3) BRI Summit 2019
Current Account Balance	0.002	0.002	0.001
	(0.004)	(0.003)	(0.006)
Financial Crises	−0.000	0.005	0.005
	(0.005)	(0.005)	(0.006)
BRI Route	0.272***	0.032	0.185
	(0.099)	(0.062)	(0.115)
FTAs	0.347***	−0.031	0.112
	(0.111)	(0.088)	(0.120)
BITs	0.010	0.064	0.187**
	(0.071)	(0.061)	(0.074)
Ideal Point (China)	−0.056	−0.042	−0.150**
	(0.075)	(0.039)	(0.062)
Regime Type	−0.013.	−0.018**	−0.017**
	(0.007)	(0.008)	(0.008)
Leader Ideology	0.017	−0.001	0.022
	(0.024)	(0.018)	(0.027)
Africa	−0.070	−0.045	−0.132
	(0.078)	(0.073)	(0.085)
GDP Growth	−0.004	0.008	0.020
	(0.003)	(0.013)	(0.018)
GDP	0.074***	0.000	0.000
	(0.028)	(0.000)	(0.000)
GDP per Capita	0.032	−0.000	0.000
	(0.039)	(0.000)	(0.000)
Human Rights	0.018	0.012	0.019
	(0.028)	(0.013)	(0.020)
Constant	−0.872***	0.102	0.032
	(0.315)	(0.083)	(0.132)
Observations	160	160	160

Note: . $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$. Robust standard errors in parentheses.

Table D.6: Alternative DVs: AIIB Founding Member, BRICS Application, and BRI Summit 2019

D.2 Sensitivity Test

To further strengthen the results, I conduct sensitivity tests following Cinelli and Hazlett (2020) with the goal to gauge how strong an omitted confounder needs to be to completely explain away the effect of the variable of interest. As Cinelli and Hazlett suggest, it's more productive to consider the relative strength by comparing the unobserved confounder to observed covariates, since the absolute strength (i.e., residual variance) can be harder to argue for/against and the strongest covariates are often identified in models. As such, I choose three covariates that arguably strongly predict the results and are statistically significant: BRI locations (bri_loc), Ideal Point score (ideal_point), and per capita GDP (gdp_pc).

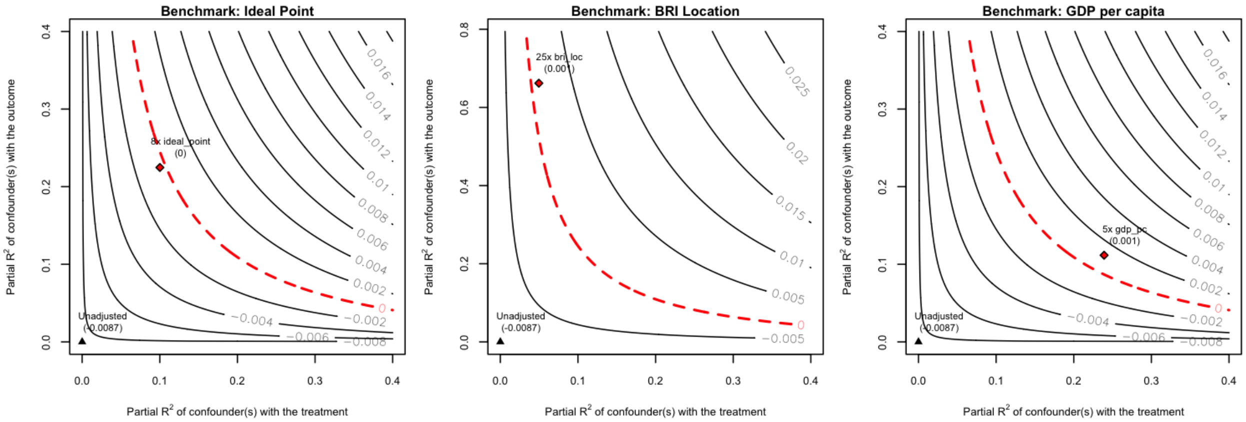


Figure D.7: Sensitivity Contour Plots. Note: For the Omitted Variable Bias for the Baseline LPM model in Mechanism I.

Figure D.7 plots the sensitivity curves which represent the estimates of global imbalance given the hypothetical partial R^2 of the omitted confounders with treatment ($R^2_{D\sim Z|\mathbf{X}}$) and outcome ($R^2_{Y\sim Z|D,\mathbf{X}}$). In a nutshell, any omitted confounder that nullifies the main estimates would need to be 15 times, 17 times, and 38 times as strong as bri_loc, ideal_point, and gdp_pc with both treatment and outcome.[60] The result suggests less concerns for omitted variable bias.

D.3 Inverse Propensity Score Weighting (IPW)

To address covariate imbalance between countries with persistent external deficits and those without, I implement inverse propensity score weighting (IPW) using full matching with covariate balancing propensity score (CBPS) distance with a doubly-robust outcome model, via the MatchIt package. Full matching produces unit weights equivalent to the standard ATT estimator. Full matching uses every observation by constructing matched sets weighted inversely by set size, avoiding extreme weights under poor overlap. CBPS directly optimizes covariate balance when estimating propensity scores rather than relying solely on likelihood maximization. The average treatment effect on the treated (ATT) is the appropriate estimand for this design because the theory concerns the effect of "helplessness" – persistent current-account deficits below 0%, a threshold to trigger an alert – on those countries that

[60]As noted by Cinelli and Hazlett, these results are conservative for multiple (possibly non-linear) omitted confounders. See Appendix of the implementation details.

actually experience such imbalances. The mechanism does not posit, nor would it be meaningful to estimate, a hypothetical population-wide effect (ATE) in which surplus countries counterfactually receive the deficit treatment. Therefore, the ATT estimator directly corresponds to the causal quantity implied by the theory.

Variable	SMD (Before)	eCDF (Before)	SMD (After)	eCDF (After)
Propensity Score	1.281	0.507	0.055	0.234
OBOR	−0.167	0.167	−0.058	0.058
FTA w/ China	−0.069	0.069	−0.041	0.041
BIT w/ China	−0.292	0.292	−0.131	0.131
Financial Crises (count)	−0.218	0.154	0.096	0.109
Ideal Point Distance	−0.551	0.297	−0.052	0.271
Regime Type	0.047	0.163	−0.048	0.129
Leader Ideology	0.045	0.040	0.124	0.097
Africa	0.243	0.243	0.266*	0.266
GDP Growth Rate	0.108	0.115	0.114	0.288
GDP (log)	−0.791	0.414	−0.242*	0.421
GDP per Capita (log)	−0.998	0.432	−0.151	0.173
Human Rights Index	−0.351	0.285	0.088	0.177

Note: Threshold for balance: SMD < 0.2.
* Fails balance threshold; addressed by doubly-robust outcome model.

Table D.7: Covariate Balance Before and After Full Matching IPW (ATT)

Table D.7 reports the ATT estimates. After weighting, covariate balance improves substantially across all dimensions. Following established standards (SMD < 0.10 for excellent balance and < 0.20 for acceptable balance), the IPW procedure substantially improves covariate balance across all dimensions (Table D.7). Most covariates fall below the 0.10 threshold, while the remainder fall below the 0.20 conventional cutoff, with the exception of two covariates, which nevertheless shows substantial improvement relative to the unweighted sample. Distributional measure (eCDF max) also falls well within recommended limits (< 0.25).

Table D.8: Inverse Propensity Score Weighted (ATT) Estimates

	Estimate	Std. Error	z-value
Persistent Deficit (Treatment)	0.118**	0.057	2.071
Controls	✓		
Observations	134		
Estimator	ATT-IPW (full matching/CBPS distance)		
Model	LPM		

$^{*}p < 0.1$, $^{**}p < 0.05$, $^{***}p < 0.01$.

The weighted LPM model (Table D.8) indicates that persistent current-account deficits significantly increase the probability of attending the BRI summit ($\hat{\beta} = 0.118$, $p = 0.04$). The magnitude is similar to the main results, suggesting that the effect is not driven by distributional differences in the covariates but reflects the substantive role of issues in pushing countries away from the LIO.

D.4 Control Function Method

To double confirm the results for issues like reverse causality, I adopt *control function method* (2SRI, Two-Stage Residual Inclusion in the binary DV case (Terza et al. 2008)),[61] which utilizes an instrument variable. A control function renders an endogenous variable exogenous and its common form is the residual after regressing treatment on instrument(s) and covariate(s) in the first stage. I then use *historical industrial intensity* of over a decade ago (2001-05, average industrial output as % of GDP) as a plausible instrument for the following reasons:[62] historical industrial intensity is one of the factors that affect historical imbalances which, for many countries, persisted due to a combination of structural factors explained, albeit (de)industrialization across countries.[63] Historical industrial intensity (which changes) should not directly affect attendance in 2017, apart from going through more *recent* external imbalances: it is not correlated with attendance, and neither theoretical nor empirical evidence suggests states blame the current order for historical industrial intensity as a grievance (echoing the null finding in Table 4, the "deindustrialization" column). Additionally, as described, the BRI summit is more of a political venue than economic practicality to resolve tangible issues. Even in an unlikely case where industrialists (e.g., firms in Italy or Singapore) push for leader's attendance for cooperation, the estimate should bias toward zero (meaning the real effect is further away from zero).[64] I view the specification with baseline controls

[61] 2SLS (Two-Stage Least Squares) is for linear models.

[62] Industry output corresponds to ISIC divisions 05-43, including mining, manufacturing and construction.

[63] For example, China's industrial intensity ... The average of autocracies... One typical reason for persistent imbalance is over-valued currency.

[64] Empirically, it's even harder to find cases that domestic actors in poor low-industrialized or deindustrialized countries influence state heads to attend, or equivalently, those in industrialized countries influence leaders not to go. Also I control for country characteristics including GDP per capita.

in both stages as preferred, in case covariates like regime type may theoretically affect both historical industrial intensity and attendance.[65] The two stages are formally expressed as:

$$T_i = \pi_0 + \pi_1 Z_i + \pi_2 \mathbf{X_i} + \eta_i$$

$$Y_i = \beta_0 + \beta_1 T_i + \beta_2 \mathbf{X_i} + \beta_3 \hat{\eta}_i + \epsilon_i$$

where T_i, Z_i, $\mathbf{X_i}$ and Y_i are treatment (external imbalance), instrument (industrial intensity), covariates, and outcome (attendance) respectively. The estimated residual $\hat{\eta}_i$ from the first stage serves as a control function in the second stage, rendering the treatment exogenous. Results are in Table D.9 (last column). The first-stage F-statistic is 14.9, suggesting a strong instrument.

D.5 Baseline Results for Mechanism I

	DV: BRI Summit Attendance							
	Probit Model							2SRI/IV
	Model 1	Model 2	Model 3	Model 4	Model 5	Model 6	Model 7	Model 8
Total Current Bal.	−0.010**		−0.029***		0.008	−0.009**	−0.012**	−0.023*
	(0.004)		(0.005)		(0.014)	(0.004)	(0.005)	(0.013)
Total Trade Bal.		0.001		−0.019**				
		(0.003)		(0.008)				
Total Current Bal. × Trade Def. w/ China			0.022***					
			(0.007)					
Total Trade Bal. × Trade Def. w/ China				0.020**				
				(0.008)				
Total Current Bal. × Ideal Point (w/ US)					−0.006			
					(0.005)			
Total Current Bal. × Regime Type							0.005	
							(0.007)	
Total Current Bal. × White						0.006		
						(0.014)		
Trade Def. w/ China			0.134	0.018				
			(0.117)	(0.121)				
BRI Position	0.182**	0.170*	0.194**	0.200*	0.174**	0.152*	0.186**	0.201**
	(0.089)	(0.096)	(0.097)	(0.104)	(0.087)	(0.085)	(0.090)	(0.093)
FTA w/ China	0.117	0.112	0.196.	0.177	0.156	0.170.	0.131	0.115
	(0.111)	(0.116)	(0.128)	(0.131)	(0.111)	(0.110)	(0.114)	(0.114)
BIT w/ China	0.166***	0.157**	0.113*	0.100	0.185***	0.132**	0.166***	0.195***
	(0.056)	(0.062)	(0.064)	(0.071)	(0.058)	(0.054)	(0.056)	(0.062)
Financial Crises (count)	0.013**	0.013**	0.014**	0.014**	0.018***	0.013**	0.014**	0.017**
	(0.006)	(0.006)	(0.006)	(0.006)	(0.006)	(0.005)	(0.006)	(0.007)
Ideal Point Distance	−0.145**	−0.122**	−0.138**	−0.136**	−0.320***	−0.225***	−0.150**	−0.160**
	(0.061)	(0.058)	(0.062)	(0.063)	(0.086)	(0.080)	(0.061)	(0.074)

[65] I control for a host of country-level characteristics, which is common and theoretically desirable to mitigate omitted variable bias concerns (Abadie 2003), similar to Acemoglu et al. (2001).

Regime Type	−0.012.	−0.004	−0.012	−0.006	−0.018**	−0.012.	−0.018*	−0.017*
	(0.008)	(0.008)	(0.009)	(0.010)	(0.008)	(0.008)	(0.010)	(0.010)
Leader Ideology	−0.007	−0.008	−0.005	−0.008	−0.002	−0.006	−0.011	−0.017
	(0.022)	(0.025)	(0.024)	(0.026)	(0.023)	(0.022)	(0.023)	(0.024)
Africa Dummy	−0.179**	−0.175*	−0.195*	−0.201*	−0.173**	−0.158*	−0.175**	−0.189**
	(0.084)	(0.099)	(0.104)	(0.116)	(0.081)	(0.080)	(0.085)	(0.088)
GDP Growth Rate	0.003	0.000	−0.001	−0.004	0.003	0.005	0.002	0.003
	(0.004)	(0.003)	(0.005)	(0.006)	(0.004)	(0.004)	(0.004)	(0.004)
GDP (log)	0.051**	0.040*	0.049*	0.040.	0.036.	0.038.	0.047*	0.056*
	(0.023)	(0.023)	(0.026)	(0.027)	(0.023)	(0.025)	(0.024)	(0.029)
GDP per capita (log)	−0.055*	−0.091**	−0.052	−0.081*	−0.056*	−0.058*	−0.051.	−0.028
	(0.032)	(0.040)	(0.037)	(0.048)	(0.031)	(0.033)	(0.032)	(0.049)
Human Rights Index	0.037.	0.034	0.040.	0.046*	0.029	0.017	0.037.	0.043*
	(0.024)	(0.024)	(0.026)	(0.026)	(0.024)	(0.028)	(0.024)	(0.025)
(Intercept)	−0.125	0.296	−0.252	0.174	0.741*	0.120	−0.136	−0.475
	(0.287)	(0.324)	(0.369)	(0.408)	(0.401)	(0.286)	(0.288)	(0.581)
Num.Obs.	147	141	128	121	147	147	147	140
R^2	0.458	0.377	0.472	0.406	0.498	0.528	0.463	0.466

. p < 0.15, * p < 0.1, ** p < 0.05, *** p < 0.01

Table D.9: Baseline LPM models: State's Attendance to 2017 BRI Summit. *Note*: Current account balances use the period 2011-17.

D.6 UNGA Vote Convergence

In this test, the dependent variable is the voting convergence on human rights resolutions at the UNGA. To exclude the complicated influence such as historical, ethnic, religious or territorial factors that are often difficult to disentangle and make the model less efficient, the scope of states is limited to non-Asian countries (Two Americas, Africa, Europe, Oceania – 133 countries in total). A number of standard control variables are included to account for the influence on states' foreign policies, as in Flores-Macías and Kreps (2013), the most systematic one on China's influence, and Gartzke and Li (2003). The dependent variable, the UN votes convergence on human rights with China, takes on 1 if the country-pair voted in agreement, 0 if voted in disagreement, and 0.5 if one of the two abstained. The main predictor, trade balance with China (% in GDP), is the difference of exports and imports reported by a trading partner to the World Bank.[66] A few other economic variables that could potentially confound are controlled for: total trade volume with China (% in GDP) to account for trade power in the traditional literature, as well as the total trade volume with the US (%

[66]Bilateral current account balance is not traditionally collected. Less than 30% bilateral trade data is missing non-randomly, mostly for pre-2000 years and for smaller countries. Therefore, the results should apply more to more recent years and larger trading partners. A Multiple Imputation version is shown in the Appendix. An alternative data source is the COW project which however has the import/export inconsistency issue by using importer-reported imports data.

in GDP) to control for the counteracting US trade influence, also from the WDI. U.S. aid (% in GDP) is controlled for financial influence, retrieved from the U.S. Agency for International Development (USAID).[67] Joint democracy takes the value of one if both countries are not liberal democracies (-10 to 5 in Polity V) in a given year. A similarly non-liberal regime may choose to vote closer with China on human rights issues regardless. I also use the CINC (Composite Indicator of National Capabilities) that incorporate demographic, industrial, and military indicators, taken from the Correlate of Wars project (NMC v6.0), to control for the effect of national power on states' foreign policy choices. Lastly, a country's human rights practices are accounted for using the Political Terror Scale (PTS). Country fixed effects are included for unit specific, time-invariant omitted confounders such as distance or religion.[68] The data covers a period of 20 years (1992-2011), which ensures at least three country-specific human rights resolutions per year. Since external balances are stubbornly persistent and are primarily affected by structural economic factors and common external shocks such as global financial crises, only key year fixed effects of 1997/1998/2000/2001/2008/2009 are controlled for, as well as for model parsimony for a limited number of countries. Another benefit of this is to observe the post-Iraq War anti-Americanism trend through a dummy variable (year>2003), as well as the year trend for the possible evolving perceptions of external imbalances.

An instrumental variable approach is employed to more confidently exclude potential endogeneity issues. Since no theoretical literature shows the intricate imbalances can be somehow affected by *future* UNGA voting patterns, concerns for simultaneity bias is largely mitigated. As discussed above, industrial intensity, strongly correlated with overall and bilateral external imbalances, is unlikely to directly affect UNGA voting patterns via channels elsewhere, apart from the bilateral imbalance as the source of tensions. The two-stage formulas are as follows:

[67]Chinese aid data is not included: The only authentic data source Aiddata reports only ODA (Official Development Assistance)-like grants. Aiddata also lacks the pre-2000 period, and scrapes from open sources while much of Chinese aid remains hidden (Flores-Macías and Kreps 2013). Importantly, the OECD estimates that the Chinese aid in 2018 was $4 billion, tenth among donor states, far behind the United States that provide $34 billion.

[68]A Hausman test has been run to rule out random-effects models.

$$T_i = \pi_0 + \pi_1 Z_i + \pi_2 \mathbf{X_i} + \eta_i$$

$$Y_i = \beta_0 + \beta_1 \hat{T}_i + \beta_2 \mathbf{X_i} + \epsilon_i$$

where T_i, Z_i, $\mathbf{X_i}$ and Y_i are treatment (external imbalances), instrument (industrial intensity, lagged), covariates, and outcome (vote convergence) respectively. In the first stage, the instrument is strong with an F-statistic close to 15. As a stricter robustness test that makes fewer assumptions, the 2SLS model includes all year fixed effects rather than key years. As in Flores-Macías and Kreps (2013), resource intensity (natural resource rent share, lagged) is used as another instrument. Arguably, resource intensity may be less robust as an IV than industry intensity, as resource-rich countries are more autocracies (though regime type controlled for) and may care more about the Chinese market whose imports from the Global South are largely natural resources.

Table D.10 shows the results of the effects of trade imbalances with China on the UNGA human rights vote convergence. Model 1 conducts a simple bivariate correlation and the predictor imbalance is highly significant. Model 2 adds the main control variables and Model 3 also adds country and year fixed effects, with results remaining substantially unchanged. A higher bilateral trade deficit with China does seem to result in states voting differently from China on UNGA human rights resolutions. Model 4 and Model 5 add the interaction of bilateral trade imbalances and total balances (current account or trade). The effect of the main treatment, bilateral balance, is nullified when total balance is positive; in other words, if a state maintains an overall external balance, a bilateral imbalance is of less concern. Model 6 uses a different specification by employing a mixed effect model that treats the intercepts of states as random and incorporates both within-country and cross-country variations of the treatment. The result remains highly similar. Models 7 and 8 are the 2SLS models that respectively use industrial intensity and natural resource intensity as instruments. The results of IV models are significant and consistent with main models, with larger magnitudes.[69]

[69] The larger magnitudes are similar to those in Flores-Macías and Kreps (2013), suggesting that the OLS models may have the known attenuation bias (Bound and Krueger 1991).

	DV: UNGA Human Rights Vote Convergence							
	OLS					Mixed	2SLS	
	Model 1	Model 2	Model 3	Model 4	Model 5	Model 6	Model 7	Model 8
Trade Bal. w/ China	0.0232***	0.0105***	0.0088**	0.0029	0.0051	0.0091***	0.0812***	0.0740***
	(0.0037)	(0.0030)	(0.0044)	(0.0048)	(0.0047)	(0.0028)	(0.0205)	(0.0207)
Trade Bal. w/ China x CA Bal.				−0.0004**				
				(0.0001)				
Trade Bal. w/ China x Trade Bal.					−0.0003.			
					(0.0002)			
CA Balance (lag)				0.0055***				
				(0.0016)				
Trade Balance (lag)					0.0032*			
					(0.0017)			
CINC		6.9623***	−4.0298	−5.1347	−5.2793	6.8806**	−4.3163	−4.2242
		(1.2153)	(23.1518)	(22.0724)	(22.9652)	(2.8044)	(6.5116)	(6.3510)
Joint Democracy		0.2717***	0.1112**	0.1120**	0.1034*	0.1633***	0.1393***	0.1445***
		(0.0153)	(0.0554)	(0.0515)	(0.0563)	(0.0192)	(0.0289)	(0.0276)
Total Trade w/ U.S.		0.0002	−0.0008	0.0001	−0.0001	−0.0006	0.0021	0.0020
		(0.0006)	(0.0017)	(0.0011)	(0.0016)	(0.0009)	(0.0017)	(0.0017)
Total Trade w/ China		−0.0102***	−0.0123***	−0.0120***	−0.0097**	−0.0111***	−0.0285***	−0.0258***
		(0.0032)	(0.0047)	(0.0044)	(0.0049)	(0.0028)	(0.0071)	(0.0068)
Total U.S. Aid		−0.0193***	−0.0124*	−0.0166**	−0.0122	−0.0099*	−0.0134*	−0.0132*
		(0.0060)	(0.0072)	(0.0074)	(0.0085)	(0.0052)	(0.0071)	(0.0069)
GDP		−0.0272***	−0.1535	−0.1389	−0.1217	−0.0267*	−0.3828***	−0.2632**
		(0.0067)	(0.1581)	(0.1589)	(0.1603)	(0.0162)	(0.1344)	(0.1230)
GDP per capita		−0.0514***	0.0694	0.0739	0.0351	−0.0697***	0.3945***	0.2752**
		(0.0088)	(0.1505)	(0.1504)	(0.1509)	(0.0184)	(0.1318)	(0.1196)
Human Rights		0.0171**	−0.0186	−0.0046	−0.0153	−0.0059	0.0071	−0.0090
		(0.0074)	(0.0190)	(0.0142)	(0.0177)	(0.0078)	(0.0117)	(0.0112)
Year Trend		0.0092***	0.0115**	0.0084**	0.0100**	0.0102***	0.0219***	0.0186***
Country FE			✓	✓	✓	N/A	✓	✓
Year FE			✓	✓	✓	✓	✓	✓
Observations	1588	1236	1236	1032	1097	1236	1190	1236
R^2 Adj	0.022	0.503	0.703	0.718	0.729	0.747 (Cond.)	0.659	0.632
R^2 Within Adj.			0.162	0.198	0.186			

$^{\cdot}p < 0.15$, $^{*}p < 0.1$, $^{**}p < 0.05$, $^{***}p < 0.01$

Table D.10: UNGA Human Rights Vote Convergence. *Note*: standard errors are clustered at the country level.

Although interpreting control variables theoretically is not advised (Hunermund and Louw 2022), it is interesting to note that the sign of total trade with China is negative even without trade balances. Combining the Pew report (2007) that "China's expanding influence in African and Latin America is triggering considerable anxiety," the negative coefficient suggests that unlike in the literature, even total bilateral trade may not bear the positive influence effect at least in the China case, while the soaring trade balance may be the key. Figure D.8 shows the predicted marginal effects of bilateral trade balances with China across the values of total external balances: The effects of bilateral deficits become close to null when total current account or trade balances remain positive.

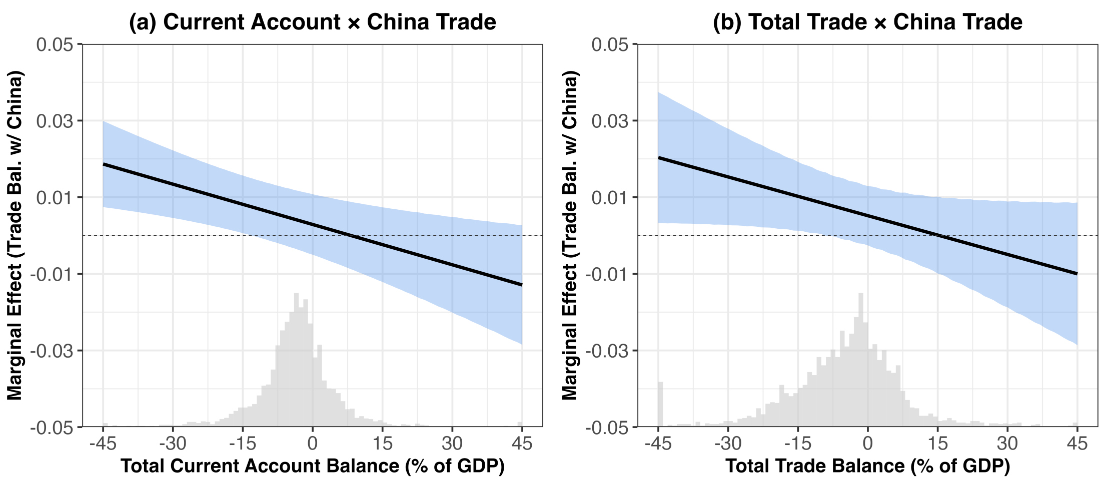


Figure D.8: Marginal Effects of Bilateral Trade Balances with China. *Note*: The graphs depict the marginal effects of bilateral balances, when interacting with current-account balances (left) and trade balances (right), with 95% CI (Appendix D.6).

D.7 Regression Tables for Mechanism II (Figure 8)

	DV: State Head's Attendence to the BRI Summit										
	Model 1	Model 2	Model 3	Model 4	Model 5	Model 6	Model 7	Model 8	Model 9	Model 10	Model 11
CA Account (scale)	−0.123***										−0.169**
	(0.044)										(0.085)
Fin. Crises (scale)		0.105***									0.150***
		(0.036)									(0.047)
Import Change (scale)			0.028								0.017
			(0.021)								(0.042)
FDI (scale)				0.023**							−0.125
				(0.009)							(0.105)
GDP Growth (scale)					0.020						0.077
					(0.027)						(0.075)
MFG (scale)						−0.011					−0.054
						(0.024)					(0.035)
Debt (scale)							0.036				0.012
							(0.028)				(0.045)
Unemployment (scale)								0.011			0.019
								(0.030)			(0.042)
Inequality (scale)									−0.074**		−0.072
									(0.033)		(0.053)
IMF Deficit (scale)										−0.014	−0.029
										(0.022)	(0.027)
OBOR Nations	0.182**	0.204**	0.094	0.093	0.083	0.096	0.097	0.111	0.073	0.090	0.142
	(0.089)	(0.086)	(0.080)	(0.078)	(0.074)	(0.079)	(0.079)	(0.080)	(0.072)	(0.077)	(0.113)
FTAs	0.148	0.174	0.107	0.173	0.178	0.161	0.179	0.168	0.201*	0.182	0.057
	(0.111)	(0.114)	(0.112)	(0.112)	(0.113)	(0.114)	(0.123)	(0.114)	(0.115)	(0.113)	(0.141)
BITs	0.175***	0.111*	0.161***	0.159***	0.151***	0.168***	0.139***	0.161***	0.112**	0.159***	0.124
	(0.057)	(0.056)	(0.056)	(0.052)	(0.051)	(0.055)	(0.051)	(0.052)	(0.052)	(0.055)	(0.084)
Leader Ideology	−0.008	−0.004	−0.011	−0.003	−0.007	−0.004	−0.001	−0.006	−0.004	−0.004	−0.010
	(0.023)	(0.022)	(0.021)	(0.021)	(0.020)	(0.022)	(0.021)	(0.021)	(0.019)	(0.021)	(0.028)
Ideal Point (CN)	−0.133**	−0.158***	−0.112**	−0.083*	−0.070	−0.077*	−0.081	−0.111**	−0.125**	−0.081*	−0.227***
	(0.059)	(0.057)	(0.046)	(0.047)	(0.043)	(0.044)	(0.051)	(0.048)	(0.048)	(0.045)	(0.080)
Regime Type	−0.012	−0.003	0.007	0.003	0.004	0.003	0.002	0.004	0.004	0.004	−0.011
	(0.008)	(0.008)	(0.006)	(0.006)	(0.006)	(0.006)	(0.007)	(0.006)	(0.005)	(0.006)	(0.010)
Africa	−0.147*	−0.146*	−0.191**	−0.181**	−0.169**	−0.188**	−0.156**	−0.169**	−0.148**	−0.172**	−0.198
	(0.086)	(0.084)	(0.081)	(0.075)	(0.071)	(0.077)	(0.075)	(0.084)	(0.065)	(0.074)	(0.121)
GDP	0.044*	0.039*	0.045**	0.040**	0.031**	0.035**	0.039**	0.059***	0.030**	0.035**	0.027
	(0.023)	(0.021)	(0.017)	(0.017)	(0.016)	(0.017)	(0.018)	(0.021)	(0.014)	(0.016)	(0.034)
GDP PC	−0.055*	−0.073**	−0.088***	−0.085***	−0.067**	−0.083***	−0.074**	−0.102***	−0.057**	−0.076***	−0.007
	(0.033)	(0.032)	(0.031)	(0.029)	(0.027)	(0.029)	(0.029)	(0.034)	(0.024)	(0.028)	(0.063)
Human Rights	0.034	0.028	0.012	0.010	0.005	0.008	0.012	0.021	−0.003	0.008	0.009
	(0.024)	(0.023)	(0.021)	(0.021)	(0.021)	(0.023)	(0.022)	(0.020)	(0.019)	(0.021)	(0.036)
Num.Obs.	166	154	156	171	173	165	171	165	158	173	125
R^2	0.280	0.296	0.247	0.262	0.261	0.264	0.267	0.268	0.293	0.262	0.350

$^{***}p < 0.01$; $^{**}p < 0.05$; $^{*}p < 0.1$

Table D.11: Baseline LPM models: Ten LIO Issues (Scaled). *Note*: Current account balances use the period 2011-17. Although in single models, FDI and inequality are significant, they are insignificant in pooled model, suggesting the existence of confounders. Moreover, the sign is against theory – higher FDI not lower leads to support and lower inequality not higher leads to support. For current account balance and financial crisis count, they are consistent in both models.

	DV: State Head's Attendence to the BRI Summit										
	Model 1	Model 2	Model 3	Model 4	Model 5	Model 6	Model 7	Model 8	Model 9	Model 10	Model 11
CA Account (scale)	−0.123***										−1.488**
	(0.044)										(0.597)
Fin. Crises (scale)		0.105***									0.840**
		(0.036)									(0.397)
Import Change (scale)			0.028								0.206
			(0.021)								(0.284)
FDI (scale)				0.023**							−1.898
				(0.009)							(1.983)
GDP Growth (scale)					0.020						0.440
					(0.027)						(0.454)
MFG (scale)						−0.011					−0.336
						(0.024)					(0.209)
Debt (scale)							0.036				−0.076
							(0.028)				(0.306)
Unemployment (scale)								0.011			0.017
								(0.030)			(0.356)
Inequality (scale)									−0.074**		−0.581
									(0.033)		(0.527)
IMF Deficit (scale)										−0.014	−0.094
										(0.022)	(0.371)
OBOR Nations	0.182**	0.204**	0.094	0.093	0.083	0.096	0.097	0.111	0.073	0.090	0.739
	(0.089)	(0.086)	(0.080)	(0.078)	(0.074)	(0.079)	(0.079)	(0.080)	(0.072)	(0.077)	(0.627)
FTAs	0.148	0.174	0.107	0.173	0.178	0.161	0.179	0.168	0.201*	0.182	0.085
	(0.111)	(0.114)	(0.112)	(0.112)	(0.113)	(0.114)	(0.123)	(0.114)	(0.115)	(0.113)	(0.822)
BITs	0.175***	0.111*	0.161***	0.159***	0.151***	0.168***	0.139***	0.161***	0.112**	0.159***	0.370
	(0.057)	(0.056)	(0.056)	(0.052)	(0.051)	(0.055)	(0.051)	(0.052)	(0.052)	(0.055)	(0.789)
Leader Ideology	−0.008	−0.004	−0.011	−0.003	−0.007	−0.004	−0.001	−0.006	−0.004	−0.004	−0.041
	(0.023)	(0.022)	(0.021)	(0.021)	(0.020)	(0.022)	(0.021)	(0.021)	(0.019)	(0.021)	(0.188)
Ideal Point (CN)	−0.133**	−0.158***	−0.112**	−0.083*	−0.070	−0.077*	−0.081	−0.111**	−0.125**	−0.081*	−1.769***
	(0.059)	(0.057)	(0.046)	(0.047)	(0.043)	(0.044)	(0.051)	(0.048)	(0.048)	(0.045)	(0.496)
Regime Type	−0.012	−0.003	0.007	0.003	0.004	0.003	0.002	0.004	0.004	0.004	−0.032
	(0.008)	(0.008)	(0.006)	(0.006)	(0.006)	(0.006)	(0.007)	(0.006)	(0.005)	(0.006)	(0.064)
Africa	−0.147*	−0.146*	−0.191**	−0.181**	−0.169**	−0.188**	−0.156**	−0.169**	−0.148**	−0.172**	−1.413
	(0.086)	(0.084)	(0.081)	(0.075)	(0.071)	(0.077)	(0.075)	(0.084)	(0.065)	(0.074)	(1.303)
GDP	0.044*	0.039*	0.045**	0.040**	0.031**	0.035**	0.039**	0.059***	0.030**	0.035**	0.297
	(0.023)	(0.021)	(0.017)	(0.017)	(0.016)	(0.017)	(0.018)	(0.021)	(0.014)	(0.016)	(0.212)
GDP PC	−0.055*	−0.073**	−0.088***	−0.085***	−0.067**	−0.083***	−0.074**	−0.102***	−0.057**	−0.076***	−0.007
	(0.033)	(0.032)	(0.031)	(0.029)	(0.027)	(0.029)	(0.029)	(0.034)	(0.024)	(0.028)	(0.438)
Human Rights	0.034	0.028	0.012	0.010	0.005	0.008	0.012	0.021	−0.003	0.008	0.187
	(0.024)	(0.023)	(0.021)	(0.021)	(0.021)	(0.023)	(0.022)	(0.020)	(0.019)	(0.021)	(0.262)
Num.Obs.	166	154	156	171	173	165	171	165	158	173	125
R^2	0.280	0.296	0.247	0.262	0.261	0.264	0.267	0.268	0.293	0.262	0.350

$^{***}p < 0.01$; $^{**}p < 0.05$; $^{*}p < 0.1$

Table D.12: Baseline Probit models: Ten LIO Issues (Scaled).

	DV: State Head's Attendence to the BRI Summit									
	Model 1	Model 2	Model 3	Model 4	Model 5	Model 6	Model 7	Model 8	Model 9	Model 10
Global Imbalances / Financial Crises	0.152**									0.187**
	(0.067)									(0.081)
Import Shock		−0.048								−0.050
		(0.053)								(0.067)
Low FDI			−0.040							0.120
			(0.063)							(0.134)
Economic Inequality				−0.071						−0.101
				(0.060)						(0.084)
Low Growth					0.008					−0.086
					(0.051)					(0.095)
De-industrialization						−0.050				−0.053
						(0.054)				(0.067)
High Debt							0.073			0.077
							(0.051)			(0.073)
High Unemployment								−0.048		−0.084
								(0.052)		(0.074)
IMF Governance Deficit									−0.022	0.086
									(0.066)	(0.087)
OBOR Route	0.162*	0.076	0.092	0.064	0.086	0.099	0.085	0.104	0.085	0.144
	(0.083)	(0.083)	(0.078)	(0.079)	(0.078)	(0.082)	(0.079)	(0.081)	(0.076)	(0.112)
FTA w/ China	0.131	0.111	0.165	0.190*	0.183	0.173	0.178	0.147	0.172	0.070
	(0.120)	(0.113)	(0.114)	(0.112)	(0.112)	(0.111)	(0.120)	(0.111)	(0.113)	(0.147)
BIT w/ China	0.155***	0.172***	0.155***	0.143***	0.157***	0.164***	0.142***	0.172***	0.162***	0.119
	(0.057)	(0.057)	(0.052)	(0.052)	(0.053)	(0.058)	(0.050)	(0.053)	(0.055)	(0.074)
Ideal Point Distance (China)	−0.124**	−0.105**	−0.088*	−0.080*	−0.072*	−0.086*	−0.079	−0.090*	−0.074*	−0.157***
	(0.052)	(0.046)	(0.048)	(0.044)	(0.043)	(0.044)	(0.050)	(0.048)	(0.044)	(0.056)
Leader Ideology	0.000	−0.009	−0.005	−0.004	−0.006	0.000	−0.003	−0.003	−0.005	0.004
	(0.021)	(0.022)	(0.021)	(0.020)	(0.021)	(0.022)	(0.022)	(0.022)	(0.021)	(0.027)
Regime Type	−0.004	0.005	0.002	0.001	0.003	0.002	0.003	0.003	0.003	−0.001
	(0.008)	(0.007)	(0.007)	(0.006)	(0.006)	(0.007)	(0.007)	(0.006)	(0.007)	(0.009)
Africa	−0.210***	−0.208**	−0.179**	−0.174**	−0.182**	−0.181**	−0.160**	−0.171**	−0.178**	−0.211*
	(0.078)	(0.085)	(0.074)	(0.073)	(0.077)	(0.083)	(0.076)	(0.083)	(0.076)	(0.109)
GDP per Capita	0.002	0.001	0.002	0.001	0.000	0.001	−0.001	0.000	0.001	−0.002
	(0.004)	(0.005)	(0.004)	(0.002)	(0.003)	(0.004)	(0.002)	(0.003)	(0.004)	(0.006)
GDP	0.046**	0.041**	0.040**	0.027*	0.034**	0.037**	0.042**	0.048**	0.036**	0.032
	(0.019)	(0.018)	(0.018)	(0.015)	(0.015)	(0.017)	(0.018)	(0.020)	(0.017)	(0.031)
Log GDP per Capita	−0.069**	−0.089***	−0.080***	−0.065**	−0.079***	−0.080***	−0.080***	−0.092***	−0.080***	−0.018
	(0.030)	(0.031)	(0.028)	(0.025)	(0.028)	(0.030)	(0.029)	(0.032)	(0.028)	(0.050)
Human Rights	0.015	0.008	0.009	−0.001	0.007	0.008	0.013	0.010	0.008	−0.010
	(0.023)	(0.022)	(0.021)	(0.020)	(0.021)	(0.023)	(0.022)	(0.020)	(0.021)	(0.030)
Num.Obs.	156	155	170	157	172	164	170	164	172	126
R^2	0.314	0.260	0.272	0.300	0.269	0.272	0.273	0.280	0.271	0.347

$^{***}p < 0.01$; $^{**}p < 0.05$; $^{*}p < 0.1$

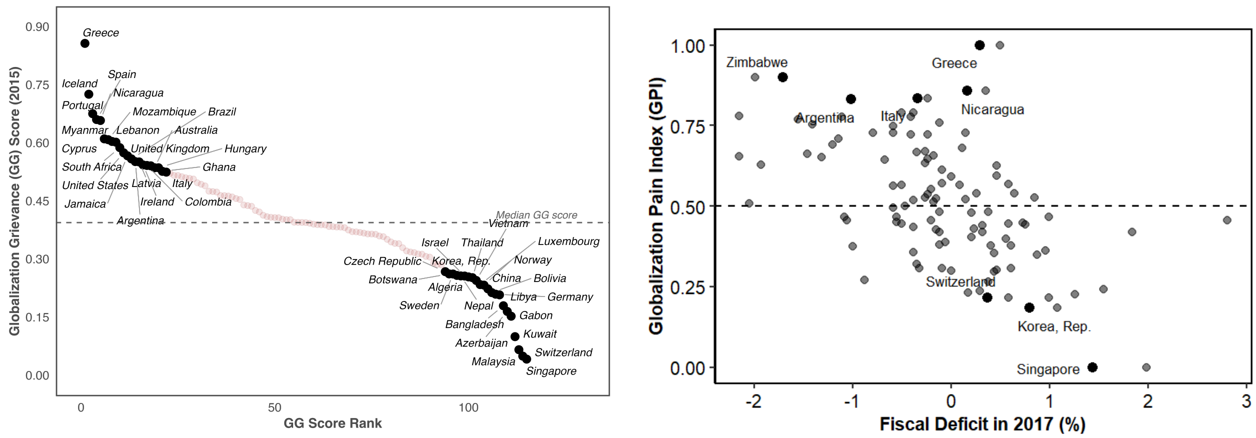
Table D.13: Baseline LPM models: Helpless Dummy (at 50th percentile of the issue variable) and Placebos.

	DV: State Head's Attendence to the BRI Summit									
	Model 1	Model 2	Model 3	Model 4	Model 5	Model 6	Model 7	Model 8	Model 9	Model 10
Global Imbalances / Financial Crises	0.170***									0.199***
	(0.052)									(0.070)
Import Shock		0.037								0.034
		(0.069)								(0.086)
Low FDI			−0.006							−0.016
			(0.069)							(0.097)
Economic Inequality				−0.155***						−0.154
				(0.056)						(0.100)
Low Growth					0.059					0.000
					(0.058)					(0.101)
De-industrialization						0.066				0.133
						(0.075)				(0.092)
High Debt							0.034			−0.095
							(0.055)			(0.079)
High Unemployment								0.002		0.027
								(0.065)		(0.090)
IMF Governance Deficit									0.077	0.088
									(0.075)	(0.096)
OBOR Route	0.149*	0.082	0.092	0.055	0.097	0.096	0.087	0.098	0.090	0.089
	(0.083)	(0.082)	(0.078)	(0.076)	(0.077)	(0.081)	(0.079)	(0.084)	(0.077)	(0.108)
FTA w/ China	0.119	0.102	0.170	0.178	0.190*	0.134	0.181	0.160	0.186	0.026
	(0.116)	(0.114)	(0.113)	(0.111)	(0.111)	(0.119)	(0.123)	(0.112)	(0.113)	(0.151)
BIT w/ China	0.153***	0.170***	0.154***	0.130**	0.146***	0.168***	0.148***	0.172***	0.146***	0.116
	(0.055)	(0.057)	(0.052)	(0.053)	(0.053)	(0.055)	(0.052)	(0.054)	(0.053)	(0.078)
Ideal Point Distance (China)	−0.141**	−0.101**	−0.086*	−0.100**	−0.072*	−0.078*	−0.078	−0.094*	−0.074*	−0.148**
	(0.056)	(0.047)	(0.048)	(0.045)	(0.043)	(0.045)	(0.050)	(0.049)	(0.044)	(0.067)
Leader Ideology	−0.004	−0.009	−0.004	−0.001	−0.002	−0.001	−0.003	−0.004	−0.003	−0.003
	(0.021)	(0.022)	(0.021)	(0.020)	(0.021)	(0.022)	(0.022)	(0.022)	(0.021)	(0.030)
Regime Type	−0.008	0.006	0.003	0.002	0.002	0.001	0.003	0.002	0.001	−0.007
	(0.008)	(0.007)	(0.007)	(0.006)	(0.006)	(0.007)	(0.007)	(0.006)	(0.007)	(0.010)
Africa	−0.232***	−0.198**	−0.175**	−0.193**	−0.178**	−0.203**	−0.158**	−0.184**	−0.188**	−0.354***
	(0.079)	(0.084)	(0.075)	(0.074)	(0.075)	(0.078)	(0.076)	(0.089)	(0.075)	(0.112)
GDP per Capita	0.003	0.001	0.002	0.000	0.001	0.002	−0.001	0.000	0.001	0.001
	(0.004)	(0.005)	(0.004)	(0.002)	(0.003)	(0.004)	(0.002)	(0.002)	(0.004)	(0.006)
GDP	0.055***	0.045**	0.037**	0.037**	0.035**	0.037**	0.039**	0.054**	0.029*	0.055*
	(0.020)	(0.018)	(0.017)	(0.015)	(0.016)	(0.017)	(0.018)	(0.021)	(0.016)	(0.029)
Log GDP per Capita	−0.080**	−0.090***	−0.075***	−0.069***	−0.084***	−0.087***	−0.075**	−0.103***	−0.082***	−0.098*
	(0.032)	(0.031)	(0.027)	(0.026)	(0.028)	(0.030)	(0.029)	(0.033)	(0.028)	(0.050)
Human Rights	0.024	0.010	0.007	0.003	0.009	0.008	0.012	0.016	0.006	0.018
	(0.024)	(0.022)	(0.021)	(0.020)	(0.020)	(0.023)	(0.022)	(0.021)	(0.020)	(0.030)
Num.Obs.	153	155	170	157	172	164	170	164	172	126
R2	0.332	0.258	0.274	0.311	0.275	0.272	0.274	0.279	0.270	0.385

$^{***}p < 0.01$; $^{**}p < 0.05$; $^{*}p < 0.1$

Table D.14: Baseline LPM models: Helpless Dummy (75th percentile of the issue variable) and Placebos.

D.8 Globalization Grievance Score



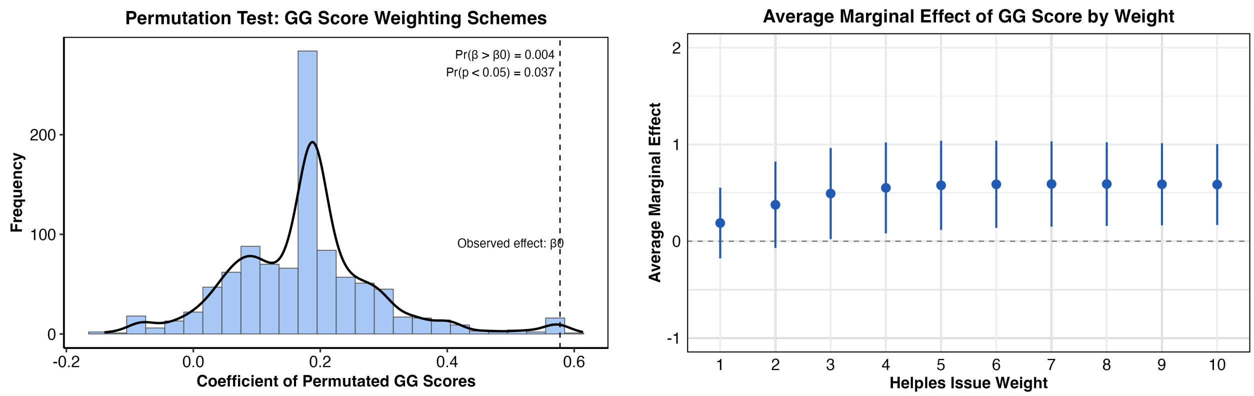
(a) By GG score Rank

(b) By Fiscal Rate

Figure D.9: Globalization Grievance Index (GG score) Distributions. *Note*: Panel (a) reports GG score distribution by countries across GG score rank, while Panel (b) shows GG score distribution by countries across domestic fiscal rate in 2016.

Country	GG score	Country	GG score	Country	GG score
Singapore	0.041	Morocco	0.364	Ukraine	0.463
Switzerland	0.049	Uganda	0.364	Honduras	0.464
Malaysia	0.066	Mexico	0.364	Albania	0.473
Kuwait	0.099	Fiji	0.367	Jordan	0.474
Gabon	0.152	Slovak Republic	0.368	Tunisia	0.475
Azerbaijan	0.164	Indonesia	0.370	Turkey	0.489
Bangladesh	0.179	Haiti	0.370	Bosnia and Herzegovina	0.493
Libya	0.207	North Macedonia	0.375	France	0.497
Germany	0.209	Guinea-Bissau	0.381	Poland	0.506
Bolivia	0.213	Niger	0.382	Belize	0.508
China	0.223	Mali	0.382	Japan	0.510
Norway	0.232	El Salvador	0.383	Guinea	0.512
Luxembourg	0.234	Uruguay	0.384	Cabo Verde	0.515
Vietnam	0.244	Russian Federation	0.388	Mongolia	0.516
Thailand	0.252	Costa Rica	0.388	Sierra Leone	0.521
Korea, Rep.	0.254	Angola	0.389	Italy	0.524
Israel	0.256	Senegal	0.390	Ghana	0.526
Nepal	0.256	Burkina Faso	0.392	Hungary	0.535
Algeria	0.257	Guatemala	0.394	Australia	0.535
Sweden	0.261	Dominican Republic	0.394	United Kingdom	0.540
Botswana	0.261	Benin	0.394	Colombia	0.541
Czech Republic	0.267	Madagascar	0.395	Ireland	0.543
Paraguay	0.284	Moldova	0.401	Latvia	0.550
Canada	0.286	Kenya	0.401	Argentina	0.551
Finland	0.290	Kyrgyz Republic	0.403	Brazil	0.558
Kazakhstan	0.305	Congo, Rep.	0.406	Jamaica	0.566
Lesotho	0.307	Slovenia	0.407	United States	0.574
Ecuador	0.312	India	0.407	South Africa	0.587
Pakistan	0.313	Croatia	0.409	Lebanon	0.601
Cameroon	0.316	Nigeria	0.413	Cyprus	0.603
Peru	0.318	Gambia, The	0.421	Mozambique	0.608
Estonia	0.321	Chile	0.425	Myanmar	0.610
Denmark	0.329	Zambia	0.436	Nicaragua	0.657
Togo	0.339	Cote d'Ivoire	0.438	Spain	0.660
Lao PDR	0.340	Belgium	0.439	Portugal	0.675
Swaziland	0.344	Romania	0.453	Iceland	0.725
New Zealand	0.351	Burundi	0.456	Greece	0.856
Austria	0.358	Namibia	0.460		
Lithuania	0.359	Belarus	0.462		

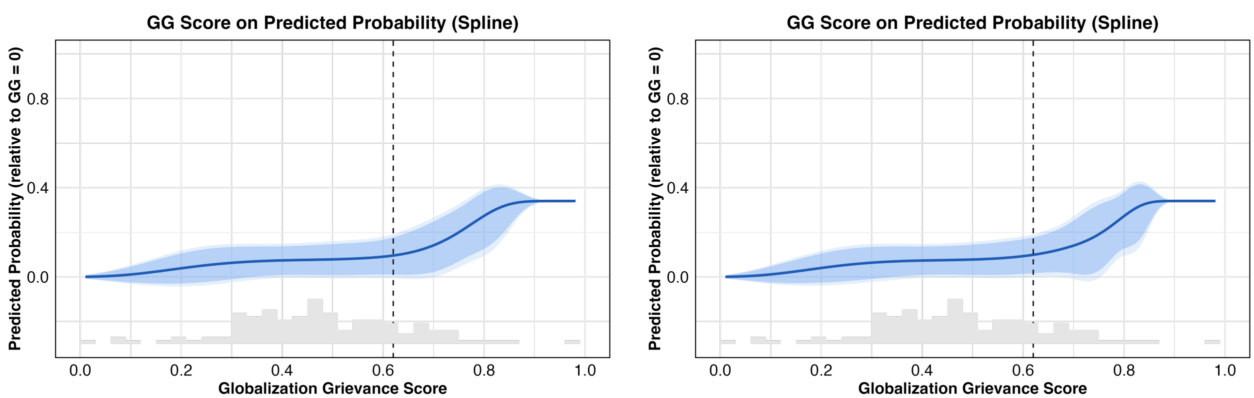
Table D.15: Countries Sorted by Standardized GG score. *Note*: Only 115 countries have full data avaiable.



(a) GG Effects across 1,000 Permutations (b) GG Effects across varied Helpless Weights

Figure D.10: GG Score Effects Robustness Tests. *Note*: Panel (a) plots GG coefficient distribution across issue-classification schemes from 1,000 permutations using baseline model in Mechanism II. Graph (b) plots GG coefficients across varied helpless-weighting schemes.

D.9 Non-linear Illustration of GG score on BRI Attendance



(a) Knot = 70th percentile (b) Knot = 90th percentile

Figure D.11: Globalization Grievance Index (GG score) Distributions. *Note*: Panel (a) is at knot = 70th percentile, while Panel (b) shows GG score when knot = 90th percentile.

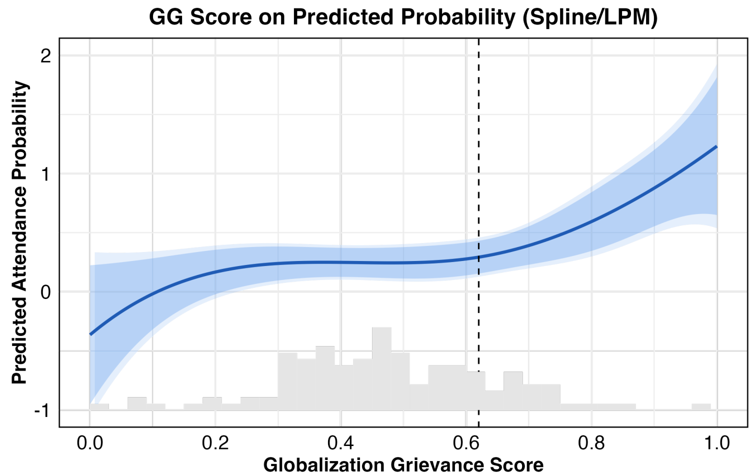


Figure D.12: Nonlinear Effect of GG score on Support for China. *Note:* Marginal effects from a spline-based linear probability model with a threshold at the 80th percentile of GG score (knot = 0.62). LPM does not impose a decision boundary like probit does, i.e., [0, 1].

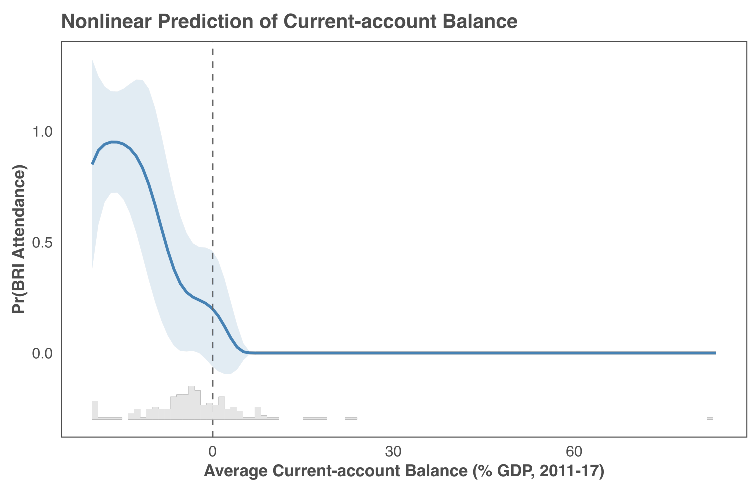


Figure D.13: Nonlinear Effect of Current-account Balance on Support for China.

D.10 Robustness Tests of GG score Nonlinear Effects: Piecewise and Segmented LPM

	DV: BRI Summit Attendance	
	Piecewise LPM	Segmented LPM
Below Threshold		
GGI (slope 1)	0.261	0.365
	(0.322)	(0.265)
Above Threshold		
GGI (slope 2)	1.885*	3.106*
	(0.788)	(1.468)
OBOR	0.209.	0.212*
	(0.110)	(0.097)
FTA w/ China	0.047	0.049
	(0.130)	(0.113)
BIT w/ China	0.179*	0.167.
	(0.073)	(0.089)
Ideal Point Distance	−0.186*	−0.188*
	(0.072)	(0.074)
Leader Ideology	−0.013	−0.012
	(0.027)	(0.028)
Regime Type	−0.006	−0.007
	(0.010)	(0.009)
Africa	−0.210.	−0.216*
	(0.106)	(0.107)
GDP Growth Rate	0.004	0.003
	(0.006)	(0.005)
GDP (log)	0.060*	0.064*
	(0.030)	(0.031)
GDP per Capita (log)	−0.083.	−0.082
	(0.048)	(0.055)
Human Rights Index	0.032	0.031
	(0.029)	(0.031)
Threshold (Est.)	0.620	0.710
Threshold (95% CI)	—	[0.573, 0.847]
Slope 1 (95% CI)	—	[-0.160, 0.891]
Slope 2 (95% CI)	—	[0.195, 6.017]
Adj. R^2	—	0.259
Num. Obs.	122	122

. $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

Table D.16: Two Threshold Models. *Note:* Dependent variable is BRI summit attendance. Column (1) reports a piecewise linear probability model with a theory-driven threshold at GG score = 0.75. Column (2) reports a segmented linear probability model with an estimated threshold. In Column (2), the slope above the threshold equals the sum of the baseline slope and the post-threshold slope change. Robust standard errors in parentheses.

D.11 UN Resolution ES-11/1 on Russia's Invasion

To further support the loyalty-eroding mechanism, I utilize the unusual UNES-11/1 resolution on March 2, 2022, which was the first UNGA vote to condemn Russia's full-scale invasion (February 24) and demanded complete withdrawal. These requests concerned core LIO norms and the West-led order backing Ukraine, rendering non-compliance a strong signal of disloyalty, thus well suited to my theory. Of all, 141 voted in favor and 40 voted against or abstained. As with BRI attendance, defection plausibly reflects two channels: (1)

baseline affinity with the West or Russia shaped by regime type, leader ideology, geopolitical alignment, or perceived utility of voting, and (2) issue-induced loyalty erosion within the current order. By controlling for the first channel, the analysis isolates variation attributable to the second.

Defying core LIO norms constitutes perhaps a more severe form of contesting the LIO, generating more diplomatic and reputational costs (than BRI attendance) while offering virtually no foreseeable material benefits. As such, my theory predicts that, for typical states, substantial loyalty erosion is required for defection. I estimate Probit models with non-compliance (voting against or abstaining) as the dependent variable, controlling for baseline propensity including Global South status, NATO membership, Ideal Point distance from the U.S., regime type, leader ideology, GDP, GDP per capita, and human rights practices. I then test the ten LIO issues using the longer 2001-20 period, which better captures the cumulative grievances theorized to erode loyalty.

	DV: UNES-11/1 Resolution Vote										
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)
Import Competition	−0.019										−0.010
	(0.017)										(0.040)
Low FDI		0.004									0.018
		(0.035)									(0.104)
Low GDP Growth			−0.073								0.281
			(0.094)								(0.323)
Deinudstrialization				−0.162**							0.037
				(0.076)							(0.134)
High Unemployment					0.017						0.087
					(0.028)						(0.054)
High Debt						0.004					−0.004
						(0.005)					(0.013)
Inequality (Top 10%)							−0.021				−0.006
							(0.025)				(0.039)
IMF Governance Deficit								−1.575			0.894
								(1.062)			(1.566)
Financial Crises									−0.143**		−0.241*
									(0.071)		(0.124)
Global Imbalances										−0.055**	−0.070
										(0.025)	(0.061)
Global South	3.049***	3.363***	3.215***	2.277***	3.220***	3.443***	3.345***	3.588***	4.006***	3.537***	4.213**
	(0.749)	(0.895)	(0.576)	(0.675)	(0.566)	(0.657)	(0.573)	(0.862)	(0.819)	(0.924)	(1.832)
NATO	−1.468**	−1.416**	−1.422**	−2.174***	−1.410**	−1.097**	−1.421**	−1.567**	−1.739**	−1.573**	−1.826***
	(0.703)	(0.653)	(0.654)	(0.842)	(0.673)	(0.524)	(0.648)	(0.715)	(0.702)	(0.702)	(0.681)
Ideal Point	−0.635	−0.700*	−0.745*	−0.854*	−0.768*	−0.769*	−0.819**	−0.609	−0.750	−0.589	−1.071**
	(0.405)	(0.412)	(0.403)	(0.437)	(0.395)	(0.463)	(0.379)	(0.424)	(0.467)	(0.424)	(0.489)
Regime Type	−0.035	−0.040	−0.042	−0.042	−0.041	−0.037	−0.037	−0.045	−0.056	−0.064*	−0.115*
	(0.034)	(0.032)	(0.032)	(0.042)	(0.032)	(0.033)	(0.032)	(0.033)	(0.037)	(0.033)	(0.065)
Leader Ideology	0.238*	0.172	0.177	0.382**	0.175	0.154	0.199	0.181	0.185	0.171	0.400
	(0.140)	(0.136)	(0.131)	(0.189)	(0.134)	(0.163)	(0.134)	(0.140)	(0.149)	(0.136)	(0.282)
Log GDP PC	−0.235	−0.357	−0.363	−0.215	−0.364	−0.329	−0.381	−0.290	−0.174	−0.318	0.465
	(0.258)	(0.226)	(0.229)	(0.265)	(0.237)	(0.228)	(0.232)	(0.225)	(0.286)	(0.216)	(0.621)
Log GDP	0.006	0.149	0.147	−0.001	0.149	0.121	0.165	0.133	0.173	0.212	−0.348
	(0.147)	(0.135)	(0.136)	(0.133)	(0.145)	(0.146)	(0.139)	(0.136)	(0.163)	(0.139)	(0.288)
Human Rights	−0.358**	−0.220	−0.214	−0.505***	−0.207	−0.267	−0.204	−0.272*	−0.260	−0.252	−1.083***
	(0.173)	(0.154)	(0.155)	(0.172)	(0.161)	(0.182)	(0.158)	(0.159)	(0.190)	(0.160)	(0.386)
Num.Obs.	138	158	164	145	152	145	164	160	135	150	95
R2	0.58	0.53	0.56	0.63	0.55	0.56	0.57	0.56	0.58	0.57	0.73

Note: * $p < 0.1$, ** $p < 0.05$, *** $p < 0.001$.

Table D.17: Non-Helpless Issues and UNES-11/1 Vote.

Table D.17 reports results for non-helpless issues (Models 1-8) alongside helpless issues (Models 9-10) and a pooled specification (Model 11) as current account may be highly confounded by financial instability among others. Consistent with the theory, none of the eight non-helpless issues – import competition, low FDI, low growth, deindustrialization, high unemployment, high government debt, economic inequality, and IMF governance deficit – exhibits a statistically significant effect on vote defection. In contrast, both helpless issues show significant effects: cumulative financial crises and current-account balance roughly in both the single model and the pooled model (with the latter a bit weaker in the pooled model). This confirms that these effects persist when controlling for all issues simultaneously.

Moreover, as with BRI attendance, UNES-11/1 reveals the nonlinear grievance-disengagement relationship at the grievance-level: the GG score index shows significant effects only at high values, with a data-driven threshold comparable to that estimated for BRI attendance (see Figure D.14).

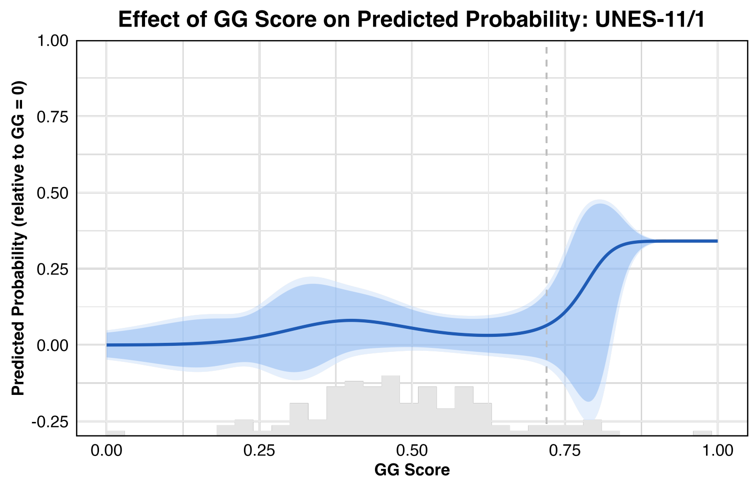


Figure D.14: Nonlinear Effect of GG score on UNES-11/1.

D.12 Alternative Measure: Residualized Issue Grievances

To ensure that the estimated grievance effects are not mechanically driven by cross-national differences in development level, I re-estimate all models using income-adjusted grievance measures. Specifically, for each of the ten issue indicators, I first winsorize extreme values (bounded by 5% on both sides) and then residualize the variable with respect to GDP per capita, extracting the component orthogonal to income, as follows:

$$X_i = \alpha + \beta \,\mathrm{GDPpc}_i + \varepsilon_i \tag{21}$$

$$\textit{residual}\ \hat{\varepsilon}_i = X_i - \hat{\alpha} - \hat{\beta}\,\mathrm{GDPpc}_i \tag{22}$$

These residuals are subsequently standardized to facilitate cross-issue comparison. I then re-estimate all regressions (Table D.18) and the probit spline model (Figure D.17) using these income-adjusted measures. In general, the substantive patterns remain unchanged: grievances that are theoretically classified as "helpless" continue to exhibit sign-consistent and substantively stronger effects, and the nonlinear spline pattern persists. This suggests that the main results are not an artifact of income differences across countries but reflect issue-specific grievance dynamics.

	DV: State Head's Attendence to the BRI Summit										
	Model 1	Model 2	Model 3	Model 4	Model 5	Model 6	Model 7	Model 8	Model 9	Model 10	Model 11
Current Account Bal. (Res.)	−0.038.										−0.079
	(0.029)										(0.092)
Financial Crises (Res.)		0.084**									0.137***
		(0.034)									(0.044)
Import Competition (Res.)			0.030.								−0.004
			(0.022)								(0.045)
FDI Net Inflows (Res.)				0.022**							−0.119
				(0.009)							(0.099)
GDP Growth (Res.)					0.012						0.082
					(0.034)						(0.079)
Deindustrialization (Res.)						−0.015					−0.059*
						(0.025)					(0.035)
Central Gov. Debt (Res.)							0.039.				0.038
							(0.028)				(0.051)
Unemp. Rate (Res.)								0.019			0.020
								(0.032)			(0.042)
Top 10\% Income Share (Res.)									−0.042.		−0.026
									(0.027)		(0.044)
IMF Governance Deficit (Res.)										−0.002	0.002
										(0.025)	(0.039)
OBOR	0.092	0.173**	0.085	0.091	0.084	0.089	0.097	0.082	0.064	0.089	0.103
	(0.082)	(0.083)	(0.083)	(0.078)	(0.078)	(0.082)	(0.079)	(0.084)	(0.077)	(0.078)	(0.112)
FTA	0.193*	0.218*	0.147.	0.196*	0.194*	0.175.	0.214*	0.201*	0.218*	0.198*	0.158
	(0.113)	(0.117)	(0.113)	(0.112)	(0.111)	(0.113)	(0.119)	(0.112)	(0.112)	(0.112)	(0.139)
BIT	0.154***	0.122**	0.165***	0.159***	0.161***	0.176***	0.143***	0.175***	0.136**	0.159***	0.134.
	(0.055)	(0.058)	(0.057)	(0.053)	(0.054)	(0.056)	(0.051)	(0.055)	(0.054)	(0.056)	(0.084)
Leader Ideology	0.000	−0.001	−0.008	−0.001	−0.002	0.001	0.002	−0.004	0.002	−0.001	−0.011
	(0.021)	(0.022)	(0.021)	(0.020)	(0.020)	(0.022)	(0.021)	(0.022)	(0.020)	(0.020)	(0.029)
Regime Type	−0.004	−0.007	0.003	0.001	0.001	−0.001	0.001	−0.001	−0.001	0.001	−0.013
	(0.007)	(0.008)	(0.006)	(0.006)	(0.006)	(0.007)	(0.006)	(0.006)	(0.006)	(0.006)	(0.011)
Africa	−0.181**	−0.149*	−0.184**	−0.172**	−0.174**	−0.185**	−0.157**	−0.196**	−0.159**	−0.170**	−0.201.
	(0.075)	(0.085)	(0.084)	(0.075)	(0.075)	(0.079)	(0.076)	(0.092)	(0.072)	(0.075)	(0.128)
GDP per Capita Growth	−0.001	−0.001	−0.002	0.000	−0.001	0.000	−0.002	−0.001	0.000	0.000	−0.006
	(0.004)	(0.002)	(0.005)	(0.004)	(0.003)	(0.004)	(0.003)	(0.002)	(0.002)	(0.004)	(0.007)
Log GDP	0.033**	0.022	0.036**	0.031**	0.027*	0.029*	0.029*	0.046**	0.021.	0.028*	0.008
	(0.016)	(0.019)	(0.016)	(0.015)	(0.014)	(0.015)	(0.015)	(0.019)	(0.013)	(0.015)	(0.033)
Log GDP per Capita	−0.091***	−0.075**	−0.103***	−0.091***	−0.087***	−0.096***	−0.082***	−0.122***	−0.066**	−0.089***	−0.061
	(0.030)	(0.033)	(0.032)	(0.029)	(0.029)	(0.031)	(0.029)	(0.035)	(0.027)	(0.029)	(0.055)
Human Rights	0.005	0.018	0.007	0.006	0.003	0.003	0.008	0.014	−0.006	0.004	0.001
	(0.022)	(0.022)	(0.021)	(0.020)	(0.021)	(0.022)	(0.022)	(0.020)	(0.019)	(0.020)	(0.034)
Num. Obs.	167	155	157	172	174	166	172	166	159	174	126
R^2	0.277	0.299	0.250	0.267	0.262	0.265	0.268	0.268	0.299	0.263	0.353

. $p < 0.2$, * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$

Table D.18: Grievances (Residualized on GDP per Capita) and Disengagement

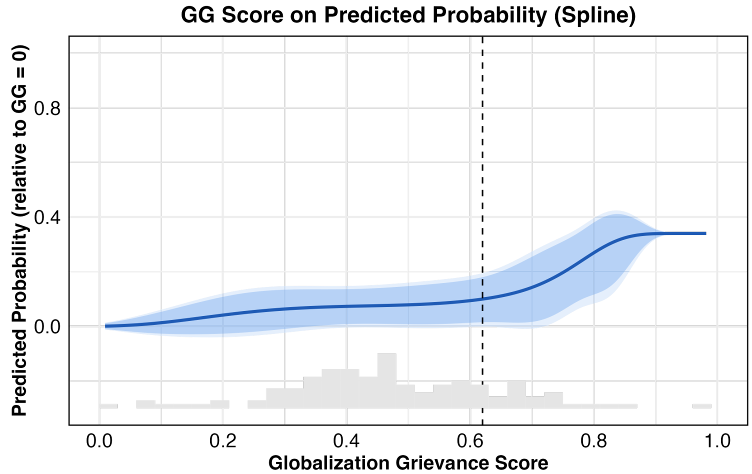
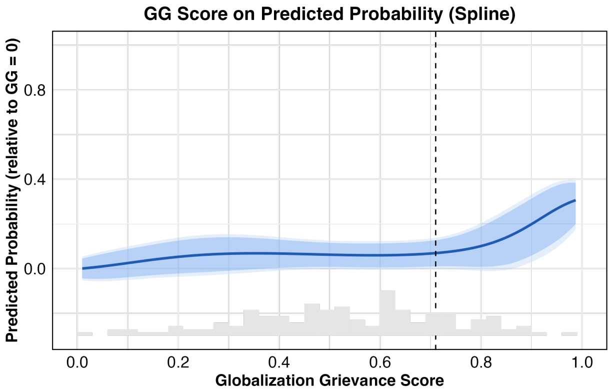


Figure D.15: Nonlinear Effect of GG score on Support for China. *Note:* Using residualed measures after adjusting for GDP per capita in 2011.

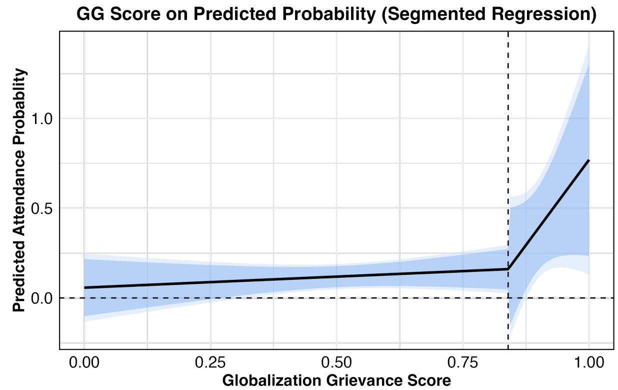
D.13 Alternative Measure: Rank-based GG Score

To mitigate sensitivity to outliers and distributional assumptions inherent in z-score standardization, we construct a rank-based variant of the Globalization Grievance (GG) score. Rather than standardizing each component via z-scores, I transform each winsorized indicator into its within-sample percentile rank using the percent-rank function, which maps each observation to the proportion of values less than or equal to it.

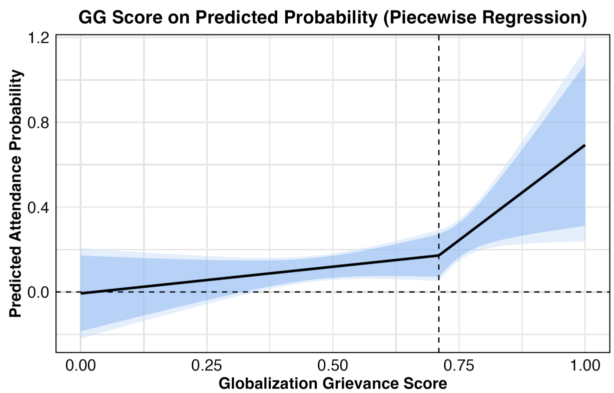
The ten ranked components – spanning current account balances, financial crisis exposure, import competition, FDI inflows, GDP growth, manufacturing change, government debt, unemployment, income inequality, and IMF governance deficits – are then combined using the same theoretically motivated weighting scheme, with politically salient "helpless" grievances (cumulative financial crises and chronic current account deficits) weighted five times more heavily than other dimensions. The resulting composite score is rescaled to the unit interval. This rank-based approach offers several advantages: it is robust to heavy-tailed distributions and extreme values, imposes no parametric assumptions on the underlying data, and ensures that each component contributes on a comparable, bounded scale regardless of its original metric. The substantive results remain consistent under this alternative specification (Figure D.16).



(a) Spline



(b) Segmented



(c) Piecewise

Figure D.16: Nonlinear Effect of GG score on Support for China. *Note:* Using rank-based measures in 2017.

D.14 United Nations Generate Debate Corpus (UNGDC) Tests

To measure state-level rhetorical orientation toward the LIO, I developed a text-based scoring procedure applied to speeches drawn from the UN General Debate Corpus. For each country-year observation, I constructed a prompt instructing a large language model (GPT-4.1-mini) to read the full text of a head-of-state or head-of-government speech and assign numerical scores across five theoretically motivated dimensions, listed in Table D.19. The scoring rubric ranged from 0 to 5, where 0 indicated no mention of the relevant topic whatsoever, 1 indicated a neutral factual reference, 2 mild agreement or endorsement, 3 clear affirmation or normative support, 4 strong agreement expressed with conviction, and 5 highly passionate, urgent, or forceful advocacy. This ordinal scale was designed to capture not merely whether a leader mentioned a given theme, but the intensity and normative valence with which they did so.

Dimension	Prompt Question
Domestic Grievances	To what degree does the speech express domestic frustration or suffering related to the globalized system (e.g., trade pressures, capital flows, financial instability, deindustrialization, foreign debt, global competition)?
System Disappointment	To what degree does the speech express disappointment with the existing globalized system (e.g., neoliberalism, the post-WW2 economic order, Bretton Woods institutions)?
Reform Needed	To what degree does the speech express that the current globalized system needs reform (e.g., calls for reforming the IMF, World Bank, WTO, trade rules, financial regulation, development finance)?
Reform Confidence	To what degree does the speech express confidence that the current globalized system can be reformed from within (i.e., existing institutions can be improved, incremental change is possible and desirable)?
New System Needed	To what degree does the speech express that a fundamentally new globalized system needs to be established (i.e., the current system is beyond repair, radical restructuring or replacement is needed, a new international economic order is called for)?

Table D.19: LLM Scoring Dimensions for UNGDC

The five dimensions were chosen to capture a theoretically coherent progression from grievance expression to systemic rejection. The first two dimensions measure the degree to which speeches express frustration or suffering attributable to domestic failures or to the pressures of economic globalization, respectively. The next two capture dissatisfaction with the post-war institutional order and demands that these institutions be changed. The final two are theoretically critical: they distinguish between leaders who express confidence that the existing system can be improved incrementally from within, and those who express that a fundamentally new global economic order is required—that the current system is beyond repair and must be replaced or radically restructured.

Each speech was scored independently by the model on all five dimensions in a single prompt call, with explicit instructions to apply the rubric consistently across dimensions and to distinguish carefully between calls for reform and calls for replacement. The model was instructed to return scores as a structured JSON object to facilitate automated parsing. The resulting scores were aggregated to the country-year level and used as outcome variables in the main regression analyses.

In addition to the intensity rubric, I also scored each speech using an alternative salience rubric. Under this rubric, 0 indicates no mention whatsoever of the topic; 1 a brief or passing mention, not a focus; 2 some discussion but not a major theme; 3 moderate emphasis, clearly articulated; 4 strong emphasis, a significant theme of the speech; and 5 strongly and extensively expressed, a dominant theme. Rather than capturing normative conviction, this rubric measures the degree to which a given theme features prominently in the speech, and results across both operationalizations serve as a robustness check on sensitivity to measurement choices.

	Domestic Grievances	System Disappointment	Reform Needed	Reform Confidence	New System Needed
	(1)	(2)	(3)	(4)	(5)
GG Score	0.195	0.912***	0.489**	−0.671***	0.278
	(0.295)	(0.310)	(0.221)	(0.231)	(0.353)
Democracy	−1.428***	−0.509	−0.181	0.618	−0.736
	(0.432)	(0.480)	(0.350)	(0.403)	(0.584)
Leader Ideology (leftist)	0.064	0.093	−0.008	−0.127	0.245*
	(0.126)	(0.106)	(0.074)	(0.084)	(0.131)
Leader Ideology (rightist)	−0.072	−0.076	−0.134*	−0.012	−0.081
	(0.128)	(0.105)	(0.073)	(0.079)	(0.122)
Ideal Point Dist.	−0.492***	−0.341***	−0.193**	0.137	−0.520***
	(0.139)	(0.130)	(0.088)	(0.106)	(0.129)
Growth Rate (lag)	−0.008*	0.000	0.003	0.009***	−0.004
	(0.004)	(0.004)	(0.005)	(0.003)	(0.004)
GDPPC (lag)	−0.055	−0.277**	−0.228**	0.167	−0.109
	(0.133)	(0.111)	(0.090)	(0.103)	(0.150)
Trade Openness (lag)	0.000	−0.001	−0.003**	0.000	0.003*
	(0.002)	(0.002)	(0.001)	(0.002)	(0.002)
Capital Openness (lag)	0.082	0.078	0.041	0.002	0.000
	(0.214)	(0.187)	(0.173)	(0.156)	(0.243)
WTO (lag)	0.196	−0.103	−0.142	−0.086	0.165
	(0.182)	(0.137)	(0.167)	(0.097)	(0.302)
Natural Resource (lag)	0.009	0.018***	0.013***	−0.009*	0.013**
	(0.005)	(0.004)	(0.004)	(0.005)	(0.006)
Country FE	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓
Num.Obs.	2236	2236	2236	2236	2236
R2 Adj.	0.212	0.324	0.319	0.207	0.283
R2 Within Adj.	0.053	0.103	0.071	0.047	0.060

* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$

Robust SEs clustered by country.

Table D.20: UNGDC Speech Scores: Effect of Global Grievance Score

	Reform Confidence					New Column
	(6)	(7)	(8)	(9)	(10)	(11)
GG Score	−1.776***	0.335	−0.628***	−1.459***	−0.147	0.765***
	(0.478)	(0.515)	(0.235)	(0.419)	(0.399)	(0.280)
GG Score x Democracy	2.428***					
	(0.828)					
GG Score x global_south		−1.262**				
		(0.563)				
GG Score x Ideal Point Dist.			0.657**			
			(0.267)			
GG Score x WTO (lag)				0.829*		
				(0.451)		
GG Score x Leader Ideology (leftist)					−0.837**	
					(0.422)	
GG Score x Leader Ideology (rightist)					−0.463	
					(0.380)	
Democracy	−0.490	0.562	0.568	0.606	0.589	−0.253
	(0.529)	(0.388)	(0.396)	(0.402)	(0.402)	(0.268)
Leader Ideology (leftist)	−0.111	−0.139*	−0.126	−0.128	0.263	0.170
	(0.080)	(0.084)	(0.080)	(0.084)	(0.216)	(0.114)
Leader Ideology (rightist)	−0.003	−0.019	−0.012	−0.014	0.210	−0.093
	(0.074)	(0.077)	(0.074)	(0.079)	(0.190)	(0.108)
Ideal Point Dist.	0.116	0.150	−0.152	0.138	0.131	−0.448***
	(0.105)	(0.108)	(0.174)	(0.105)	(0.104)	(0.089)
Growth Rate (lag)	0.009***	0.009***	0.009***	0.009***	0.009***	−0.006
	(0.003)	(0.003)	(0.003)	(0.003)	(0.003)	(0.005)
GDPPC (lag)	0.148	0.154	0.140	0.165	0.150	0.122**
	(0.101)	(0.104)	(0.105)	(0.103)	(0.102)	(0.059)
Trade Openness (lag)	0.000	0.000	0.000	0.000	−0.001	−0.001
	(0.002)	(0.002)	(0.002)	(0.002)	(0.002)	(0.001)
Capital Openness (lag)	0.066	0.050	0.042	−0.006	0.011	0.140
	(0.157)	(0.158)	(0.156)	(0.156)	(0.155)	(0.155)
WTO (lag)	−0.078	−0.086	−0.116	−0.426**	−0.080	0.066
	(0.092)	(0.095)	(0.103)	(0.204)	(0.095)	(0.194)
Natural Resource (lag)	−0.008	−0.009*	−0.009*	−0.009*	−0.009**	−0.009**
	(0.005)	(0.005)	(0.005)	(0.005)	(0.005)	(0.005)
Country FE	✓	✓	✓	✓	✓	
Year FE	✓	✓	✓	✓	✓	✓
Num.Obs.	2236	2236	2236	2236	2236	2236
R2 Adj.	0.212	0.210	0.210	0.207	0.208	0.119
R2 Within Adj.	0.053	0.050	0.050	0.047	0.048	0.092

* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$

Robust SEs clustered by country.

Table D.21: UNGDC Speech Scores: Effect of Global Grievance Score

The random human inspection is exemplified in Table D.22. Although I have read the entire text of each speech, due to its long length, I only present the link and key excerpts here. All texts I read show that LLM-coding reality aligns with human understanding. I also code 100 random speeches and check the LLM validity (Krippendorff $\alpha > 0.75$).

Table D.22: Example LLM Ratings for Text Snippets.

Text Snippet	Doms.	Disp.	Refm.	Confi.	Repl.
1. 2022-Armenia. `https://www.ungdc.bham.ac.uk/sessions/session/arm_77_2022`. "… However, my statement will focus on the latest Azerbaijani unprovoked aggression against the sovereign territory of the Republic of Armenia and its overall impact on stability in the South Caucasus …"	5	1	0	1	0

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(continued)

Text Snippet	Doms.	Disp.	Refm.	Confi.	Repl.
2. 2020-Indonesia. `https://www.ungdc.bham.ac.uk/sessions/session/idn_75_2020`. "... All of us are concerned with this situation ... Our concern grew even deeper...in the midst of the Covid-19 Pandemic. At a time when we ought to unite...I am concerned that the pillars of stability and sustainable peace will crumble... or even destroyed... the UN should continue to improve itself... through reforms, revitalization...and efficiency..."	4	2	4	3	2
3. 2019-Nicaragua. `https://www.ungdc.bham.ac.uk/sessions/session/nic_74_2019`. "... Nicaragua and the countries of the Central American region are among the most vulnerable nations on the planet, and our people are suffering the extremely grave consequences of the destructive effects of climate change... confirm the urgent need for the United Nations to be rebuilt on new foundations and for the Headquarters to be moved to a country where international law and the Charter of the United Nations are respected. This requires the urgent reinvention and democratization of our Organization..."	4	3	4	2	4
4. 2016-Kuwait. `https://www.ungdc.bham.ac.uk/sessions/session/kwt_71_2016`. "... I would like to avail myself of the opportunity to extend my thanks to all the member States of the Asia and Pacific Group in New York, which endorsed Kuwait's candidature last month. We look forward to the support of all States Members of the United Nations in the elections that will be held in June next year. As I have emphasized, my country is committed to the principles and purposes of the United Nations Charter..."	2	1	2	3	1
5. 2013-Belarus. `https://www.ungdc.bham.ac.uk/sessions/session/blr_68_2013` "...We are constantly lagging behind. Our failure to adjust quickly and effectively has given rise to a range of political, economic and social problems. That mismatch between technological and societal development has been the norm since the beginning of the industrial revolution, in the late eighteenth century. Furthermore, these days it represents a far more serious threat than ever before. The pace of globalization has been steadily accelerating, and therefore we have had to adapt much more quickly. We need a mechanism that will enable us swiftly and effectively to address this problem. Such a mechanism could appropriately be called "a new global world order" ..."	4	4	5	2	4
6. 2012-Gambia. `https://www.ungdc.bham.ac.uk/sessions/session/gmb_67_2012`. "... Debt servicing still poses a major threat to our ability to attain sustainable growth... The stalled reform of the Security Council is disheartening and even dangerous... We must hold ourselves accountable for meeting the Goals by 2015, and not try to shift the goalposts when the deadline is close at hand. ..."	4	3	4	2	1
7. 2009-Bolivia. `https://www.ungdc.bham.ac.uk/sessions/session/bol_64_2009`. "...I would say that in my country the crises have been imposed from above and from outside... And above all, I believe their origin lies in an economic model, an economic system, namely, capitalism... The status of permanent membership of the Security Council and the right to veto must be abolished. It is not possible in the twenty-first century to maintain outdated totalitarian practices going back to the time of monarchies ..."	4	5	4	2	5

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(continued)

Text Snippet	Doms.	Disp.	Refm.	Confi.	Repl.
8. 2005-Vietnam. `https://www.ungdc.bham.ac.uk/sessions/session/vnm_60_2005`. "... Viet Nam shares the common view that reform of the United Nations should aim, first and foremost, at enhancing the Organization's efficiency and democracy on the basis of strengthening the fundamental principles enshrined in the United Nations Charter... Viet Nam believes that reform of the United Nations must be carried out comprehensively... We are now actively preparing to participate in United Nations peacekeeping operations when conditions are ripe..."	2	2	4	3	1
9. 2003-Costa Rica. `https://www.ungdc.bham.ac.uk/sessions/session/cri_58_2003`. "... We welcome the creation and the establishment of the International Criminal Court (ICC) at The Hague, thanks to the successful election of its Judges last February. Fortunately, mankind now possesses an effective, independent and impartial institution with the authority to prosecute the most serious crimes that infringe upon human dignity ..."	1	1	2	3	1
10. 2000-Malta. `https://www.ungdc.bham.ac.uk/sessions/session/mlt_55_2000`. "... The progress recorded in the United Nations over the years is impressive and a source of great satisfaction to my Government...We have faced, and continue to face, intermittent conflicts and wide gaps in development levels... It is not sufficient to promote global e-commerce and ever new economic world orders if we do not also tackle the root causes of many of the problems in the developing world. ..."	2	3	4	3	1

Note: Ratings on 0–5 scale (1 = neutral, 5 = strongly yes). GPT-4.1-mini, zero-shot, zero-temperature.

D.15 Alternative Time Range: 2001-2017

	(1)	(2)	(3)	(4)
Avg Current Account (%)	-0.009^{***}	-0.034^{***}		
	(0.003)	(0.007)		
Avg Trade Balance (%)			0.001	-0.017^{*}
			(0.003)	(0.009)
Avg Current Account × China Bal.		0.026^{***}		
		(0.007)		
Avg Trade Balance × China Bal.				0.018^{**}
				(0.009)
Trade Balance with China (dummy)		0.098		0.004
		(0.116)		(0.117)
OBOR Nations	0.182^{**}	0.189^{*}	$0.147^{\cdot}$	0.186^{*}
	(0.089)	(0.099)	(0.095)	(0.106)
FTA	0.140	0.216^{*}	0.136	0.184
	(0.113)	(0.130)	(0.119)	(0.134)
BIT	0.174^{***}	0.131^{*}	0.159^{**}	$0.110^{\cdot}$
	(0.057)	(0.068)	(0.062)	(0.070)
Financial Crises (cumul.)	0.015^{**}	0.017^{**}	0.012^{*}	0.013^{**}
	(0.006)	(0.007)	(0.006)	(0.006)
Ideal Point	-0.138^{**}	-0.134^{**}	-0.120^{*}	-0.135^{**}
	(0.063)	(0.066)	(0.062)	(0.064)
Regime Type	$-0.012^{\cdot}$	-0.013	-0.004	-0.006
	(0.008)	(0.009)	(0.008)	(0.010)
Leader Ideology	-0.008	-0.009	-0.009	-0.011
	(0.023)	(0.024)	(0.025)	(0.027)
Africa	-0.149^{*}	$-0.173^{\cdot}$	-0.200^{**}	-0.205^{*}
	(0.086)	(0.105)	(0.098)	(0.116)
GDP PC Growth	0.001	-0.002	0.000	-0.004
	(0.004)	(0.005)	(0.005)	(0.006)
GDP	0.045^{*}	$0.043^{\cdot}$	$0.036^{\cdot}$	0.037
	(0.024)	(0.027)	(0.023)	(0.028)
GDP PC	-0.054^{*}	-0.051	-0.084^{*}	-0.073
	(0.032)	(0.037)	(0.045)	(0.052)
Human Rights	0.034	$0.041^{\cdot}$	0.032	$0.039^{\cdot}$
	(0.024)	(0.026)	(0.024)	(0.027)
Observations	145	125	138	120

. $p < 0.2$, * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$

Table D.23: Baseline Models Using Longer Period (2001-2017).

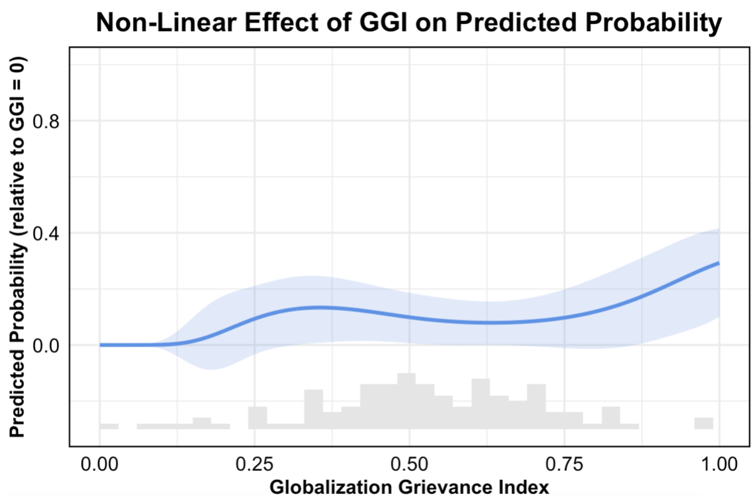

Figure D.17: Nonlinear Effect of GG score on Support for China Using Longer Period (2001-2017).

E Robustness Tests

E.1 More explanations on the "Uncompetitive Outside Option" Assumption

As explained, the disengagement decision in this paper is shaped by disengagement costs and benefits and loyalty to the LIO. I defend my assumption that at least currently, the much institutionalized LIO is more competitive than a nascent China-led order. Thus, we need helpless issues to crush the loyalty value to trigger support shift. The degree of this assumption, of course, is heterogeneous across countries. I argue that this is likely true even for some countries that are autocratic or on the BRI routes, for example, Saudi Arabia, Vietnam, and South Africa, as perceived from media discourse. However, in regression results (Table D.11), some covariates such as BIT and GDP per capita are significant. This is not contradictory to my theory, as they are baseline propensity of attendance or loyalty that is independent of issue-driven push dynamics. Once we control for "push effect" (for example, helpless issues), there could be a small number of countries such as those with acute need for Chinese investments or too poor who may think a Chinese order is more attractive than the LIO. This can drive the effects of covariates. On the other hand, once we control for these covariates to single out other mechanisms to focus on "push by issues," as most countries perceive the superiority of the LIO, my theory predicts the observed results.

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